A PERSONAL CIM STUDY COMPANION

ENGLISH EDITION

Marketing, *made clear.*

From handwritten notes to confident understanding. A visual study book for the decisions behind good marketing.



For Dr. Rehab Moustafa

BRAND MANAGER

53

SOURCE PAGES · 53 LESSONS

Learn. Apply.

RECALL. CONNECT. REPEAT.

PAGE-BY-PAGE · ILLUSTRATED · INTERACTIVE

Based on your handwritten diploma notes, with added explanations, corrected shorthand and original practice material.

Your notebook, rebuilt for learning.

A personal English study companion following all 53 pages of your handwritten CIM marketing notes.

WHAT HAS BEEN PRESERVED

The sequence, major topics, models and teaching ideas from each source page. Lesson 01 corresponds to PDF page 1, and so on through lesson 53.

WHAT HAS BEEN ADDED

Clear explanations, redrawn diagrams, worked examples, recall questions and revision tools. These additions make this a study edition, not a word-for-word transcription.

01 Understand the idea.

Read the opening explanation, then study the diagram. Explain the relationship aloud before reading the detail.

02 Apply it to a business.

Use the worked example, then replace it with a product or organisation you know. Ask what evidence would justify the choice.

03 Retrieve, check, repeat.

Answer the recall question before revealing the answer. Mark a lesson as studied after you can explain it without looking. Revisit difficult pages on later days.

Green boxes contain added examples. Terracotta boxes clarify shorthand, flag uncertainties or correct a possible misconception. All newly written numbers and scenarios are illustrative unless a source is explicitly identified. Cross-links connect related lessons.

This is a personal learning aid, not an official CIM textbook or a claim of complete coverage of a particular qualification specification. No specific level, syllabus or assessment brief was supplied. Some handwritten annotations are ambiguous; unverified quotations, statistics and brand claims are not promoted to facts. Calendar dates printed on the diary are not treated as lecture dates.

Build your marketing judgement.

Numbers below are source PDF pages and lesson numbers. Use the same numbers in both editions.

FOUNDATIONS

01 Marketing begins with a need
02 Motivation & business orientation
03 A market-oriented organisation
04 Start the plan with context
05 Describe the business & its portfolio
06 Portfolio choices: BCG & product life cycle
07 Map customers, competitors & stakeholders

PLANNING & AUDIT

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Move from choice to delivery.

Numbers below are source PDF pages and lesson numbers. Use the same numbers in both editions.

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29 Behavioural segmentation & RFM

30 RFM scoring & geographic choices

31 Segmenting business customers

32 Choose attractive, workable targets

33 Positioning: earn a place in the mind

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34 The 7Ps & business products

35 Product types & three levels of value

36 Augmentation & the service challenge

37 Pricing logic & price elasticity

38 A practical pricing toolbox

39 Channels: make value accessible

40 Distribution intensity & promotion direction

COMMUNICATIONS

41 Push, pull & an integrated communications mix

42 Sales promotion: stimulate trial & action

STRATEGY INTO ACTION

43 Promotion continues; SWOT becomes TOWS

44 Write a strategy from the evidence

45 Fix capability gaps & understand cannibalisation

COMMUNICATIONS

46 Portfolio defence & personal selling

47 Direct marketing & the response funnel

48 Direct response & rational advertising

49 Creative appeals: stories people remember

50 Emotion, public relations & CSR

IMPLEMENTATION & CONTROL

51 Turn the mix into an action plan

52 NPS: measure recommendation intent

53 CSAT, NPS & the control loop

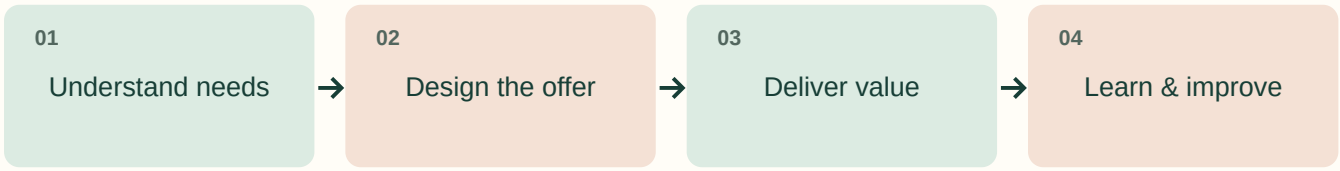
THE REVISION DESK

Formula sheet · Glossary · Practice case · Worked response · Recall cards · References
Complete workbook · Paper 1 · Paper 2 · Paper 3

Marketing begins with a need

Marketing connects an understanding of customers with an offer that creates value for them and a viable return for the organisation.

THE MARKETING VALUE LOOP



THE ESSENTIAL IDEAS

Identify & anticipate

Identify what customers need now; anticipate how needs and circumstances may change. Research comes before the offer.

Need, want, demand

A need is an underlying requirement. A want is a preferred way to satisfy it. Demand combines desire with willingness and ability to buy.

Satisfaction

Compare perceived performance with expectations: below expectations creates dissatisfaction; meeting them creates satisfaction; exceeding them may create delight.

ADDED EXAMPLE · APPLY THE IDEA

A commuter needs mobility, wants a comfortable car, and creates demand when willing and able to pay. Installments change payment timing and affordability; they do not make the total cost disappear.

CLARIFICATION · READ CAREFULLY

A customer may be the purchaser without being the end user. Other stakeholders matter, but “customer” and “stakeholder” are not interchangeable terms.

REMEMBER

Need = the problem. Want = the preferred solution. Demand = a supported buying intention.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

A parent buys shampoo for a child. Who is the customer and who is the user?

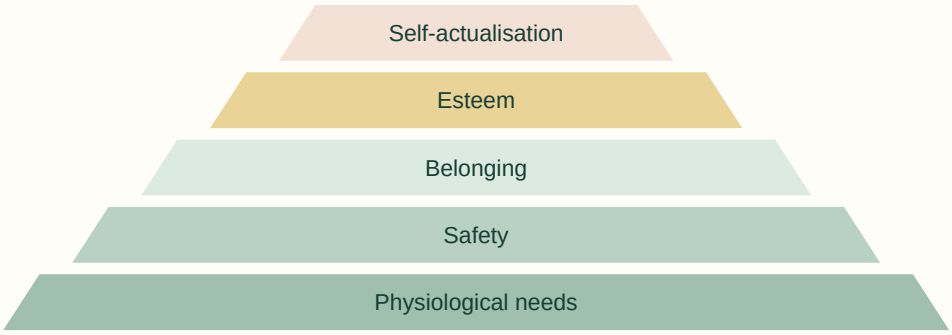
Answer. The parent is the purchaser/customer; the child is the user. Research should consider the needs and influence of both.

Selected check: CIM · The 7Ps of marketing

Motivation & business orientation

An offer can satisfy practical and psychological needs at the same time. The business philosophy determines which needs receive attention.

MASLOW: A USEFUL MOTIVATION LENS



THE ESSENTIAL IDEAS

Mutual value

Customers receive benefits; the organisation needs sufficient revenue, funding or support to continue delivering them. Short-term profit alone is not a complete marketing purpose.

Production orientation

Prioritises availability, scale and efficient output. It can work when affordability and supply dominate demand.

Product & selling orientations

Product orientation emphasises features and quality; selling orientation emphasises persuading customers to buy existing output. Both can miss the customer's actual problem.

ADDED EXAMPLE · APPLY THE IDEA

A professional course might offer competence, career security, peer relationships and a sense of achievement. Several motivations can operate together.

CLARIFICATION · READ CAREFULLY

Education is not itself a physiological need. Maslow's categories are a discussion aid, not a rigid sequence that every customer follows. A brand cannot be assigned to one universal motivation.

REMEMBER

Ask both "What does this product do?" and "What does owning it mean?"

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

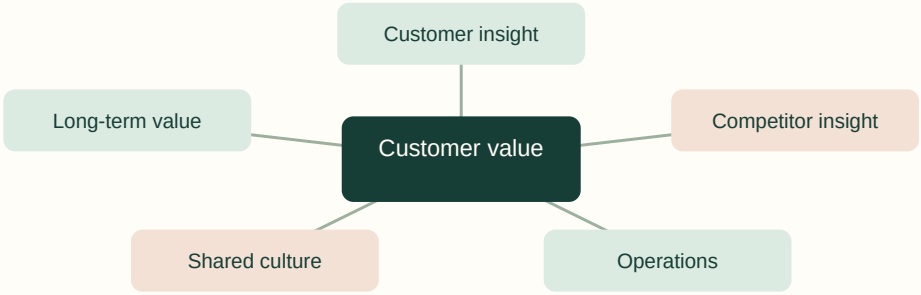
Why could excellent engineering still fail to produce a successful product?

Answer. The features may solve an unimportant problem, be too expensive, or be poorly matched to the chosen customer and buying context.

A market-oriented organisation

Market orientation means the whole organisation uses customer and competitor insight to deliver superior value consistently.

VALUE REQUIRES COORDINATION



THE ESSENTIAL IDEAS

Customer & competitor understanding

Study changing customer needs and alternatives available to them. Compare competitors' offers, capabilities and likely responses.

Coordination across functions

Marketing, operations, sales, finance and service need shared priorities. A promise is only useful when the organisation can fulfil it.

Culture & long-term value

The notes add a customer-focused culture and long-term shareholder value. Translate these into incentives and decisions that support lasting relationships.

ADDED EXAMPLE · APPLY THE IDEA

A skincare brand promises reliable delivery. Marketing sets the expectation, stock planning supports availability, and service resolves failures. The customer experiences all three.

CLARIFICATION · READ CAREFULLY

A USP is a distinctive selling claim; a value proposition explains the customer's overall reason to choose the offer. Competitive advantage is the underlying ability to deliver better value or lower cost. The handwritten "Kotler said / CIM said" attribution is not verified.

REMEMBER

Marketing sets the direction; selling is one activity within it.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

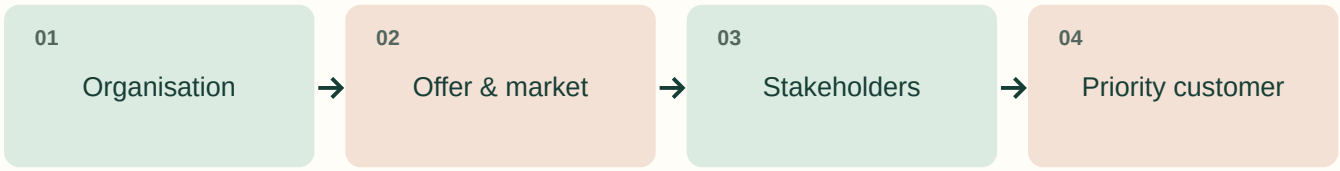
Why is a unique advertising slogan insufficient evidence of competitive advantage?

Answer. A slogan is a claim. Advantage requires an offer or capability customers value and rivals cannot easily match.

Start the plan with context

Before choosing a model, define the organisation, the decision, and the customer group your plan will address.

A USEFUL OPENING BRIEF



THE ESSENTIAL IDEAS

Organisation background

State the name, purpose, main activities, geographic scope, relevant size and product/service range. Include only facts that influence the plan.

Stakeholders

Identify internal and external groups whose needs, decisions or resources affect delivery. Later, decide how each should be involved.

Customer scope

Choose a priority segment and distinguish buyer, user and influencer. Explain which product, market and time period the plan covers.

ADDED EXAMPLE · APPLY THE IDEA

"This plan addresses repeat purchases of an existing shampoo range among time-poor parents in Cairo over the next 12 months." This is a focused scope, not a claim about the actual business in your notes.

CLARIFICATION · READ CAREFULLY

The 7Ps can be applied to goods as well as services. Culture can evolve, but a campaign usually has more direct influence on a specific behaviour than on deep cultural values. The notes' timing claims about culture change are not general rules.

REMEMBER

Context first; model second; recommendation last.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

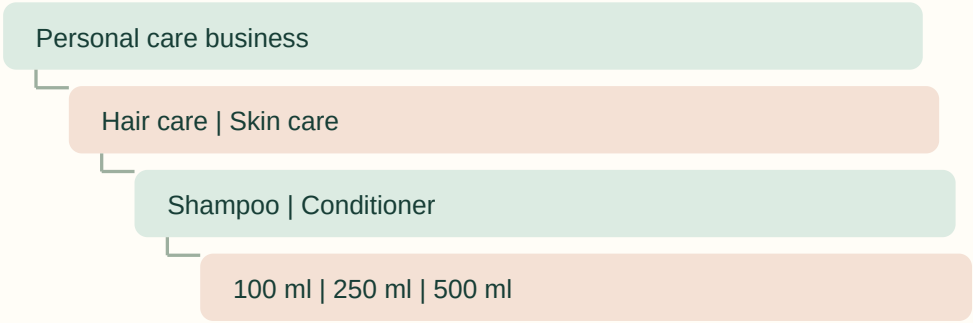
Which is more useful in the introduction: every company milestone or evidence relevant to the planning problem?

Answer. Relevant evidence. Include a milestone only when it explains current capability, positioning, resources or constraints.

Describe the business & its portfolio

A clear organisational profile explains what the business is equipped to do and how its products fit together.

A SIMPLE PRODUCT MIX



THE ESSENTIAL IDEAS

Type & scope

Distinguish commercial and nonprofit aims, domestic and international operations, and the stated legal form. These influence objectives and resources.

Size & trend

Use dated evidence on employees, revenue, units sold and capacity. Revenue growth can reflect price rises, so compare volume where relevant.

Portfolio dimensions

Width = number of product lines; length = total items across the mix; depth = variants of an item; consistency = how closely the lines relate.

ADDED EXAMPLE · APPLY THE IDEA

Two product lines contain six product items in total. One shampoo comes in three sizes: width = 2, mix length = 6, and that item's size depth = 3. Specify your counting convention.

CLARIFICATION · READ CAREFULLY

The handwritten size thresholds lack a jurisdiction and dated source. Do not treat them as universal. The notes use "length" loosely for categories; the standard distinction is total items versus variants.

REMEMBER

Width = lines; length = items; depth = variants; consistency = relationship.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

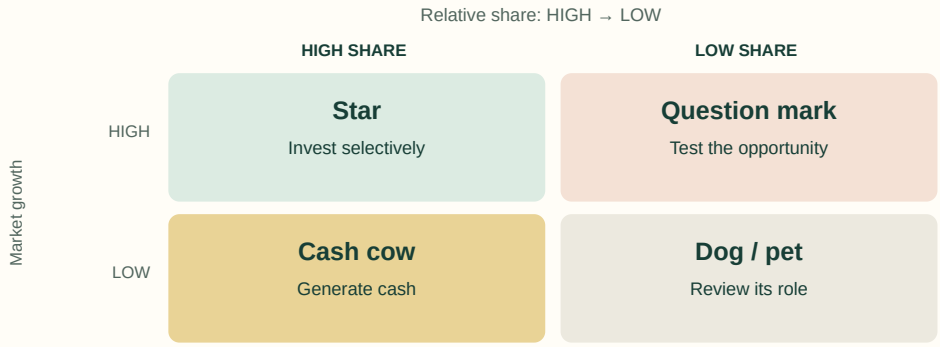
Adding a new fragrance to an existing shampoo increases which dimension most directly?

Answer. Depth, because it adds a variant of an existing product item. It does not necessarily create a new product line.

Portfolio choices: BCG & product life cycle

Use BCG to compare portfolio positions and the product life cycle to discuss how sales and profit may develop over time.

BCG GROWTH-SHARE MATRIX



THE ESSENTIAL IDEAS

BCG axes

Plot market growth against relative market share. Stars combine high growth and high share; cash cows combine low growth and high share. Question marks have high growth but low share; dogs/pets have both low.

Relative market share

Divide your share by the largest competitor's share in the same defined market. A 25% share against a rival's 50% gives 0.5×.

Product life cycle

Introduction, growth, maturity and decline describe a possible sales pattern. Profit and break-even timing depend on costs, price and investment.

ADDED EXAMPLE · APPLY THE IDEA

A low-share product in a growing category is a question mark even if it has existed for years. Age alone does not locate a product in BCG.

CLARIFICATION · READ CAREFULLY

BCG quadrants are not life-cycle stages. A cash cow is low growth, not high growth. Neither model proves profitability or prescribes an automatic decision.

REMEMBER

BCG asks "Where are we positioned?" PLC asks "How is the product evolving?"

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Your share is 30% and your largest competitor has 20%. What is relative market share?

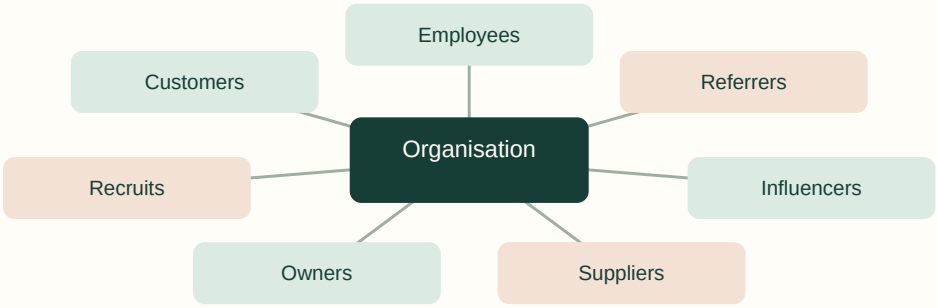
Answer. 30 ÷ 20 = 1.5×. Use the competitor's share as the denominator even when your business is the leader.

Selected check: BCG · What is the growth-share matrix?

Map customers, competitors & stakeholders

A marketing plan needs a picture of the relationships that make the organisation’s promise possible.

THE SEVEN GROUPS IN YOUR NOTES



THE ESSENTIAL IDEAS

Customer base

B2C serves consumers, B2B serves organisations, and B2G serves government buyers. Record the relevant buying process and value sought.

Competitive landscape

Identify major current rivals and compare their offers, market shares and dated performance evidence. Leader, challenger, follower and niche roles can aid description.

Stakeholder map

Your notes list internal employees, referrals, influence groups, suppliers, shareholders/owners, recruitment markets and customers. Customer markets continue on source page 8.

ADDED EXAMPLE · APPLY THE IDEA

A distributor may be both a customer and a delivery partner. A pharmacist can influence choice without being the end user. Map each role to its impact on the plan.

CLARIFICATION · READ CAREFULLY

Treat the “seven-market model” here as your lecturer’s grouping; relationship-marketing frameworks use different numbers and labels. Referrals can also come from existing customers. Do not infer collusion from supplier bargaining power.

REMEMBER

For every stakeholder: interest, influence, evidence, response.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

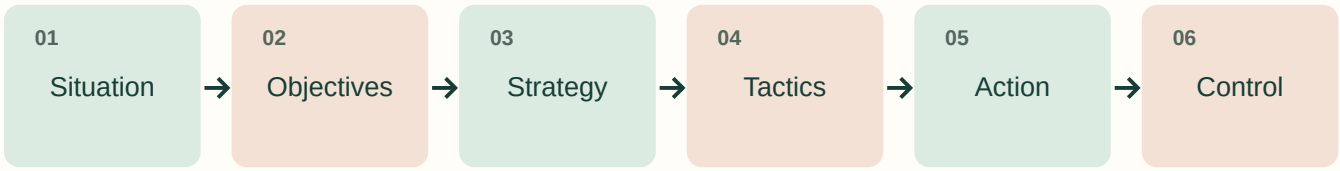
Why should recruitment appear in a marketing plan for a service business?

Answer. The business may need scarce skills to deliver its service promise. Recruitment and employee retention therefore influence customer experience and growth capacity.

SOSTAC: the spine of the plan

A planning framework connects evidence, choices, delivery and measurement. It prevents a collection of tactics from masquerading as a strategy.

SOSTAC PLANNING CYCLE



THE ESSENTIAL IDEAS

Start with the customer

Specify the segment, its needs and its current experience. Use research to establish a baseline before setting objectives.

Three planning lenses

MOST: mission, objectives, strategy, tactics. APIC: analysis, planning, implementation, control. SOSTAC adds a particularly useful structure for the full marketing plan.

Audit before SWOT

External analysis identifies opportunities/threats. Internal analysis establishes strengths/weaknesses. SWOT summarises the evidence; TOWS turns combinations into options.

ADDED EXAMPLE · APPLY THE IDEA

Situation: repeat buying is weak. Objective: improve retention. Strategy: focus on a valuable customer group. Tactics: improve the offer and reminders. Action: assign owners. Control: track repeat rate and contribution.

CLARIFICATION · READ CAREFULLY

Strategy states the route and choices. Tactics specify the mix. Action identifies who does what and when. Control measures progress and triggers changes. SWOT can be useful; an unsupported SWOT list is the problem.

REMEMBER

Where are we? Where to? How? With what? Who and when? How are we doing?

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

“Run three social posts weekly” belongs to which planning level?

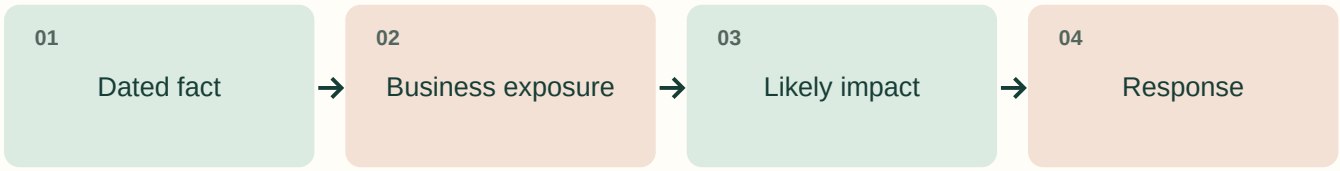
Answer. It is a tactic/activity. The action plan adds ownership and timing; the objective specifies the outcome those posts are meant to support.

Selected check: PR Smith · SOSTAC planning methodology

PESTEL: political & economic forces

The macro environment contains broad forces that affect demand, costs, access and uncertainty. Select the factors that change a real business decision.

TURN A TREND INTO ANALYSIS



THE ESSENTIAL IDEAS

Political factors

Consider government priorities, taxation policy, trade relationships, pressure groups, conflict and stability. Explain the specific route to business impact.

Economic factors

Assess interest rates, inflation, unemployment, incomes, GDP trends and the business cycle. The relevant indicator depends on the market.

Macro versus micro

PESTEL concerns wider conditions. Customers, suppliers and competitors sit closer to the business in the micro environment. Influence is a matter of degree, not a strict yes/no boundary.

ADDED EXAMPLE · APPLY THE IDEA

Illustrative chain: higher financing costs → more expensive installments → weaker affordability for a durable good → test a lower-cost product or payment proposition.

CLARIFICATION · READ CAREFULLY

The tax percentages and economic examples in the scan are classroom notes, not current economic facts. Aggregate GDP can be relevant, but sector and customer data often explain the decision better.

REMEMBER

A PESTEL bullet is unfinished until you explain "so what for this organisation?"

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

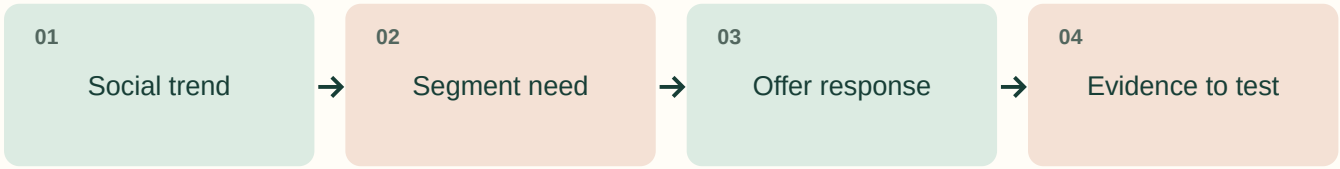
Is inflation always a threat to every business?

Answer. No. Its impact varies with input costs, pricing power, customer incomes and product category. State the mechanism and affected segment before classifying it.

Economic exposure & social change

Good analysis connects economic conditions with how a specific group lives, spends and buys.

A TREND BECOMES AN OPPORTUNITY ONLY WITH A FIT



THE ESSENTIAL IDEAS

Energy & income

Energy availability and cost influence production and distribution. Household income, disposable income and purchasing power influence affordability.

Demographics & distribution

Study age structure, household composition and income distribution. An average can hide major differences between segments.

Lifestyle

Health concerns, online shopping and time pressure may change what customers value. Check whether a trend applies to your segment and geography.

ADDED EXAMPLE · APPLY THE IDEA

Time-poor customers might value scheduled delivery and clear product guidance more than a larger range. Test this through interviews and purchase data before investing.

CLARIFICATION · READ CAREFULLY

The notes mention CAPMAS, central-bank data and international datasets as possible sources. Select a current dataset for the actual question; a correct statistic from another country may still be irrelevant.

REMEMBER

Relevant, dated, local, decision-useful.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why can rising average income coexist with poor demand for your product?

Answer. Income gains may be concentrated outside the target segment, inflation may reduce real purchasing power, or the category may have weak priority in household spending.

Technology, environment & buying journeys

Changes in channels and technology alter both customer expectations and the capabilities needed to serve them.

TWO JOURNEYS, ONE CUSTOMER



THE ESSENTIAL IDEAS

Webrooming & showrooming

Webrooming: research online, then buy in a store. Showrooming: inspect in a store, then buy online. Both suggest a connected journey across channels.

Technological scanning

Assess innovation, diffusion, obsolescence, communications and relevant production technology. Separate exciting claims from demonstrated usefulness.

Environmental factors

Consider resource use, waste, energy, climate exposure and sustainability expectations. Assess both the cost and opportunity for your business.

ADDED EXAMPLE · APPLY THE IDEA

A retailer can support webrooming with accurate stock visibility and easy reservations. It can respond to showrooming through knowledgeable service, useful bundles and convenient fulfilment.

CLARIFICATION · READ CAREFULLY

Gartner's Hype Cycle describes technology expectations and maturity. It is not a product-sales forecast. Its sequence runs from an innovation trigger through inflated expectations and disillusionment to enlightenment and productivity.

REMEMBER

Follow the customer's journey, not the organisation's channel chart.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

A customer tests headphones in a shop and orders them later on a website. Which behaviour is this?

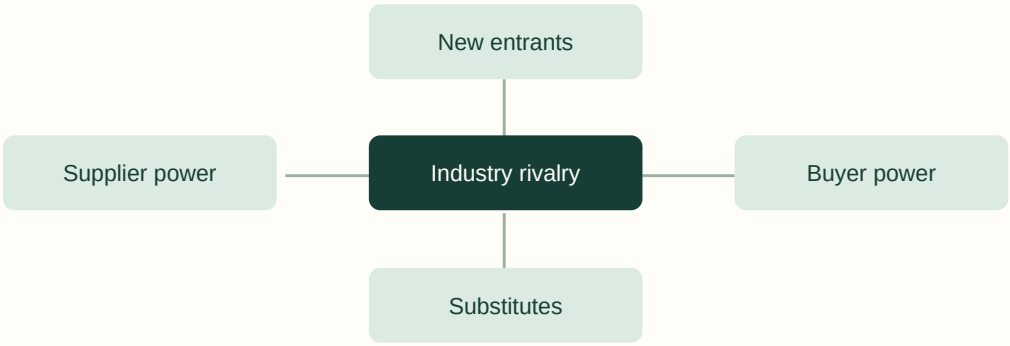
Answer. Showrooming. The store supplied the physical evaluation while the transaction occurred online.

Selected check: Gartner · Hype Cycle methodology

Make the environmental audit actionable

Record the impact, timing and response for each relevant factor, then move from macro conditions to industry competition.

PORTER'S FIVE FORCES



THE ESSENTIAL IDEAS

Legal topics to investigate

Consumer protection, intellectual property, contracts, employment, competition, advertising and industry regulation may affect the plan. Identify the relevant jurisdiction and obtain current evidence.

A practical audit row

Record the factor, evidence/date, expected impact, time horizon, opportunity/threat, implication and proposed response. A single factor can create both upside and downside.

Industry analysis

Porter's Five Forces examines rivalry, entrants, substitutes, supplier power and buyer power. Define the industry boundary before judging its attractiveness.

ADDED EXAMPLE · APPLY THE IDEA

"A packaging requirement is expected next year; redesign may increase costs but could improve trust." Specify the evidence and uncertainty before calling it a threat or opportunity.

CLARIFICATION · READ CAREFULLY

The scan's short/medium/long time bands are a classroom convention. Choose explicit bands that suit the planning horizon. Ethics can extend beyond legal compliance.

REMEMBER

Evidence → impact → timing → implication → action.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why is a list of laws not yet a legal-environment analysis?

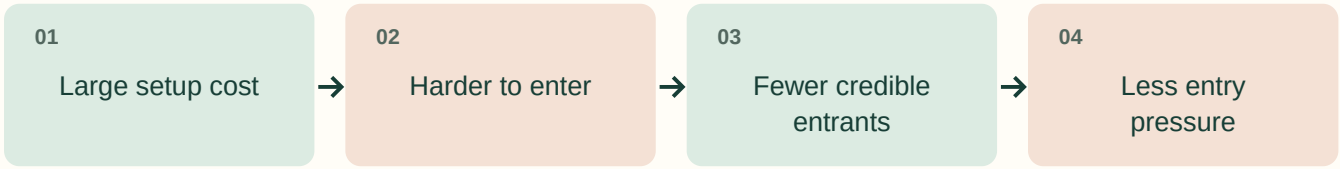
Answer. It does not explain applicability, business exposure, timing or the marketing decision that should change.

Selected check: Harvard Business School · The Five Forces

Rivalry & barriers to entry

Competition is a pattern of pressures within an industry, not simply a list of company names.

AN ENTRY BARRIER IN ACTION



THE ESSENTIAL IDEAS

Rivalry

Assess the balance of rivals, growth, product differentiation, fixed costs and exit barriers. Price cuts, service improvements and advertising can all be forms of rivalry.

Entry barriers

Scale, capital requirements, customer switching costs, distribution access, regulation and proprietary assets can make entry more difficult.

State a reasoned judgement

For each force, give a rating, supporting evidence and implication. Make clear whose perspective you are using: incumbent, entrant, buyer or supplier.

ADDED EXAMPLE · APPLY THE IDEA

A specialised manufacturing process may require large investment and years of certification. A digital reseller of existing products may face much lower setup barriers.

CLARIFICATION · READ CAREFULLY

High entry barriers and high exit barriers work differently. High entry barriers can deter new rivals; high exit barriers can keep struggling rivals in the market. Brand loyalty and differentiation do not automatically increase price rivalry.

REMEMBER

Entry = getting in. Exit = getting out.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why can high exit barriers intensify rivalry?

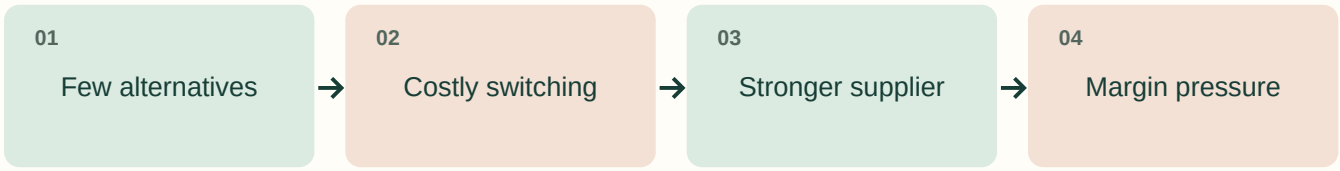
Answer. Firms may keep competing despite weak returns because closure is expensive, assets are specialised, or obligations make leaving difficult.

Selected check: Harvard Business School · The Five Forces

Switching costs, substitutes & suppliers

The attractiveness of alternatives and the cost of changing them affect how much power each participant has.

WHY SUPPLIER DEPENDENCE MATTERS



THE ESSENTIAL IDEAS

Switching costs

These are financial, time, learning, compatibility or relationship costs of changing provider. A price difference alone is not the full switching cost.

Substitute pressure

A substitute satisfies the same underlying need in a different way. Its price-performance appeal and ease of adoption influence the threat.

Supplier power

Few alternatives, essential inputs and difficult switching can strengthen suppliers. More suitable alternatives can weaken their bargaining position.

ADDED EXAMPLE · APPLY THE IDEA

Moving from one software system to another may require data migration, staff retraining and process changes, even when the new subscription is cheaper. Those extra burdens are switching costs.

CLARIFICATION · READ CAREFULLY

A competing shampoo brand is usually a rival in the same category. A fundamentally different way to achieve the desired outcome may be a substitute. Define the customer need and industry boundary explicitly.

REMEMBER

Ask “What else solves the problem?” and “What would changing cost?”

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Would adding three qualified alternative suppliers usually raise or lower supplier power?

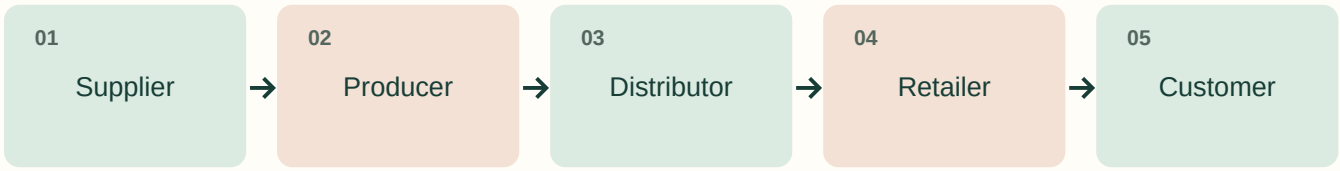
Answer. It would usually lower the incumbent supplier’s power, provided the alternatives have sufficient capacity and comparable quality.

Selected check: Harvard Business School · The Five Forces

Buyer power, integration & complements

Bargaining power depends on alternatives and dependence. Integration changes who performs activities along the supply chain.

THE SUPPLY CHAIN AND INTEGRATION



THE ESSENTIAL IDEAS

Buyer power

Large purchases, strong information, low differentiation and easy switching can strengthen buyers. Loyalty and a valued distinctive offer can reduce their ability to force concessions.

Vertical integration

Backward integration moves into supply activities; forward integration moves toward distribution or the end customer. The implications depend on which firm integrates.

Complementers

Complements make an offer more valuable when used together, such as a device and compatible applications. Partnerships can improve adoption and convenience.

ADDED EXAMPLE · APPLY THE IDEA

A producer acquiring a supplier integrates backward; opening its own retail channel is forward integration. The move may reduce dependence, but it also requires new capabilities and investment.

CLARIFICATION · READ CAREFULLY

Complementers are an additional analytical lens, not a sixth force in Porter’s original framework. Their presence can create opportunities as well as dependency. The scan’s price-comparison websites are examples, not verified current recommendations.

REMEMBER

Backward = toward inputs. Forward = toward customers.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why might a large retailer negotiate better terms than a small independent shop?

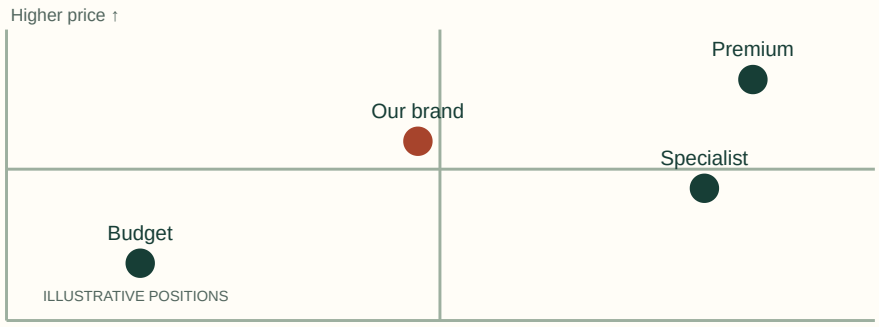
Answer. It may control greater order volume and access to customers, and may have more credible alternative suppliers.

Selected check: Harvard Business School · The Five Forces

Competitor analysis & perceptual maps

What customers believe about an offer may differ from what the company believes it delivers.

ILLUSTRATIVE MAP: PRICE VERSUS SERVICE



THE ESSENTIAL IDEAS

Compare the right competitors

Include current rivals and plausible future alternatives. Compare their target customers, offers, capabilities and observed market behaviour.

Critical success factors

Identify what matters in the buying decision: price, reliability, service, availability, safety or performance. Choose factors through customer evidence.

Perceptual mapping

Use two meaningful dimensions to show relative perceptions. The positions should reflect research, not management's preferred story.

ADDED EXAMPLE · APPLY THE IDEA

A survey may show that customers see your "premium service" as average. That gap could call for better delivery, better communication, or a revised target-not merely a new slogan.

CLARIFICATION · READ CAREFULLY

A two-axis map simplifies reality. An empty space is not proof of demand. Standard deviation can describe disagreement in ratings, but it is not automatically an axis or a required part of every map.

REMEMBER

Map perception; then test the commercial opportunity.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

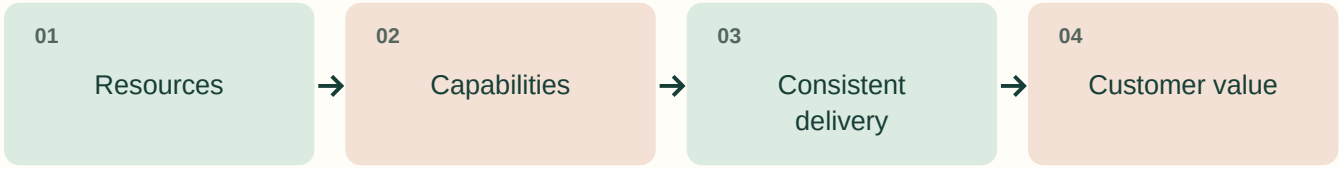
What should you verify before targeting an empty area on a perceptual map?

Answer. That a sizeable, reachable group wants that combination, will pay for it, and can be served profitably with the organisation's capabilities.

Audit the organisation from the inside

The internal audit tests whether the organisation can execute its intended strategy, not just whether it owns useful assets.

RESOURCES ONLY MATTER WHEN THEY BECOME PERFORMANCE



THE ESSENTIAL IDEAS

Combine the audit lenses

PESTEL examines macro forces; Five Forces and competitor analysis examine the industry; resources and capabilities explain internal strengths and weaknesses.

Barriers to advantage

Complacency, excessive risk aversion, poor understanding of past success and weak initiative can prevent adaptation.

Organisational barriers

Misalignment, poor communication, weak collaboration and lost knowledge can make good resources ineffective. The notes introduce a Thompson resource inventory as a starting point.

ADDED EXAMPLE · APPLY THE IDEA

A company buys an expensive CRM but staff do not maintain records. It owns the tool without possessing a reliable customer-management capability.

CLARIFICATION · READ CAREFULLY

Competitor research is not inherently unethical. Use legitimate public evidence and research; do not present guesses about confidential costs or strategy as verified facts.

REMEMBER

What we own is different from what we can repeatedly do well.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

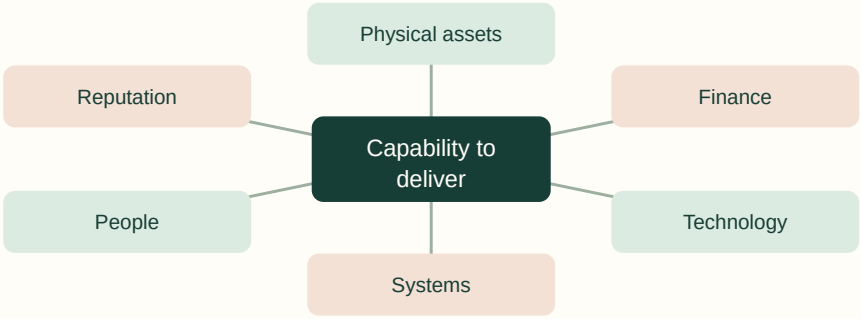
Why might an experienced sales team still be a weakness in a digital growth plan?

Answer. Its skills, incentives or processes may not fit the chosen channel. Strength and weakness are relative to the strategy and benchmark.

Resources: visible assets & hidden strengths

Inventory resources systematically, then assess their quality, availability and relevance to the customer promise.

A RESOURCE INVENTORY



THE ESSENTIAL IDEAS

Physical & financial

Facilities, equipment and access rights support delivery. Cash flow, borrowing capacity, working capital and budget flexibility support investment and resilience.

Technology & systems

Production technology, data, CRM/ERP and planning systems can improve coordination and service. Evaluate actual use and quality, not brand names alone.

People & reputation

Knowledge, creativity and experience are human assets. Brand reputation and stakeholder trust can influence preference and reduce perceived risk.

ADDED EXAMPLE · APPLY THE IDEA

A skincare business may have strong formulation expertise but poor product availability. Expertise supports quality; stock control determines whether customers can access that quality.

CLARIFICATION · READ CAREFULLY

The scan places patents and copyright under tangible technology. The technology category can be useful operationally, but patents, software rights and other intellectual property are generally intangible assets.

REMEMBER

For each resource: evidence, benchmark, strategic relevance, limitation.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

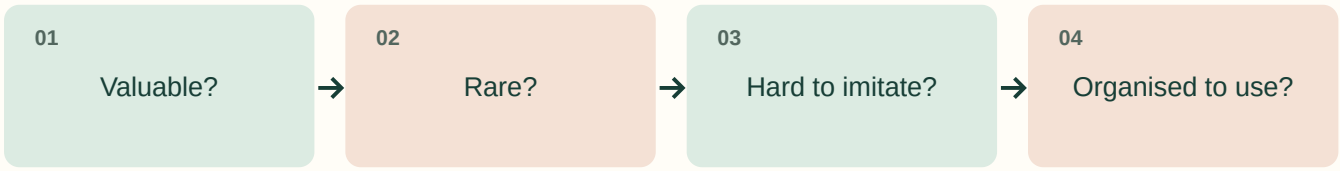
How would you demonstrate that reputation is a strength?

Answer. Use relevant evidence such as researched perceptions, repeat purchasing, recommendations or trust measures, compared with competitors or a meaningful baseline.

From resources to advantage: VRIN & VRIO

A resource is strategically important when it helps create customer value and is difficult for rivals to match or replace.

THE VRIO QUESTIONS



THE ESSENTIAL IDEAS

Relationships & culture

Distribution relationships, shared norms, incentives and knowledge-sharing influence delivery. Assess whether they reinforce the strategy.

VRIN

Test whether a resource is valuable, rare, difficult to imitate and non-substitutable. A common resource may be necessary without creating lasting advantage.

VRIO

The final question changes to organisation: are systems, people and incentives arranged to exploit the resource? The audit then feeds SWOT/TOWS and SMART objectives.

ADDED EXAMPLE · APPLY THE IDEA

An exclusive dataset may be valuable and rare. If no one can analyse it or act on the results, the organisation cannot fully realise its potential.

CLARIFICATION · READ CAREFULLY

The scan writes “inimitable”; use “difficult or costly to imitate” as a practical test. Passing a framework does not guarantee permanent advantage. Competitors and customer needs change.

REMEMBER

Inventory first. Evaluate advantage second. Set objectives third.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

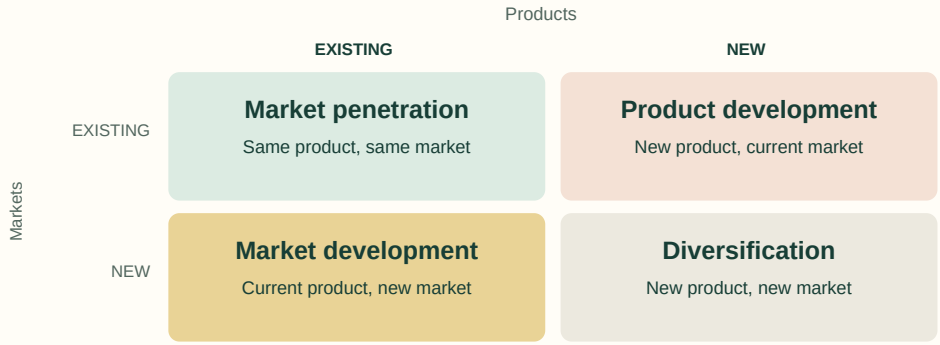
A competitor can buy the same CRM tomorrow. Is owning that CRM alone a rare resource?

Answer. No. Advantage might instead come from proprietary data, excellent processes and accumulated learning in how the system is used.

SMART objectives & growth direction

An objective describes a measurable result. A strategy explains the route chosen to achieve it.

ANSOFF PRODUCT-MARKET MATRIX



THE ESSENTIAL IDEAS

Make the objective specific

Name the product, customer group, market, metric, baseline, target, deadline and responsible team. Avoid “improve sales” without a clear definition.

SMART

Use specific, measurable, achievable, relevant and time-bound. The notes use realistic and assignable variants; feasibility and ownership still need to be explicit.

Ansoff’s choice

Decide whether growth uses existing or new products and existing or new markets. Define what “new” means relative to the business and the baseline.

ADDED EXAMPLE · APPLY THE IDEA

“Increase share in the defined market from 23% to 38% within 12 months.” That is a 15-percentage-point increase, or about 65.2% relative growth-not a 15% relative increase.

CLARIFICATION · READ CAREFULLY

Measurable does not mean achievable. Justify feasibility with market size, budget, capacity and competitor response. The number of campaigns need not rise proportionately with the target.

REMEMBER

Objective = destination. Strategy = route. Tactics = specific tools.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

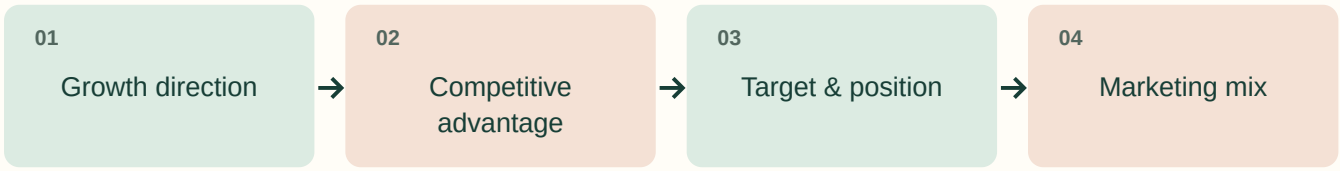
Why should the market definition appear beside a market-share target?

Answer. The denominator changes when geography, category, customer group, value versus volume, or time period changes. Without a stable definition, the comparison can mislead.

Where to grow & how to compete

Ansoff identifies the direction of growth; Porter’s generic strategies clarify the basis of competitive advantage.

THREE LINKED STRATEGIC DECISIONS



THE ESSENTIAL IDEAS

Four growth options

Penetration seeks more business from current products/current markets. Market development seeks new markets. Product development offers new products to current markets. Diversification changes both.

Cost leadership

Build a sustainably lower cost base through choices such as scale, efficient processes, capacity use and distribution design. Low selling price alone does not demonstrate low cost.

Differentiation

Offer something the target values enough to prefer or pay for. It can arise from product performance, service, brand, availability or the overall experience.

ADDED EXAMPLE · APPLY THE IDEA

A brand sells its existing shampoo in a new city: market development. It supports that move with reliable availability and specialist advice: a possible differentiation route.

CLARIFICATION · READ CAREFULLY

Using a new social platform is not automatically market development. If it reaches the same market, it may simply be a channel tactic. Being first is not automatically a sustainable advantage.

REMEMBER

Ansoff: where to grow. Porter: how to win. STP: whom to serve and how to be seen.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

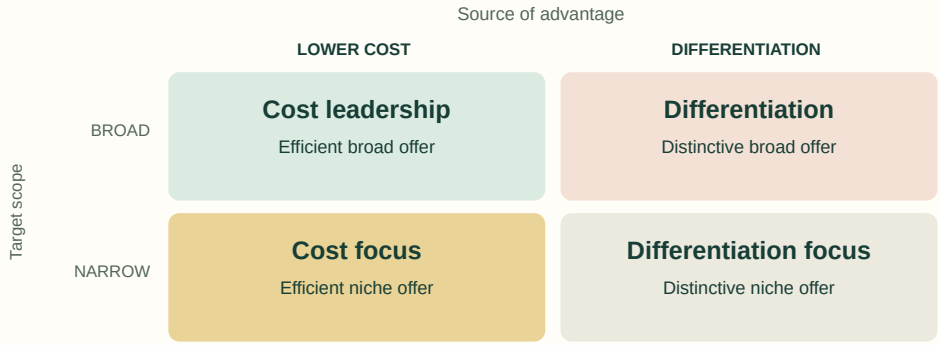
A brand introduces conditioner to its existing shampoo customers. Which Ansoff option fits best?

Answer. Product development, assuming the conditioner is a new offer to the company and the customer market remains the same.

Scope, advantage & meaningful difference

A strategy combines who the business serves with the advantage it can sustain for that audience.

PORTER'S GENERIC STRATEGY GRID



THE ESSENTIAL IDEAS

Competitive scope

Broad strategies address a wide market; focus strategies address a narrower segment. A focused business can pursue either lower cost or differentiation.

Five differences in your notes

Product: functional benefit. Brand: meaning and association. Promotion: a distinctive offer or message. Distribution: access and coverage. Price/value: the trade-off customers perceive.

Test the difference

A useful difference is valued by the target, credible, deliverable and economically worthwhile. A feature customers do not care about is weak positioning material.

ADDED EXAMPLE · APPLY THE IDEA

A specialist retailer can focus on busy parents and differentiate through short, trustworthy product consultations. Its staffing and service processes must support that promise.

CLARIFICATION · READ CAREFULLY

A temporary promotion is often easier to copy than expertise or a distinctive distribution system. "Unique emotional proposition" is useful classroom language, but emotional and functional benefits can work together.

REMEMBER

A difference must matter to somebody you have chosen to serve.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

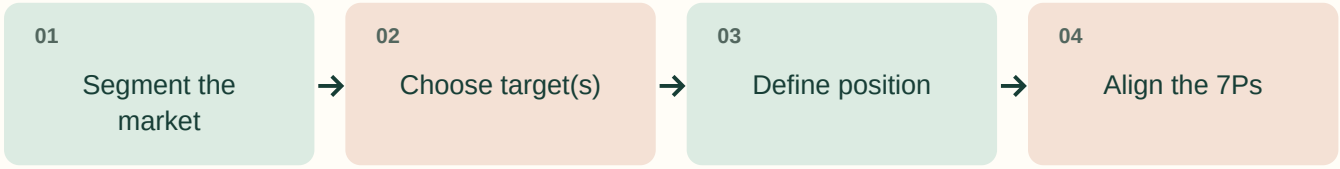
Does charging a low price prove a cost-leadership strategy?

Answer. No. The firm needs a cost structure that supports its price and required return. A low price with high costs can simply destroy margin.

STP & demographic segmentation

Segmentation finds meaningful differences; targeting selects groups to serve; positioning establishes the intended reason to choose the offer.

STP: FROM DIVERSITY TO A FOCUSED OFFER



THE ESSENTIAL IDEAS

Build useful segments

Use demographic, psychographic, behavioural and geographic variables together when they improve decisions. Each segment should have a clear need or response pattern.

Demographic starting points

Age, gender, household size and other descriptive variables can help identify groups. Include only factors that explain relevant differences.

Profile before selecting

Record the group's characteristics, needs, buying behaviour, size, reachability and evidence. Then compare attractiveness and organisational fit.

ADDED EXAMPLE · APPLY THE IDEA

Two customers aged 30 may seek different shampoo benefits: one wants a simple family purchase; the other wants a specialist routine. Age alone does not explain the difference.

CLARIFICATION · READ CAREFULLY

There is no universal rule that age bands must be 8-10 years wide or that households contain four people. Use evidence and a definition suited to the decision.

REMEMBER

Segmentation describes. Targeting chooses. Positioning differentiates.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

What is missing from a segment described only as "women aged 25-35"?

Answer. Its needs, context, behaviour, purchase criteria, geography, reachability and commercial attractiveness. The description is not yet a useful marketing strategy.

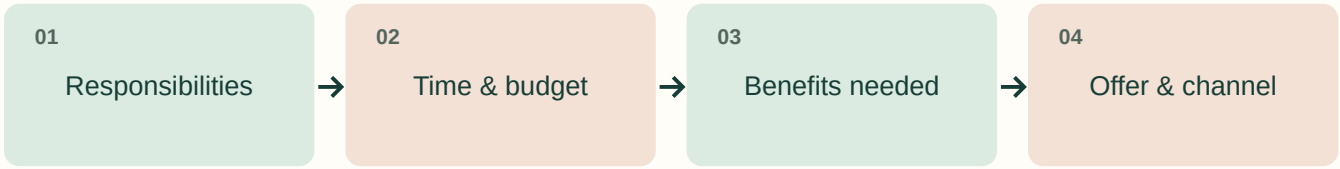
Selected check: OpenStax · Market segmentation and consumer markets

PERSONAL CIM STUDY COMPANION · ENGLISH Connect: 24 · 26 · 29 · 32

Life stage, income & occupation

Life circumstances can explain spending priorities more effectively than age alone.

LIFE STAGE CHANGES THE BUYING CONTEXT



THE ESSENTIAL IDEAS

Traditional family life cycle

The notes move from single adults and newlyweds through families with dependent children, empty nests and solitary survivors. Treat these as possible situations, not a compulsory sequence.

Changing needs

Care responsibilities, housing, time pressure and retirement can alter demand, financial commitments and preferred service levels.

Income & occupation

Use relevant, current income ranges and occupational context. Distinguish gross income from disposable spending capacity; specify household or individual income.

ADDED EXAMPLE · APPLY THE IDEA

A household with young children may value replenishment reminders and dependable delivery. Another household with similar income may prioritise a wider choice of specialist products.

CLARIFICATION · READ CAREFULLY

The traditional model omits many real households: single parents, child-free couples, shared homes and multigenerational families. “Newlywed” does not necessarily mean two salaries or higher disposable income.

REMEMBER

Life stage is a clue to needs, not a prediction about every household.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

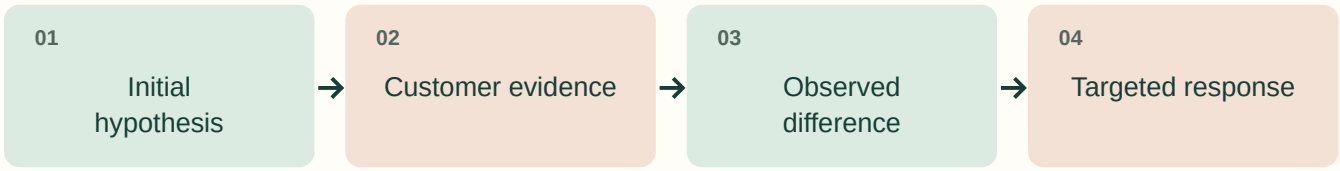
Why might two people with the same salary have different purchasing power?

Answer. Housing costs, dependants, debt, savings priorities and other commitments can leave them with different disposable income.

Use demographic labels with evidence

Demographic categories can organise research, but a label should never substitute for evidence about customer needs.

REPLACE STEREOTYPES WITH A RESEARCH QUESTION



THE ESSENTIAL IDEAS

Education & occupation

These may shape information needs, technical familiarity or buying context. Their relevance depends on the product and decision.

Culture-related variables

Religion, nationality and ethnicity may matter for particular product requirements, language or occasions. Do not assume a uniform preference within a group.

Generational cohorts

Silent generation, Boomers, Gen X, Millennials/Gen Y, Gen Z and newer labels are historical shorthand. Distinguish cohort effects from age and current circumstances.

ADDED EXAMPLE · APPLY THE IDEA

Instead of “Gen Z is easy to influence,” ask which sources a defined group trusts when choosing the product, and compare stated trust with observed purchase behaviour.

CLARIFICATION · READ CAREFULLY

The birth-decade shorthand and personality claims in the scan are not reliable definitions. Generational boundaries vary. Alpha and Beta should not simply be treated as identical to Gen Z.

REMEMBER

A demographic tells you who; research must still explain why.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why is “all older customers dislike online shopping” a poor planning assumption?

Answer. It hides variation in skills, access, confidence and preferences. Test the actual barriers within the chosen segment rather than using age as a substitute.

Selected check: Pew Research Center · Five tips on generational labels

Psychographics, personas & VALS

Psychographic analysis explores values, motives, interests and lifestyle to explain why customers may choose differently.

VALS: A STUDY SKETCH, NOT A DIAGNOSTIC TEST



THE ESSENTIAL IDEAS

Social class & lifestyle

The notes list a six-class scheme alongside lifestyle differences. Classifications vary by country and research provider; record the exact definition used.

Build an evidence-based persona

Summarise a recurring pattern of goals, context, barriers, criteria and behaviours. A persona should help decisions, not merely provide a name and photograph.

VALS overview

The US VALS framework considers resources and primary motivations: ideals, achievement and self-expression. Your notes concentrate on Innovators, Survivors, Thinkers and Experiencers.

ADDED EXAMPLE · APPLY THE IDEA

A “careful comparer” persona values clear ingredients, supporting evidence and dependable service. Those observations can shape content and support, regardless of its age bracket.

CLARIFICATION · READ CAREFULLY

The scan’s A1/A2/B1/B2/C1/C2 scheme is not a universal income ladder. VALS is a specific segmentation method; do not assign a validated type from income or a few stereotypes alone.

REMEMBER

Describe goals and decision rules, then connect them to the marketing mix.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

How does a useful persona differ from an imagined customer biography?

Answer. It is based on research and highlights patterns that change a real decision: what to offer, explain, price, distribute or measure.

Selected check: OpenStax · Market segmentation and consumer markets

VALS profiles: Innovators & Survivors

The notes contrast high-resource customers open to exploration with customers who may prioritise security and familiar choices.

DIFFERENT BARRIERS SUGGEST DIFFERENT COMMUNICATION

Exploration

Evidence + room to experiment

Reassurance

Clarity + dependable value

THE ESSENTIAL IDEAS

Innovators in the notes

Associated with confidence, information-seeking, experimentation, independence and receptiveness to technology. Use the profile to develop hypotheses about evidence and experience.

Survivors in the notes

Associated with constrained resources, caution, thrift and established routines. Consider clarity, affordability, reliability and accessible service.

Apply with care

Resources include more than money. Treat the descriptions as tendencies in a framework, not fixed characteristics of an individual or a local population.

ADDED EXAMPLE · APPLY THE IDEA

For an unfamiliar subscription, one group might value a detailed demonstration; another might value transparent commitments and an easy trial. Validate both ideas with actual customers.

CLARIFICATION · READ CAREFULLY

The scan's references to landlines, heavy television viewing and low internet use are dated profile descriptions, not dependable rules for today's Egyptian customers.

REMEMBER

Translate a profile into a testable message-not a judgement about people.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why should you avoid assuming every affluent customer is an Innovator?

Answer. Wealth does not establish motivation, openness to change or buying preferences. Relevant psychological and behavioural evidence is still required.

VALS profiles: Experiencers & Thinkers

Some customers seek stimulation and self-expression; others place greater weight on careful evaluation and practical justification.

ONE OFFER, TWO COMMUNICATION HYPOTHESES

Experiencer lens

Show the experience

Thinker lens

Explain the evidence

THE ESSENTIAL IDEAS

Experiencers in the notes

Associated with novelty, activity, sociability, visual stimulation and expressive choices. Demonstrations and participatory experiences may be useful to test.

Thinkers in the notes

Associated with planning, information gathering, considered decisions, functional benefits and proven quality. Clear comparisons and credible evidence may support choice.

Design the message

Choose the benefit, evidence, tone and channel around the actual audience. A rational explanation and an emotional story can reinforce one another.

ADDED EXAMPLE · APPLY THE IDEA

A course can show a lively workshop and also publish a clear syllabus, tutor background and practical assessment. The mix helps customers with several motivations.

CLARIFICATION · READ CAREFULLY

“No loyalty” and “analysis paralysis” are not universal consequences of a segment label. The same person can evaluate different categories in different ways.

REMEMBER

Motivation suggests an approach; measurement tells you whether it worked.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

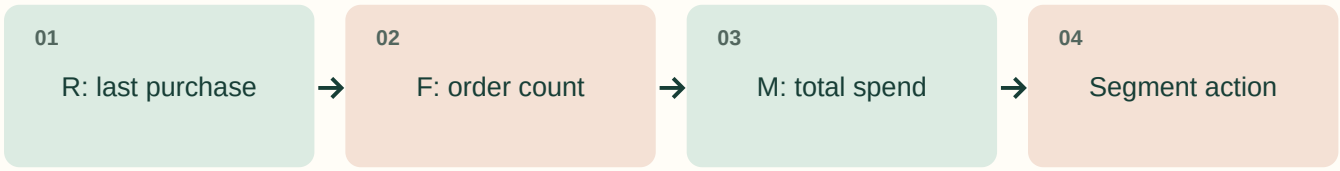
What evidence could help a careful comparer decide?

Answer. Specific benefit claims, credible comparisons, product details, authentic reviews, transparent terms and a chance to ask questions.

Behavioural segmentation & RFM

Behavioural segmentation looks at what customers seek and do: occasions, benefits, usage, status and purchase patterns.

A SIMPLE RFM RECORD



THE ESSENTIAL IDEAS

Occasions & benefits sought

An occasion explains when a purchase becomes relevant. Benefits sought explain the outcome the customer wants, such as convenience, reliability or performance.

Status & usage

Distinguish non-users, prospects, first-time users and repeat customers. Usage rate concerns how much the product is used; transaction frequency is related but not identical.

RFM

Recency = time since the latest purchase. Frequency = number of purchases in a defined window. Monetary value = spending in that window. Score consistently within a comparable customer base.

ADDED EXAMPLE · APPLY THE IDEA

Customer A bought 5 days ago, placed 8 orders in six months and spent EGP 2,400. Those facts can support RFM scoring once the thresholds are defined.

CLARIFICATION · READ CAREFULLY

Recency does not mean how long someone has been a customer. A ten-year customer who last bought yesterday is highly recent. RFM indicates buying behaviour, not directly attitudes or profit.

REMEMBER

R = how recently. F = how often. M = how much.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

A customer joined last week and bought yesterday. Does “new customer” mean low recency?

Answer. No. Their last purchase is very recent. Tenure and recency are different measures.

Selected check: Microsoft Learn · Recency, frequency and monetary analysis

RFM scoring & geographic choices

Scores simplify behaviour so you can choose an appropriate response. Geography defines where the offer must be accessible.

ILLUSTRATIVE THREE-BAND RFM

R 3	F 3	M 3
Purchased recently	Buys frequently	High spend

THE ESSENTIAL IDEAS

A transparent scoring convention

Your notes use 1-3 scores, with 3 meaning stronger behaviour. Define all cut-offs and the measurement window before interpreting combinations.

Interpret the pattern

333 can indicate recent, frequent, high-spend activity. A customer with high historical spend but weak recency may need investigation rather than another generic discount.

Geographic segmentation

Country, region, city, density, climate and service area can matter. Link geographic choices to growth strategy and fulfilment capacity.

ADDED EXAMPLE · APPLY THE IDEA

For a six-month study, recency might be scored 3 for ≤30 days, 2 for 31-90, and 1 for >90. These are illustrative thresholds; a durable-goods category needs a different cadence.

CLARIFICATION · READ CAREFULLY

333 does not prove profitability or loyalty of attitude. Spending must be assessed alongside margin, service costs and discounting. A new geographic channel is not always a new market.

REMEMBER

Score the behaviour, then diagnose the reason.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why would monthly repeat-purchase rules be unsuitable for refrigerators?

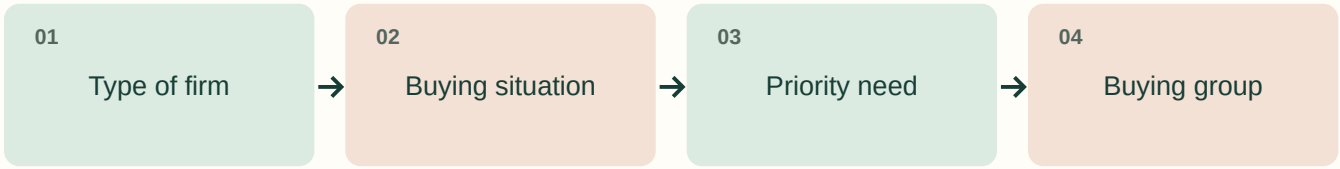
Answer. The normal purchase cycle is much longer. Low frequency may be expected rather than evidence of weak loyalty.

Selected check: Microsoft Learn · Recency, frequency and monetary analysis

Segmenting business customers

B2B segmentation must describe the organisation and the people involved in its buying decision.

A USEFUL B2B SEGMENT DESCRIPTION



THE ESSENTIAL IDEAS

Firmographics & geography

Consider industry, organisation size, location, operating model and buying structure. Identify where your product fits the customer's workflow.

Behaviour

Assess purchasing cadence, order volume, supplier relationships, decision criteria and buying situation. Identify decision makers, users and influencers.

Needs-based groups

Your notes distinguish price-focused, quality/brand-focused, service-focused and partnership-focused customers. These describe the value sought, not four compulsory categories.

ADDED EXAMPLE · APPLY THE IDEA

A small retailer may prioritise low minimum orders and reliable replenishment. A large chain may prioritise system integration, volume capacity and performance reporting.

CLARIFICATION · READ CAREFULLY

The lowest unit price may not offer the lowest total cost. Maintenance, downtime, delivery reliability and support can dominate the economic value of a business purchase.

REMEMBER

B2B is an organisational decision made by people.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why should a supplier identify both the purchasing manager and the product user?

Answer. Procurement may focus on terms and process, while users judge usability and performance. Ignoring either can block adoption or renewal.

Choose attractive, workable targets

Targeting weighs segment attractiveness against the organisation’s ability to serve it profitably and distinctively.

ILLUSTRATIVE TARGETING DECISION

Segment A	Segment B
Large reach, weak margin	Smaller reach, stronger fit

THE ESSENTIAL IDEAS

Undifferentiated

Use a broadly common offer where needs are sufficiently similar. It can simplify operations but may overlook important differences.

Differentiated & concentrated

Differentiated targeting serves several groups with tailored offers. Concentrated targeting focuses resources on a narrower group.

Evaluate the economics

Compare size, growth, access, competition, expected contribution, acquisition cost, retention and strategic fit. A large segment is not automatically the best target.

ADDED EXAMPLE · APPLY THE IDEA

Segment A contains 10 million people and Segment B 2 million, yet both could generate the same total contribution. B may be attractive, but access costs and risk still matter.

CLARIFICATION · READ CAREFULLY

Targeting choices do not map automatically onto Porter’s strategies. Existing customers are not always more profitable, and RFM 333 is not a profit calculation. The scan’s acquisition-cost percentages are unverified classroom shorthand.

REMEMBER

Attractiveness × fit × economics.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

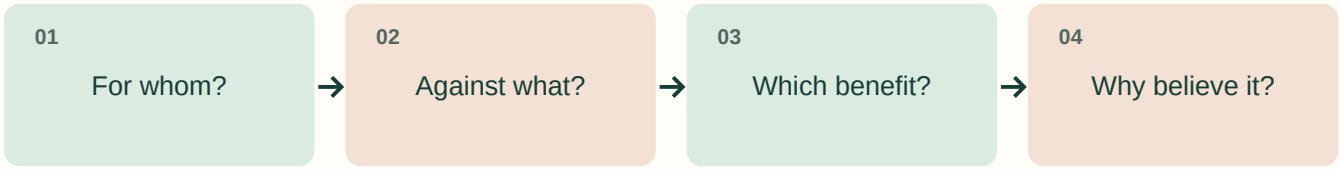
What costs might make a high-spending customer unprofitable?

Answer. Heavy discounts, returns, delivery, support, credit risk or unusually expensive acquisition and retention activity.

Positioning: earn a place in the mind

Positioning is the intended meaning of an offer for a chosen audience relative to alternatives.

A POSITIONING STATEMENT NEEDS FOUR PARTS



THE ESSENTIAL IDEAS

Establish the current picture

Research customer perceptions, competitors and the organisation's actual capabilities. Identify a difference that can be delivered.

Possible positioning bases

Your notes use attributes/benefits, quality, price/value, use/application and comparison with competitors. Pick the basis that matters to the target.

Write a clear statement

For [target], [brand] is the [frame of reference] that offers [benefit], supported by [reason to believe]. Use it to guide the whole mix.

ADDED EXAMPLE · APPLY THE IDEA

"For time-poor parents, our family-care range makes routine replenishment simple, supported by clear guidance and dependable scheduled delivery." This is an invented study example.

CLARIFICATION · READ CAREFULLY

Classroom associations such as a named car brand with safety or performance are illustrations, not verified current positioning claims. "Number one" requires a defined measure and evidence.

REMEMBER

Target + category + benefit + proof.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

If the desired position is dependable service, which Ps should change?

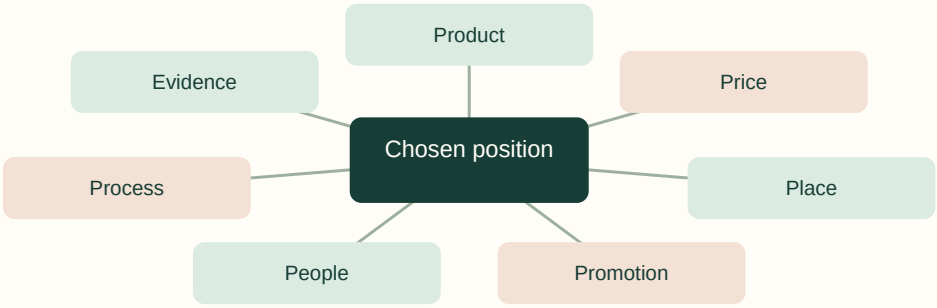
Answer. Potentially all seven. In particular: trained people, reliable processes, accessible distribution and physical evidence that supports the promise.

PERSONAL CIM STUDY COMPANION · ENGLISH Connect: 16 · 22 · 34

The 7Ps & business products

The marketing mix translates strategy into an experience the customer can actually buy and use.

A COHERENT MARKETING MIX



THE ESSENTIAL IDEAS

The 7Ps

Product, price, place, promotion, people, process and physical evidence must work together. Review them from the customer's perspective.

Customer language

The notes connect them with solution, cost, convenience, communication, care, coordination and confirmation of quality. Use these as prompts, not a separate universally fixed model.

B2B product categories

Raw materials and components enter production. Supplies support operations. Accessory equipment assists work. Installations are major capital items such as plant or machinery.

ADDED EXAMPLE · APPLY THE IDEA

A premium service promise needs capable staff, a dependable process and reassuring evidence. Premium advertising paired with unreliable delivery creates a contradiction.

CLARIFICATION · READ CAREFULLY

The familiar 4Cs are a customer-focused alternative for the original 4Ps. Extended seven-C mappings vary. "Tactics" means deliberate choices in the mix, not a random list of campaigns.

REMEMBER

Each P should reinforce the same target and position.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Is printer paper a production component or an operating supply for a consulting firm?

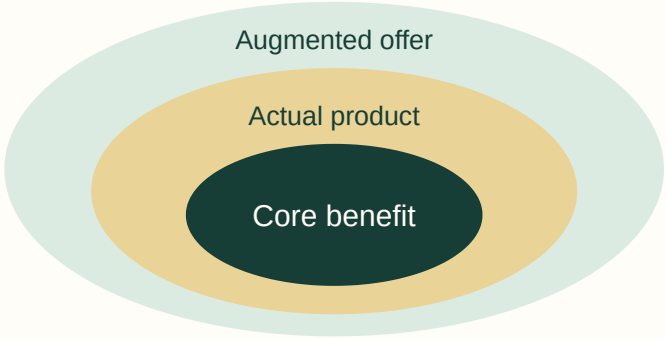
Answer. An operating supply: it supports the firm's work rather than becoming a component of the service sold in the way a manufacturing part would.

Selected check: CIM · The 7Ps of marketing

Product types & three levels of value

The product is a bundle of benefits. Its buying behaviour affects how much search, reassurance and distribution support it needs.

THREE PRODUCT LEVELS



THE ESSENTIAL IDEAS

Consumer product categories

Convenience goods usually involve limited effort. Shopping goods invite comparison. Speciality goods inspire a specific preference and extra effort. Unsought goods are not actively sought or considered.

Core benefit

The underlying outcome: transport, communication, cleanliness or peace of mind. Define the customer’s job, not just the object.

Actual & augmented offer

The actual product includes design, features, quality, brand and packaging. Augmentation adds supporting benefits such as setup, delivery, guidance, warranty or service.

ADDED EXAMPLE · APPLY THE IDEA

A phone’s core benefit may be communication; its actual offer includes hardware and interface; setup support and a useful repair service augment it.

CLARIFICATION · READ CAREFULLY

Unsought does not simply mean “unplanned.” Impulse purchases can be convenience goods. Product categories depend partly on customer behaviour, so a product need not occupy one category in every situation.

REMEMBER

Core = why buy. Actual = what you get. Augmented = what supports the experience.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

For an online course, where would live technical support usually fit?

Answer. The augmented offer, supporting access to and use of the core learning experience.

Augmentation & the service challenge

Supporting value can distinguish an offer, while service characteristics create special delivery challenges.

FOUR SERVICE CHARACTERISTICS → USEFUL RESPONSES

Intangibility Show credible evidence	**Variability** Train & standardise
Inseparability Design the interaction	**Perishability** Manage capacity

THE ESSENTIAL IDEAS

Augmentation

Helpful guidance, loyalty benefits, support and convenience can increase value. Evaluate whether the customer wants each addition and whether it is economical to deliver.

Intangibility & variability

Services may be difficult to evaluate before purchase and may vary across people, settings and occasions. Evidence, training and quality checks reduce uncertainty.

Inseparability & perishability

Production and consumption often overlap. Unused service capacity cannot usually be stored for later sale, so scheduling and demand management matter.

ADDED EXAMPLE · APPLY THE IDEA

An empty appointment today cannot be stored and sold tomorrow. Reminders, scheduling and carefully chosen off-peak offers can improve capacity use.

CLARIFICATION · READ CAREFULLY

Do not add features just because competitors do. An augmentation can become an expected basic feature over time. The four service characteristics are useful tendencies, with exceptions such as recorded digital services.

REMEMBER

Make the promise visible, repeatable, deliverable and available.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

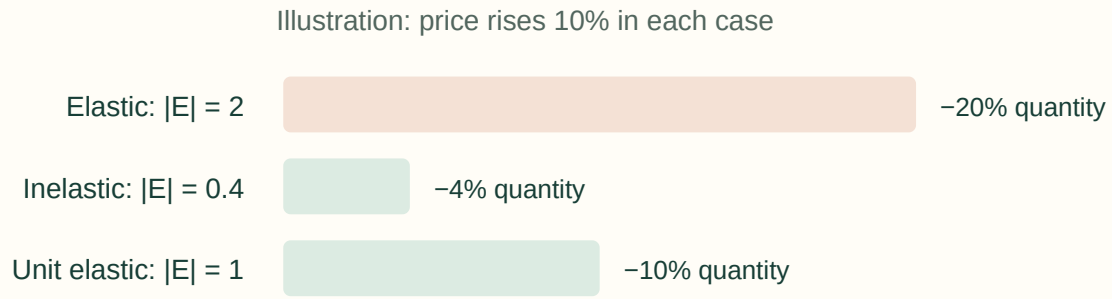
Which service characteristic explains why staff training affects consistency?

Answer. Variability. Training and process design help reduce unwanted differences between service encounters.

Pricing logic & price elasticity

Price must reflect customer value, cost, competition and the organisation’s objective. It also signals the intended position.

SAME PRICE CHANGE, DIFFERENT QUANTITY RESPONSE



THE ESSENTIAL IDEAS

Inputs to the decision

Consider production and delivery costs, perceived value over use, competitor prices, positioning, business goals and sensitivity to price.

Elasticity

Price elasticity of demand = percentage change in quantity demanded ÷ percentage change in price. For the usual downward demand curve it is negative; use its absolute value to classify sensitivity.

Penetration & skimming

Penetration sets a relatively low entry price to encourage adoption. Skimming starts high to capture willingness to pay, often reducing later as the market develops.

ADDED EXAMPLE · APPLY THE IDEA

If price rises 10% and quantity falls 20%, elasticity is −2 using those percentage changes. Demand is elastic. Revenue becomes 1.10 × 0.80 = 0.88 of the original, a 12% decrease.

CLARIFICATION · READ CAREFULLY

Revenue is not profit. A change that raises revenue may still reduce contribution. There is no universal life-cycle point at which every business must change price.

REMEMBER

Cost sets constraints; value and competition shape the feasible price.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

If |E| is 0.4, is demand elastic or inelastic?

Answer. Inelastic: quantity changes proportionately less than price. The practical revenue and profit effects still depend on the full situation.

A practical pricing toolbox

Choose a pricing method for a reason, then check its effect on contribution, customer trust and positioning.

THE ESSENTIAL IDEAS

Method	What it does
Cost-plus	Adds a stated markup to a defined cost base.
Psychological	Uses price presentation, such as 99 endings.
Demand-based	Varies the price with demand or willingness to pay.
Going-rate / parity	Uses competitors' prices as a reference.
Trial price	Reduces the initial barrier to trying the offer.
Everyday low price	Maintains relatively consistent low pricing.
Event pricing	Links an offer to a season or occasion.
Loss leader	Discounts an item to attract a wider basket.
Low-interest finance	Changes payment timing and finance cost.
Differential pricing	Uses different prices for defined conditions or groups.
Bundling	Prices a combination of products together.
Captive-product pricing	Prices a base product alongside required complements.

ADDED EXAMPLE · APPLY THE IDEA

Unit cost = EGP 100. A 25% markup produces a price of EGP 125 and a 20% gross margin. A 25% margin instead requires a price of 100 ÷ 0.75 = EGP 133.33.

CLARIFICATION · READ CAREFULLY

The scan also lists dumping. WTO usage concerns exports priced below normal value; it is not a synonym for every aggressive discount or an ordinary recommended pricing tactic. The notes' standard markup percentages are not universal.

REMEMBER

Markup divides by cost. Margin divides by selling price.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why can a cheap printer still be expensive to own?

Answer. The total ownership cost includes ink, servicing and other required complements. This is relevant to captive-product pricing.

Selected check: WTO · Glossary: dumping

Channels: make value accessible

Place covers the route to market and the systems that make the offer available when and where customers need it.

ROUTES TO THE CONSUMER

Producer → Consumer

Producer → Retailer → Consumer

Producer → Wholesaler → Retailer → Consumer

THE ESSENTIAL IDEAS

Intermediary roles

Agents and brokers facilitate transactions. Wholesalers and distributors may hold stock and supply resellers. Retailers serve final customers. Exact responsibilities depend on the arrangement.

Functions of a channel

Storage, transport, inventory control, local selling, information and service can all create value. Removing an intermediary does not remove these tasks.

Direct & indirect routes

Direct channels connect producer and customer. Indirect routes include one or more intermediaries. Evaluate reach, control, margin, service and channel conflict.

ADDED EXAMPLE · APPLY THE IDEA

A brand may sell directly online and through pharmacies. The plan should explain which customers each route serves and how pricing, stock and support remain coherent.

CLARIFICATION · READ CAREFULLY

Direct distribution and direct marketing are different ideas. A brand can communicate directly with a customer who later buys through a retailer. Agents also do not always take ownership of goods.

REMEMBER

Choose the route, assign the functions, test the economics.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

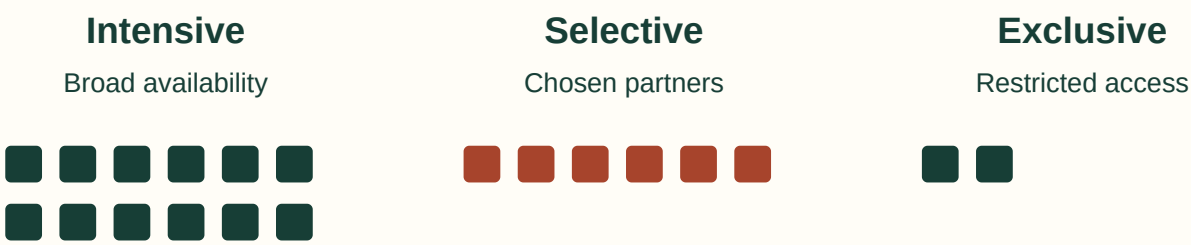
What is one disadvantage of a direct-to-consumer channel?

Answer. The producer must fund and manage activities such as acquisition, individual fulfilment and support that an intermediary might otherwise perform.

Distribution intensity & promotion direction

Choose how widely the offer should be available and whom communication should influence along the channel.

COVERAGE VERSUS CONTROL



Outlet counts are symbolic, not definitions.

THE ESSENTIAL IDEAS

Intensive distribution

Seek broad availability across suitable outlets, often useful for routine convenience purchases.

Selective & exclusive

Selective distribution uses a chosen subset of outlets. Exclusive distribution limits authorised access within a defined territory or arrangement. The trade-off is reach versus control and service.

Push & pull

Push activity encourages intermediaries to stock, recommend or sell. Pull activity stimulates end-customer preference and demand. A combined approach can use both.

ADDED EXAMPLE · APPLY THE IDEA

A specialist product may benefit from trained outlets that explain its use. A routine staple may lose sales if customers cannot find it quickly.

CLARIFICATION · READ CAREFULLY

“Three to five resellers” or “one to two resellers” are not universal definitions. The scan uses “profile” for a push/pull mix; use “combined push and pull” here to avoid confusion with profile/reputation terminology in other course texts.

REMEMBER

Distribution decides access. Promotion influences choice.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

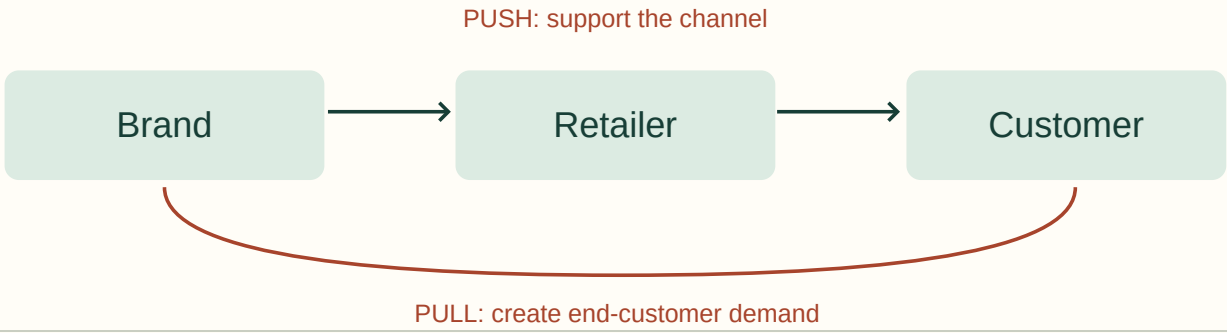
A manufacturer funds retailer staff training and a shelf display. Push or pull?

Answer. Primarily push: the activity supports the intermediary’s ability and incentive to sell the product.

Push, pull & an integrated communications mix

Communication choices should match the objective, buying process, audience and distribution reality.

TWO DIRECTIONS OF influence



THE ESSENTIAL IDEAS

Balance push and pull

A launch may require channel support and customer awareness at the same time. Existing demand, loyalty, availability and purchase context influence the balance.

Five tools in the notes

Advertising, sales promotion, personal selling, direct marketing and public relations perform different jobs. Combine them around a consistent position.

ATL, BTL, TTL

Above-the-line often describes broad paid media; below-the-line often describes more targeted activity; through-the-line combines approaches. Digital channels blur these boundaries.

ADDED EXAMPLE · APPLY THE IDEA

A new family-care range trains pharmacy staff (push), runs customer-facing demonstrations (pull), and keeps the same benefits and evidence across both.

CLARIFICATION · READ CAREFULLY

Reach alone does not define every ATL/BTL classification. A digital advert can have broad reach or a narrow audience. These labels are less useful than stating the audience, task and measurement.

REMEMBER

One position, several tools, a clear job for each.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

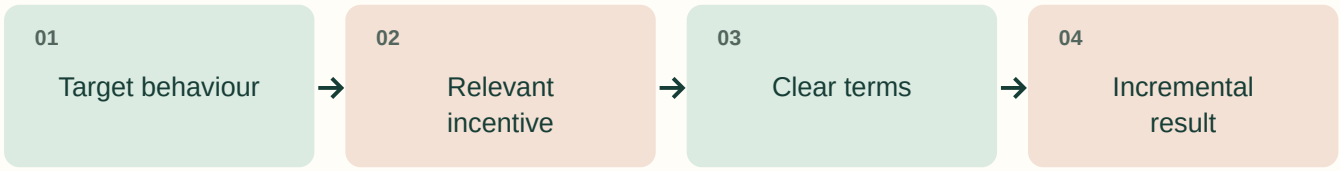
Why is a successful awareness campaign insufficient when the product is unavailable?

Answer. Pull has created interest without the channel capacity to fulfil it. Customers may switch to alternatives, wasting spend and weakening trust.

Sales promotion: stimulate trial & action

Sales promotion gives a short-term incentive. It should support a defined behaviour and be judged on incremental value.

DESIGN A PROMOTION WITH A PURPOSE



THE ESSENTIAL IDEAS

Consumer & trade objectives

Consumer offers may encourage trial, switching or repeat purchase. Trade offers may encourage listing, displays, stock or reseller effort.

Tools in your notes

Samples reduce trial risk. Coupons and promo codes reduce price. Rebates return money after purchase. Price packs combine value. Premiums add a gift. Branded specialties provide useful reminders.

Measure the effect

Compare incremental units, contribution, repeat buying and customer quality. Check whether customers simply bought earlier or stockpiled at the discounted price.

ADDED EXAMPLE · APPLY THE IDEA

A shampoo sample aims to encourage trial. A discount on the next purchase aims to encourage repeat buying. They should not share the same success measure by default.

CLARIFICATION · READ CAREFULLY

A sales uplift does not prove long-term market-share growth. A premium is a gift or extra benefit; it is not the same as premium pricing. Trade promotion targets intermediaries even when the end market is B2C.

REMEMBER

Which behaviour, from whom, at what incremental cost?

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why might a promotion increase sales volume but reduce profit?

Answer. The discount may apply to purchases that would have happened anyway, while the extra volume fails to cover discount, distribution and campaign costs.

Promotion continues; SWOT becomes TOWS

This source page finishes promotion tools and returns to the strategic audit. Both subjects are retained here in the original order.

THE TOWS MATCHING MATRIX



THE ESSENTIAL IDEAS

Further promotion tools

Loyalty rewards encourage repeat activity. Contests use skill or judging; sweepstakes use chance; games create participation. Trade events and sales incentives may support business selling.

SWOT summary

Bring together evidenced internal strengths/weaknesses and external opportunities/threats. Keep factor labels traceable to the audit.

TOWS matching

SO uses strengths to pursue opportunities. ST uses strengths to address threats. WO addresses weaknesses to pursue opportunities. WT reduces exposure where weaknesses meet threats.

ADDED EXAMPLE · APPLY THE IDEA

S1: reliable delivery. O1: demand for replenishment convenience. SO option: offer scheduled refills to a defined group, supported by that delivery capability.

CLARIFICATION · READ CAREFULLY

TOWS should generate specific options rather than a repeated SWOT list. Promotion incentives also need clear terms and an operationally feasible fulfilment plan.

REMEMBER

SWOT records the evidence. TOWS connects it to a choice.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

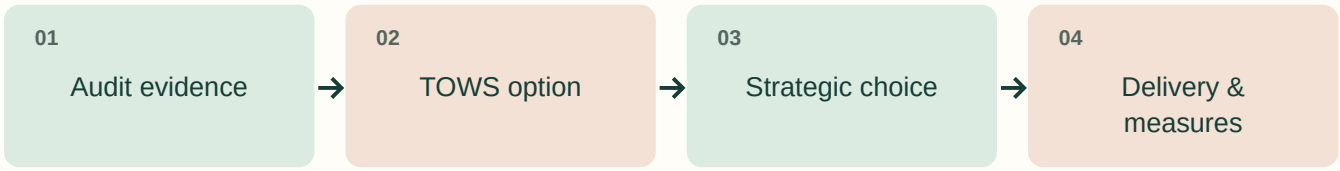
“Train the team to serve a growing online segment” most naturally fits which TOWS category?

Answer. WO, if the current weakness is digital capability and the opportunity is demand from that online segment.

Write a strategy from the evidence

A strong strategy statement identifies the evidence, the growth route, the competitive basis and the intended customer.

BUILD A DEFENSIBLE RECOMMENDATION



THE ESSENTIAL IDEAS

Choose relevant factors

Link specific strengths to an opportunity or threat. Numbering S1, S2 and O1 helps traceability, but the reasoning must explain why they fit.

State where and how

Use Ansoff to describe the growth direction and the competitive strategy to explain the basis of advantage. Add the chosen target and position.

Connect to delivery

Identify the tactics and resources needed, then judge options against feasibility, expected return, risk and the objective.

ADDED EXAMPLE · APPLY THE IDEA

"Use reliable distribution and specialist advice (S1/S2) to serve demand in a new city (O1): market development through service differentiation for time-poor parents." The case is illustrative.

CLARIFICATION · READ CAREFULLY

SO does not always mean market penetration; it could support several growth directions. A long string of factor numbers without an explanation is not a strategy.

REMEMBER

Evidence → choice → reason → action → measure.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

What is missing from "We will use differentiation to grow"?

Answer. The target, market/product scope, valued difference, supporting capability, growth objective and route to implementation.

Fix capability gaps & understand cannibalisation

Growth can require organisational repair. It can also shift sales between products in the same portfolio.

WHERE DO THE NEW PRODUCT'S SALES COME FROM?



THE ESSENTIAL IDEAS

WO and WT responses

Hiring, training, partnerships or process changes can address weaknesses. Explain which strategic choice the change enables or protects.

Cannibalisation

A new product or brand takes some sales from an existing offer owned by the same business. This can be intentional, but total portfolio economics matter.

Perceived value

The notes compare benefits with cost. Treat perceived value as the customer's assessment of the total trade-off, including money, time, effort and risk.

ADDED EXAMPLE · APPLY THE IDEA

A new range sells 1,000 units, including 300 switched from the company's existing range. Unit cannibalisation is 30%. Evaluate the lost contribution, new contribution and launch costs.

CLARIFICATION · READ CAREFULLY

The Ariel/Tide market shares and benefit-cost numbers are teaching scenarios in the scan, not verified brand data. A benefit/cost ratio is not a profit calculation and needs defined, comparable inputs.

REMEMBER

New-product sales can grow while total portfolio profit falls.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

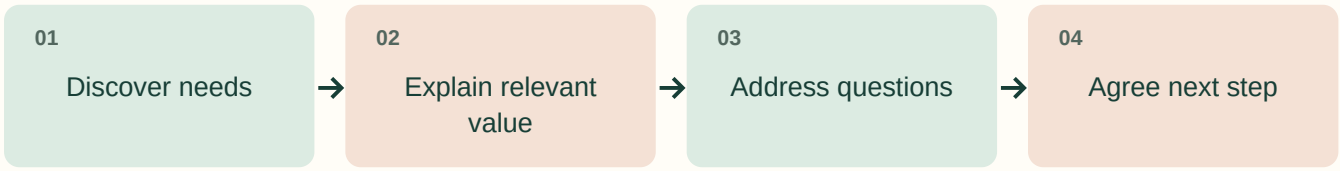
What must you measure beyond the new product's revenue?

Answer. Sales displaced from existing offers, contribution margins, genuinely new demand, competitor switching, launch costs and the total portfolio result.

Portfolio defence & personal selling

Defending an offer can involve portfolio choices, while personal selling helps explain value in an interactive setting.

A USEFUL SELLING CONVERSATION



THE ESSENTIAL IDEAS

Portfolio defence

A flanker brand can cover another segment. A fighter brand can respond to price competition. Acquiring a competitor or increasing perceived value are other possible responses, with different risks.

Two message layers

Retain a consistent positioning message while adapting the explanation to the individual customer's needs and desired benefit.

Personal selling trade-off

Two-way dialogue allows questions, demonstrations and tailored reassurance. It can be expensive per contact, so focus effort where interaction adds value.

ADDED EXAMPLE · APPLY THE IDEA

For a business buyer, a salesperson can demonstrate how reliable replenishment reduces stockouts, while still using the same brand promise as the wider campaign.

CLARIFICATION · READ CAREFULLY

A fighter brand is not required to sell at break-even, and a flanker can cannibalise its parent. Treat the named-brand examples and ratios as classroom illustrations, not factual case studies.

REMEMBER

Customise the explanation; keep the promise consistent.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

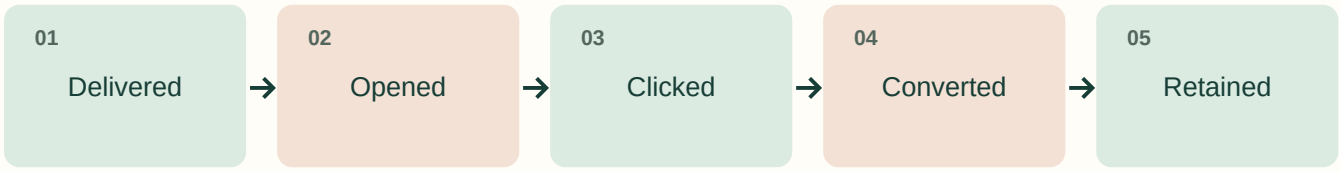
When might personal selling be more suitable than a simple mass advert?

Answer. When the purchase is complex, high involvement, requires demonstration, involves several decision makers, or needs tailored reassurance.

Direct marketing & the response funnel

Direct marketing communicates with identifiable audiences and seeks a measurable response, often supported by customer data.

MEASURE MORE THAN THE FIRST CLICK



THE ESSENTIAL IDEAS

Tools

The notes include direct mail/email, catalogues and telemarketing. A CRM helps manage contact history and follow-up when data is accurate and appropriately collected.

Buyer & seller value

Customers may gain convenience and relevant information. Businesses can learn from responses and adjust follow-up, but relevance and frequency affect the experience.

Inbound & outbound

Inbound telephone contact starts with the customer; outbound starts with the organisation. Track the result through to meaningful action.

ADDED EXAMPLE · APPLY THE IDEA

10,000 emails are delivered, 400 recipients click and 40 order. Click rate = 4%; order conversion among clickers = 10%; order conversion among delivered emails = 0.4%. State each denominator.

CLARIFICATION · READ CAREFULLY

The scan's 95% open rate and 17% telemarketing share are unverified examples. Opens can also be affected by tracking technology; an open is not proof of attention or buying intent.

REMEMBER

A metric needs a denominator, a time window and a business meaning.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Why is a high open rate insufficient evidence that an email campaign succeeded?

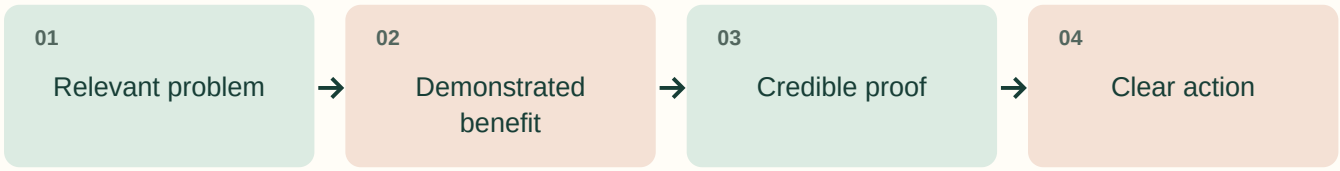
Answer. The objective may be qualified enquiries, purchases or retention. Opens can occur without useful action and may not accurately represent human attention.

PERSONAL CIM STUDY COMPANION · ENGLISH Connect: 39 · 41 · 48 · Formulas

Direct response & rational advertising

A communication can build awareness and invite immediate action. Its execution should make the benefit understandable and believable.

A CLEAR DIRECT-RESPONSE MESSAGE



THE ESSENTIAL IDEAS

Direct-response formats

Home shopping, infomercials and direct-response TV combine explanation with an action route such as a phone number, web address or ordering mechanism.

Kiosk interaction

A kiosk can provide information, demonstrations, customisation or purchasing. Define its purpose in the customer journey rather than assuming all kiosks behave alike.

Rational appeals

Factual messages present a substantiated claim; demonstrations show performance; comparisons explain relative advantages. Match the evidence to the target's decision criteria.

ADDED EXAMPLE · APPLY THE IDEA

A product demonstration shows a realistic use case, explains the result and offers a simple next step. A before/after comparison should use comparable conditions.

CLARIFICATION · READ CAREFULLY

An infomercial is a form of direct-response advertising, not a mandatory life-cycle phase. The scan's "two days" timing is an example, not a general product rule. Kiosks can sometimes complete purchases.

REMEMBER

Claim + proof + next step.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

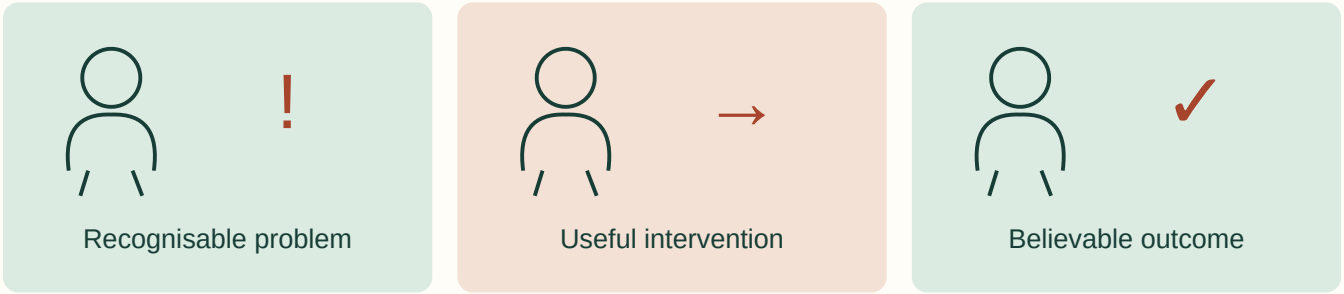
What makes a comparison useful rather than merely attention-grabbing?

Answer. It compares relevant attributes under fair conditions, uses supportable evidence and explains why the difference matters to the target customer.

Creative appeals: stories people remember

Creative execution should help the intended benefit stay in memory and support the desired action.

A THREE-FRAME ADVERTISING STORY



THE ESSENTIAL IDEAS

Slice of life

Show a recognisable situation, a relevant problem and the offer's role in solving it. The scene should reflect real customer insight.

Endorsement & music

Testimonials, celebrities and music can make a message memorable. Consider credibility, relevance, brand recall and the risk that the execution overshadows the offer.

Lifestyle & attraction

Lifestyle imagery or sexual appeal may attract attention, but response depends on audience and context. Attention alone does not demonstrate preference or purchase.

ADDED EXAMPLE · APPLY THE IDEA

A parent struggles with a rushed morning; a simple routine removes friction; the outcome shows the benefit. This is a story structure, not evidence for a product claim.

CLARIFICATION · READ CAREFULLY

Advertising clutter means competing messages in the environment, not simply the use of a melody. "Copy" in advertising refers to the message text; a slice-of-life technique does not require copying someone else's work.

REMEMBER

If viewers remember the celebrity but not the brand or benefit, revisit the execution.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

What should you test after showing an advert?

Answer. Brand and benefit recall, comprehension, relevance, credibility and the intended response-not just whether viewers liked it.

Emotion, public relations & CSR

Advertising can combine information and emotion. Public relations concerns relationships and reputation; social responsibility concerns how the business behaves.

CARROLL'S FOUR RESPONSIBILITIES



THE ESSENTIAL IDEAS

Further appeals

Animation can simplify or dramatise an idea. Humour can increase attention. Fear appeals present a risk and response. Choose executions that make the benefit clear and credible.

Public relations

Use communication and relationships to build understanding with relevant publics. Events, media relations and community activity can contribute, alongside consistent organisational behaviour.

Carroll's CSR model

Economic, legal, ethical and philanthropic responsibilities provide a framework for discussing business responsibility. Ethics runs through the whole model.

ADDED EXAMPLE · APPLY THE IDEA

A recycling campaign is more credible when product design and actual waste practices support it. Reporting the result helps people assess the claimed benefit.

CLARIFICATION · READ CAREFULLY

CSR is broader than promotion or charity. Philanthropy does not cancel the need for responsible commercial conduct. Humour, fear or animation are techniques, not guarantees of effectiveness.

REMEMBER

Reputation follows the gap between what an organisation says and does.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

Can a donation alone demonstrate that a company is socially responsible?

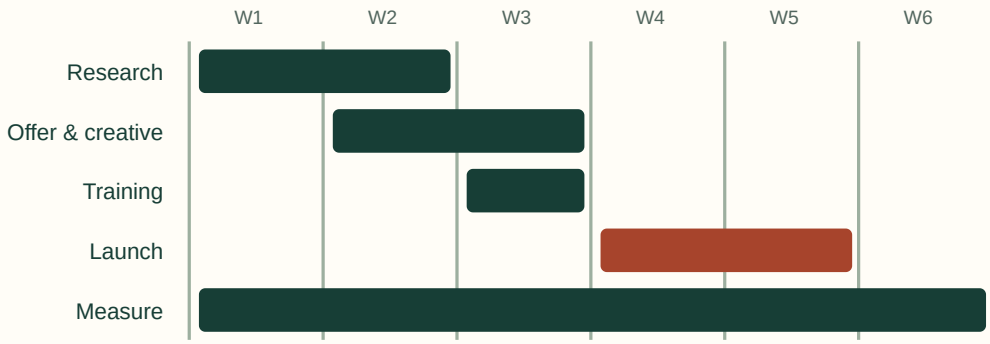
Answer. No. Its economic conduct, legal compliance, ethical behaviour and wider stakeholder impacts must also be considered.

Selected check: Archie B. Carroll · Carroll's pyramid of CSR: taking another look

Turn the mix into an action plan

Implementation gives each tactic an owner, a schedule, a budget and a way to measure delivery.

ILLUSTRATIVE SIX-WEEK IMPLEMENTATION



THE ESSENTIAL IDEAS

People, process, evidence

Build relevant skills, reliable workflows and visible reassurance. These complete the mix and address weaknesses uncovered in the audit.

RACI

Responsible does the work; Accountable owns the outcome; Consulted contributes input; Informed receives updates. Assign a clear accountable owner for each activity.

Budget & schedule

Percentage-of-sales uses revenue as a base. Competitive parity uses rival spending as a reference. Objective-and-task estimates the activities needed. A Gantt chart makes timing and dependencies visible.

ADDED EXAMPLE · APPLY THE IDEA

For a retailer launch: research precedes message design, training precedes selling, and measurement begins with a baseline. Each row gets an owner, cost and completion criterion.

CLARIFICATION · READ CAREFULLY

RACI uses “Consulted” and “Informed.” Roles are not fixed by job title. The scan’s budget percentages are examples, not standard requirements. Process includes far more than buying an ERP system.

REMEMBER

Who? What? When? How much? How will we know?

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

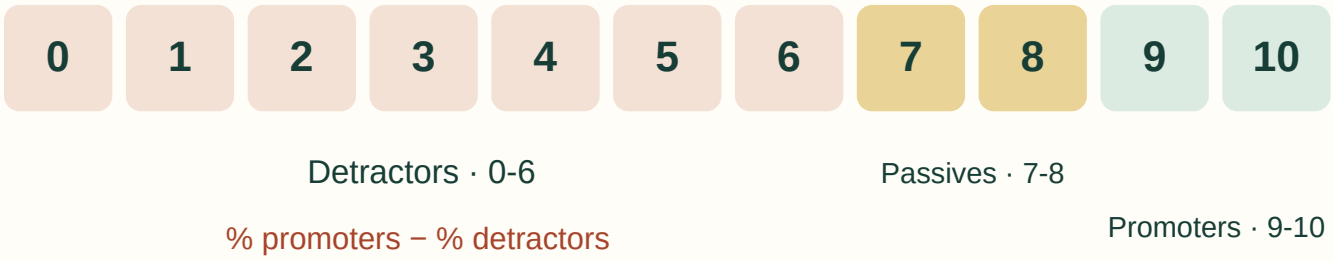
How is an objective-and-task budget constructed?

Answer. Define the outcome, identify necessary activities and resources, estimate each cost, total them, then test affordability and likely return.

NPS: measure recommendation intent

Net Promoter Score summarises responses to a recommendation-likelihood question on a 0-10 scale.

HOW THE 0-10 RESPONSES ARE GROUPED



THE ESSENTIAL IDEAS

Three groups

Detractors score 0-6. Passives score 7-8. Promoters score 9-10. Calculate each group as a percentage of all valid responses.

The calculation

NPS = percentage of promoters − percentage of detractors. Its range is −100 to +100. Passives stay in the denominator even though they are not subtracted directly.

Use the feedback

Investigate the reasons behind the score and compare consistent populations over time. Address serious failures, understand passive responses and support valuable advocacy.

ADDED EXAMPLE · APPLY THE IDEA

Out of 100 responses, 55 are promoters, 25 passives and 20 detractors. NPS = 55 − 20 = +35. It is reported as a score, not “35% satisfied.”

CLARIFICATION · READ CAREFULLY

NPS is not sentiment analysis or a complete measure of satisfaction. It does not guarantee growth. There is no universally correct priority order for the three groups; investigate the causes and business impact.

REMEMBER

Subtract percentages, not raw counts; keep all valid responses in the base.

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

60 promoters, 20 passives and 20 detractors: what is NPS?

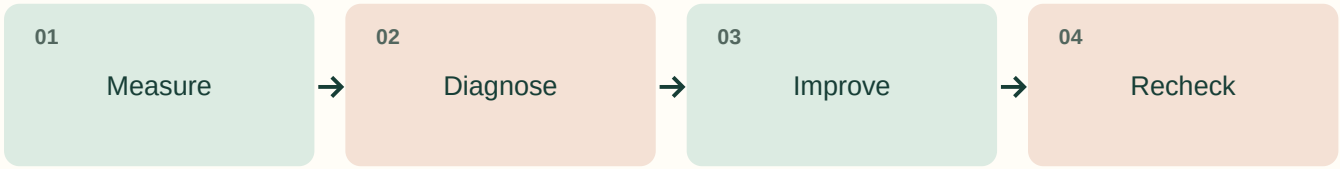
Answer. 60% − 20% = +40. Passives remain part of the 100-response denominator.

Selected check: Bain & Company · Measuring your Net Promoter Score

CSAT, NPS & the control loop

Choose the metric that answers the question you need to resolve, then connect the result to action.

MEASUREMENT SHOULD CHANGE A DECISION



THE ESSENTIAL IDEAS

CSAT

Customer satisfaction measures evaluation of an experience or offer. In a common five-point method, the percentage scoring 4 or 5 is the reported CSAT. State the method used.

Different questions

NPS asks about recommending. CSAT asks about satisfaction. Sentiment analysis interprets positive/negative feeling in text or other data; it is a separate method.

Control loop

Set a baseline and target, collect comparable data, diagnose the cause of any gap, assign an improvement and measure again. Combine survey evidence with behaviour and qualitative feedback.

ADDED EXAMPLE · APPLY THE IDEA

If 160 of 200 respondents choose 4 or 5, CSAT = 80%. Report the sample, date, touchpoint and question so comparisons remain meaningful.

CLARIFICATION · READ CAREFULLY

NPS is not universally more accurate than CSAT. Neither a quarterly NPS schedule nor immediate CSAT after every purchase is compulsory. Match timing to the experience; products may need time to be evaluated.

REMEMBER

NPS: recommend? CSAT: satisfied? Behaviour: what actually happened?

CHECK YOUR UNDERSTANDING · ADDED PRACTICE

A delivery was late but the customer still loves the brand. Which measures could capture both facts?

Answer. A delivery-specific CSAT question can capture the poor interaction; relationship NPS can capture recommendation intent. The results need not agree.

Selected check: Qualtrics · What is CSAT and how do you measure it?

The formula sheet

Write the formula, name the denominator, state the assumptions, then interpret the result.

Market share

Company sales ÷ total market sales × 100

Use the same period, geography, category and value/volume basis.

Relative market share

Your share ÷ largest competitor’s share

25% ÷ 50% = 0.5×. If you lead, compare with the largest rival.

Percentage change

(New − old) ÷ old × 100

From 100 to 120 = +20%.

Percentage-point change

New percentage − old percentage

From 23% to 38% = +15 percentage points.

Price elasticity of demand

% Δ quantity ÷ % Δ price

Use absolute magnitude for classification: >1 elastic; <1 inelastic.

Unit contribution

Price − variable cost per unit

EGP 100 − EGP 60 = EGP 40 before fixed costs.

Break-even units

Fixed costs ÷ unit contribution

EGP 20,000 ÷ EGP 40 = 500 units, assuming a constant positive contribution.

Markup & margin

Markup = profit on unit ÷ cost
Margin = profit on unit ÷ price

Cost 100; price 125 → 25% markup, 20% margin. Define included costs.

Net Promoter Score

% promoters − % detractors

Promoters 9-10; passives 7-8; detractors 0-6. Range −100 to +100.

CSAT: common top-two-box method

Satisfied responses ÷ all valid responses × 100

On a 1-5 scale, scores 4 and 5 count as satisfied.

Conversion rate

Desired actions ÷ eligible base × 100

Name the base: visitors, clicks, leads or delivered messages.

Illustrative campaign ROI

(Incremental contribution − campaign cost) ÷ campaign cost × 100

Use incremental contribution before campaign spend. Revenue alone overstates return.

Additional formulas support the examples and case. Break-even assumes stable price and unit variable cost within the relevant range; round up when whole units are required. For sizeable price changes, a midpoint elasticity calculation avoids dependence on the starting base.

The language of the plan

A compact glossary for the models and abbreviations used in your notes.

Ansoff
A product/market framework for choosing a growth direction.

ATL / BTL / TTL
Broad paid media / more targeted activity / a combined approach; usage varies.

B2B / B2C / B2G
Business-to-business / consumer / government markets.

BCG
Portfolio matrix using market growth and relative share.

Cannibalisation
An offer takes sales from another offer owned by the same business.

CSF
Critical success factor: a condition that matters for competing successfully.

CRM / ERP
Customer relationship management / enterprise resource planning systems.

CSAT
A stated method of measuring customer satisfaction.

Differentiation
A valued distinction in an offer or its delivery.

KPI
Key performance indicator tied to an objective and a decision.

NPS
Recommendation-intent score: % promoters minus % detractors.

PESTEL
Political, economic, social, technological, environmental and legal factors.

PLC
Product life cycle: introduction, growth, maturity and decline.

Positioning
The intended meaning of an offer for a target relative to alternatives.

RACI
Responsible, Accountable, Consulted, Informed.

RFM
Recency, Frequency and Monetary value of purchase behaviour.

ROI
Return on investment; define numerator, costs and time horizon.

SKU
Stock-keeping unit: an inventory identifier for a specific item/variant.

SMART
Specific, measurable, achievable, relevant and time-bound; variants exist.

SOSTAC
Situation, objectives, strategy, tactics, action and control.

STP
Segmentation, targeting and positioning.

SWOT / TOWS
Evidence summary / matching factors to generate strategic options.

USP
Unique selling proposition: a distinctive reason to choose an offer.

VRIN / VRIO
Tests of strategic resources; non-substitutability or organisation completes the set.

Noura Care: make a defensible plan.

An invented Cairo family-care brand wants more repeat purchases without weakening its contribution margin.

100	60	30%
EGP price per unit	EGP variable cost per unit	90-day repeat-purchase baseline

Noura sells an existing shampoo range through its website and pharmacies. Customers praise clear guidance but report unreliable availability. Repeat customers often use discount codes. The team has strong product knowledge but weak CRM data. Research suggests that a group of busy parents wants dependable replenishment. A national rival has wider distribution.

The team proposes an EGP 20,000 pilot using replenishment reminders, stock alerts and staff training. The pilot is expected to generate 700 incremental full-price unit sales. Treat all figures as assumptions to test. Survey results: 50 promoters, 30 passives and 20 detractors; 76 of 100 respondents report being satisfied with their latest delivery.

1 · Diagnose. Identify one strength, weakness, opportunity and threat. Explain a TOWS option.

2 · Choose. Write a SMART repeat-purchase objective. Select an Ansoff route, a target and a positioning idea.

3 · Deliver. Propose three connected Ps, an accountable owner and one implementation dependency.

4 · Calculate. Find unit contribution, pilot break-even units, expected campaign ROI, NPS and CSAT. Explain one limitation.

A possible answer-not the only answer.

Judge the logic linking evidence and decisions. A list of model names is not enough.

1 · Audit and TOWS

Strength: product knowledge. Weakness: poor CRM data and availability. Opportunity: demand for dependable replenishment. Threat: the rival's superior reach. A WO response improves stock information and CRM processes so the brand can serve that opportunity reliably. Confirm each finding with evidence before treating it as established.

2 · Objective and strategy

Illustrative objective: increase the proportion of eligible first-time Cairo customers who reorder within 90 days from 30% to 40% by the end of the next two quarters, while preserving at least EGP 40 unit contribution before campaign costs. Use cohorts with a complete 90-day observation window. The growth route is market penetration: the existing range serves the existing market.

Target: busy parents with a demonstrated need for convenient replenishment. Position: straightforward family care with dependable availability. Prove the promise through fulfilment performance and useful guidance.

3 · A connected mix and action plan

Place: reliable availability online and in chosen pharmacies. Process: clean CRM records and accurate replenishment triggers. People: train staff to explain the offer consistently. The marketing manager is accountable; CRM and operations specialists own defined tasks. Improve stock reliability before increasing demand through reminders.

4 · CALCULATIONS

Unit contribution = 100 − 60 = **EGP 40**.
Break-even incremental units = 20,000 ÷ 40 = **500**.
Incremental contribution = 700 × 40 = **EGP 28,000**.
Campaign ROI = (28,000 − 20,000) ÷ 20,000 × 100 = **40%**.
NPS = 50% − 20% = **+30**.
Delivery CSAT = 76 ÷ 100 × 100 = **76%**.

INTERPRETATION MATTERS

The ROI depends on sales being incremental, full-price and measured after returns. The 700-unit forecast needs validation. NPS and delivery CSAT describe different questions; neither proves why repeat purchasing is weak. Track fulfilment, cohort repeat rate, contribution and qualitative feedback together.

Close the book. Explain the idea.

The HTML edition turns the 53 lesson questions into a reusable recall deck.

Before revealing an answer, say your response aloud or write two sentences. If you can define the idea, apply it and explain one limitation, move on. If you cannot, return to the linked lesson.

PAPER STUDY METHOD

Each lesson already includes its recall question and answer. Cover the answer, attempt the question, then check. Use the prompts below for a second, more demanding pass.

Connect three models

Choose a PESTEL factor. Explain how it could change industry competition, the SWOT/TOWS analysis and the final marketing mix.

Explain a distinction

Compare BCG with PLC, segmentation with targeting, low price with low cost, and NPS with CSAT. Give one example of each difference.

Defend a decision

Choose a target group and a positioning statement. State two supporting facts, one assumption to test, one alternative you considered and the KPI that would tell you to change course.

A USEFUL ANSWER STRUCTURE

Define the concept → apply it to the case → support the choice with evidence → identify a limitation → explain how success will be measured.

This is a practice method, not an official CIM marking scheme. Use the actual assessment brief for required task verbs, scope and word limits.

References & editorial choices.

The original notebook is the main source. These references support selected corrections and added explanations.

PRIMARY SOURCE · ALL 53 PAGES

Handwritten notebook (private source). Each numbered lesson maps to the same-numbered PDF page. The printed diary numbers and dates are not used as page identifiers.

CIM · The 7Ps of marketing

Checks the seven elements and the customer-value focus.

https://www.cim.co.uk/content-insights/articles/the-7ps-of-marketing/

BCG · What is the growth-share matrix?

Checks the two axes and four portfolio categories.

https://www.bcg.com/about/overview/our-history/growth-share-matrix

PR Smith · SOSTAC planning methodology

Checks the six planning stages and the distinction between strategy, tactics and action.

https://prsmith.org/sostac/

Harvard Business School · The Five Forces

Checks the five industry forces and the direction of the main competitive pressures.

https://www.isc.hbs.edu/strategy/business-strategy/Pages/the-five-forces.aspx

Gartner · Hype Cycle methodology

Checks the technology-maturity lens referenced in the notes.

https://www.gartner.com/en/research/methodologies/gartner-hype-cycle

OpenStax · Market segmentation and consumer markets

Checks segmentation categories and cautions about interpreting life-stage descriptors.

https://openstax.org/books/principles-marketing/pages/5-1-market-segmentation-and-consumer-markets

References checked 12 October 2026. The book’s examples, questions and drawings are newly written teaching material. Framework names and marks belong to their respective owners. The diagrams are original explanatory drawings, not copies of published figures.

Checks behind the clarifications.

The original notebook is the main source. These references support selected corrections and added explanations.

Pew Research Center · Five tips on generational labels

Supports treating generational labels as limited research tools rather than stereotypes.

https://www.pewresearch.org/short-reads/2023/05/22/5-things-to-keep-in-mind-when-you-hear-about-gen-z-millennials-boomers-and-other-generations/

Microsoft Learn · Recency, frequency and monetary analysis

Checks the RFM dimensions and the need for a defined scoring method.

https://learn.microsoft.com/en-us/dynamics365/commerce/set-up-rfm-analysis

WTO · Glossary: dumping

Checks the export/normal-value meaning of dumping.

https://www.wto.org/english/thewto_e/glossary_e/dumping_e.htm

Archie B. Carroll · Carroll’s pyramid of CSR: taking another look

The model’s author revisits its four responsibilities and the role of ethics.

https://link.springer.com/article/10.1186/s40991-016-0004-6

Bain & Company · Measuring your Net Promoter Score

Checks the 0-10 groups and percentage-based NPS calculation.

https://www.netpromotersystem.com/about/measuring-your-net-promoter-score/

Qualtrics · What is CSAT and how do you measure it?

Checks the common CSAT calculation, timing and distinction from recommendation intent.

https://www.qualtrics.com/articles/customer-experience/what-is-csat/

References checked 12 October 2026. The book’s examples, questions and drawings are newly written teaching material. Framework names and marks belong to their respective owners. The diagrams are original explanatory drawings, not copies of published figures.

The abbreviated VALS descriptions are retained as a teaching lens from the source notes. The original provider’s framework page was not accessible during preparation; no proprietary questionnaire, score or current local population claim is reproduced. Unreadable or unsupported numerical annotations are not silently reconstructed.

From first understanding to confident practice.

Move at your pace. Use the diagnostic as a starting point, not as a verdict on your ability.

CHECK THE DESTINATION FIRST

Confirm your qualification, module, current syllabus and assessment format with your tutor. These 53 lessons follow your handwritten notes; they are not a verified full CIM syllabus. The practice questions are newly written teaching material, not released or recalled exam questions.

01 Understand the language

Begin with lessons 1-8, then 23-36. Define each idea in plain English and give an example from a business you know. Use the glossary whenever an abbreviation interrupts your understanding.

02 Connect evidence to choices

Study lessons 9-22 and 43-45. Explain how an audit finding changes a target, positioning decision or growth route. Try the strategy, portfolio and targeting cases in the practice workbook.

03 Turn choices into delivery

Work through lessons 37-42 and 46-51. Connect price, channels, messages and implementation. For every tactic, explain who it is for, why it fits and how you would measure it.

04 Measure, explain, revisit

Finish with lessons 52-53 and the formula sheet. State denominators and assumptions. Try mixed practice, review mistakes, then explain the same ideas again on a later day without looking.

This is an alternative study order, not a replacement for your tutor's schedule. The book's lesson order and original-page links remain unchanged.

One useful session at a time.

Choose a length that fits your day. Finishing a small, focused session is enough to move forward.

5 min

Recall

Close the book and explain yesterday's idea. Note the part you cannot yet explain.

15 min

Learn

Read one or two lessons. Redraw the model and apply it to a familiar brand.

10 min

Practise

Answer a few questions before checking. Read the reasoning for every option.

5 min

Reflect

Write one correction in your own words. Pick the next topic and take a break.

> **A SHORTER DAY STILL COUNTS**
>
> If you have 10 minutes, recall one idea, answer two questions and explain one mistake. There is no streak to lose. On a longer day, add a mini-case and a timed set only after you understand the topic.

Use the practice modes deliberately

- **Diagnostic:** a 20-question starting sample with answers held until the end. It cannot assess every concept.
- **Topic practice:** up to 10 questions, with immediate explanations.
- **Timed mixed practice:** 20 questions using a time limit you choose. It is a pacing exercise, not an official-format mock.
- **Mistake review:** revisit recorded wrong answers. A correct retry resolves the current flag while retaining attempt history.

Before assessment day

Use the current official guidance and any authorised sample material supplied by your tutor. Check the assessment format, timing, permitted materials, technology requirements and marking criteria. Rehearse with the confirmed format once it is known.

Current study resources: CIM FAQs directs members to MyCIM → Studying → Your reading and resources lists. Check the version and module before relying on any paper.

BEFORE YOU BEGIN

A workbook, not a verdict.

The aim is not to get everything right immediately. It is to make your reasoning clearer each time.

Important scope

These questions and fictional cases were written for your handwritten notes. They are not released, recalled or leaked CIM exam questions. The qualification level, module, syllabus version and assessment format have not yet been confirmed, so this is not a full-syllabus mock or an official marking scheme.

01

Find a starting point

Use the 20-question sample on the next page without a timer. Answer before looking at explanations. Keep a note of guesses as well as mistakes.

02

Build topic understanding

Each lesson has a foundation question followed by an application question. Read the lesson, answer both, and explain why the other options do not fit.

03

Practise decisions

Try a mini-case before reading its worked response. Link evidence → implication → recommendation → measure. Other answers may be defensible when supported by evidence.

04

Return after a gap

Write a short correction in the review log. On a later day, explain the concept without looking, then try another question or a new example.

Find your way

Starting-point sample	106 questions
Answers and reasoning	Six mini-cases
Worked case responses	My review log

Question labels give the linked source lesson. Odd-numbered questions are foundation; even-numbered questions are application. The two levels are editorial learning labels, not CIM difficulty ratings.

For interactive scoring and saved practice, open the HTML study book's Practice room. That version generates fresh selections from the same bank. The printable sample remains fixed.

START HERE · NO TIMER NEEDED

Your first 20 questions.

A small sample across the notes, with no pass mark. Use it to choose what to learn next.

Find the question numbers below in the question section. Record one answer, confidence level and a short reason. Then use the answer explanations to mark your work.

Question	Lesson	My answer	Confidence	Correct / revisit
Q001	1		L / M / H	
Q008	4		L / M / H	
Q012	6		L / M / H	
Q017	9		L / M / H	
Q026	13		L / M / H	
Q033	17		L / M / H	
Q040	20		L / M / H	
Q043	22		L / M / H	
Q045	23		L / M / H	
Q054	27		L / M / H	
Q059	30		L / M / H	
Q068	34		L / M / H	
Q073	37		L / M / H	
Q076	38		L / M / H	
Q080	40		L / M / H	
Q085	43		L / M / H	
Q090	45		L / M / H	
Q095	48		L / M / H	
Q104	52		L / M / H	
Q105	53		L / M / H	

Turn the result into a next step

Correct: ___ / 20 Incorrect: ___ Unanswered: ___

Start with the linked lesson for a missed or guessed answer. A high-confidence wrong answer is especially useful to revisit. A correct guess is not yet secure understanding.

This fixed sample and the interactive diagnostic are different selections from the same question bank. Neither covers every idea or predicts a CIM result.

Q001-Q004

Q001 · Lesson 1 · foundation My answer: ___

What distinguishes demand from a want in marketing?

- **A.** Willingness and ability to buy the preferred solution
- **B.** Awareness that several solutions exist
- **C.** A preference shared by many potential users
- **D.** An underlying requirement shared across customer groups

Confidence: low / medium / high

Reason in my own words: _____

Q002 · Lesson 1 · application My answer: ___

A delivery company promises next-day arrival. A customer receives the parcel after three days, although the contents are excellent. Which interpretation best follows the satisfaction model?

- **A.** Excellent contents necessarily outweigh the delivery delay
- **B.** Performance fell below an expectation created by the promise
- **C.** The customer has no demand because delivery was late
- **D.** Satisfaction depends only on the price paid

Confidence: low / medium / high

Reason in my own words: _____

Q003 · Lesson 2 · foundation My answer: ___

Which priority most clearly indicates a production orientation?

- **A.** Persuading customers to purchase existing stock
- **B.** Adding advanced features to demonstrate technical quality
- **C.** Increasing efficient output and making products widely available
- **D.** Reshaping the offer around researched customer needs

Confidence: low / medium / high

Reason in my own words: _____

Q004 · Lesson 2 · application My answer: ___

Interviews show that people join a photography course to improve skills, meet peers and feel proud of their work. How should the marketer interpret these motivations?

- **A.** Select one universal motivation for every participant
- **B.** Treat practical learning as evidence that social needs are absent
- **C.** Assume achievement matters only after every other need is satisfied
- **D.** Recognise that practical and psychological motivations can operate together

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q005-Q008

Q005 · Lesson 3 · foundation My answer: ___

What best describes market orientation across an organisation?

- **A.** Giving the marketing department sole responsibility for customer satisfaction
- **B.** Sharing customer and competitor insight to coordinate delivery of value
- **C.** Measuring success mainly through the volume of promotional activity
- **D.** Allowing product specialists to define value without customer evidence

Confidence: low / medium / high

Reason in my own words: _____

Q006 · Lesson 3 · application My answer: ___

A retailer advertises reliable collection, but orders are often unavailable when customers arrive. Which response best supports market orientation?

- **A.** Align stock planning, collection procedures and customer communications around the promise
- **B.** Increase advertising frequency to strengthen awareness of collection
- **C.** Ask sales staff to make stronger promises about availability
- **D.** Measure campaign reach before considering operational changes

Confidence: low / medium / high

Reason in my own words: _____

Q007 · Lesson 4 · foundation My answer: ___

Which opening statement gives a marketing plan the clearest scope?

- **A.** The business aims to become more successful through marketing
- **B.** The organisation has a long history and many stakeholders
- **C.** The company will use several recognised marketing models
- **D.** The plan addresses repeat purchases of one range among a defined segment over twelve months

Confidence: low / medium / high

Reason in my own words: _____

Q008 · Lesson 4 · application My answer: ___

Rehab is planning a city-based stationery delivery service. She has limited space for the organisation background. Which fact is most relevant to include?

- **A.** The incorporation date without a link to current capability
- **B.** The full chronology of former office locations
- **C.** The current delivery capacity within the proposed service area
- **D.** Awards for a discontinued product outside the proposed service

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q009-Q012

Q009 · Lesson 5 · foundation My answer: ___

Which portfolio dimension describes how closely a company's product lines relate to one another?

- **A.** Consistency
- **B.** Width
- **C.** Length
- **D.** Depth

Confidence: low / medium / high

Reason in my own words: _____

Q010 · Lesson 5 · application My answer: ___

A business defines its mix as three product lines containing eight product items in total. One item has four size variants. Under this counting convention, what are width, length and that item's depth?

- **A.** Width 8, length 3, depth 4
- **B.** Width 3, length 12, depth 4
- **C.** Width 3, length 8, depth 4
- **D.** Width 4, length 8, depth 3

Confidence: low / medium / high

Reason in my own words: _____

Q011 · Lesson 6 · foundation My answer: ___

How do the BCG matrix and product life cycle differ?

- **A.** Both classify products mainly by the number of years since launch
- **B.** BCG directly measures profit while the life cycle measures market share
- **C.** Each BCG quadrant corresponds to one compulsory life-cycle stage
- **D.** BCG compares growth and relative share; the life cycle describes possible development over time

Confidence: low / medium / high

Reason in my own words: _____

Q012 · Lesson 6 · application My answer: ___

In an illustrative high-growth market, a product has 18% share and its largest competitor has 30%. Treat relative share below 1.0 as low. Which assessment is correct?

- **A.** Relative share 1.67; star
- **B.** Relative share 0.60; question mark
- **C.** Relative share 0.60; cash cow
- **D.** Relative share 12.00; dog or pet

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q013-Q016

Q013 · Lesson 7 · foundation My answer: ___

A supplier sells office furniture directly to a government department. Which customer-market label is most specific?

A. B2C
B. Recruitment market
C. B2G
D. Referral market

Confidence: low / medium / high

Reason in my own words: _____

Q014 · Lesson 7 · application My answer: ___

A wholesaler buys a manufacturer's products and also manages deliveries to retailers. How should the manufacturer map this relationship?

A. Only as a customer, because payment determines every relevant role
B. Only as a supplier, because delivery is an operational activity
C. As two unrelated stakeholders with no shared dependencies
D. As both a customer and delivery partner, recording the implications of each role

Confidence: low / medium / high

Reason in my own words: _____

Q015 · Lesson 8 · foundation My answer: ___

Within SOSTAC, which activity belongs most directly to Control?

A. Selecting a priority segment and competitive approach
B. Comparing repeat-purchase results with targets and triggering adjustments
C. Assigning a named owner to each campaign task
D. Choosing the mix of promotional channels

Confidence: low / medium / high

Reason in my own words: _____

Q016 · Lesson 8 · application My answer: ___

A team creates a SWOT list entirely from opinions and immediately selects campaigns. What is the most useful next step?

A. Validate internal and external evidence before using SWOT to develop strategic options
B. Expand each opinion into a longer list of possible tactics
C. Choose a campaign budget before examining the market
D. Treat every listed opportunity as a confirmed customer need

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q017-Q020

Q017 · Lesson 9 · foundation My answer: ___

Which factor belongs most clearly in the macro environment rather than the immediate micro environment?

- **A.** A broad increase in market interest rates
- **B.** A rival launching a competing product
- **C.** A key distributor changing its order schedule
- **D.** A major customer requesting a discount

Confidence: low / medium / high

Reason in my own words: _____

Q018 · Lesson 9 · application My answer: ___

In an illustrative market, financing costs rise and a furniture retailer depends heavily on installment purchases. Which PESTEL conclusion is best supported?

- **A.** Higher rates must increase demand for every furniture range
- **B.** The retailer should classify the change as a strength
- **C.** Costlier installments may weaken affordability, so assess exposure and test feasible responses
- **D.** The retailer can infer the exact sales decline from the rate change alone

Confidence: low / medium / high

Reason in my own words: _____

Q019 · Lesson 10 · foundation My answer: ___

Why should demographic analysis examine income distribution as well as average income?

- **A.** Average income directly measures every household's disposable budget
- **B.** Income distribution replaces the need to define a target segment
- **C.** Averages show which product benefits individual customers prefer
- **D.** An average can conceal substantial differences between customer groups

Confidence: low / medium / high

Reason in my own words: _____

Q020 · Lesson 10 · application My answer: ___

A report from another country suggests that busy households favour scheduled deliveries. A local retailer wants to invest in this service. What should it do first?

- **A.** Treat the foreign result as conclusive evidence for its own customers
- **B.** Test the proposed benefit with its local target segment and purchase evidence
- **C.** Assume all households in the service area have identical time pressures
- **D.** Increase the product range because every lifestyle trend implies demand for variety

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q021-Q024

Q021 · Lesson 11 · foundation My answer: ___

Which customer journey is an example of webrooming?

- **A.** Inspecting a product in a shop before ordering it online
- **B.** Buying online without comparing products or visiting a shop
- **C.** Researching a product online before purchasing it in a shop
- **D.** Researching and purchasing entirely within the same physical shop

Confidence: low / medium / high

Reason in my own words: _____

Q022 · Lesson 11 · application My answer: ___

A manager uses a technology's position on Gartner's Hype Cycle to claim the company can forecast next year's product sales. What is the strongest response?

- **A.** Use it to discuss expectations and maturity, then assess demand through separate market evidence
- **B.** Treat the curve as a sales forecast once the product price is known
- **C.** Assume every technology at the same stage will have equal sales
- **D.** Replace customer research with the technology's level of publicity

Confidence: low / medium / high

Reason in my own words: _____

Q023 · Lesson 12 · foundation My answer: ___

What makes an environmental-audit entry useful for a marketing decision?

- **A.** A long list of factor names with no prioritisation
- **B.** Dated evidence linked to impact, timing, implications and a proposed response
- **C.** An opportunity or threat label without explaining exposure
- **D.** A description of a trend without identifying the affected organisation

Confidence: low / medium / high

Reason in my own words: _____

Q024 · Lesson 12 · application My answer: ___

In an invented planning case, a proposed packaging requirement could raise redesign costs next year and make product information clearer. How should the audit record it?

- **A.** Only as a threat, because compliance changes always reduce value
- **B.** Only as an opportunity, because clearer information eliminates all costs
- **C.** As an immediate certainty without recording the proposal's status
- **D.** As a factor with possible costs and benefits, supported by evidence, timing and uncertainty

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q025-Q028

Q025 · Lesson 13 · foundation My answer: ___

Which condition is most likely to create a barrier to entering an industry?

- **A.** Customers can compare many similar offers easily
- **B.** Existing firms have high costs of closing their operations
- **C.** Demand grows too slowly to absorb existing capacity
- **D.** New firms need substantial capital and difficult-to-obtain distribution access

Confidence: low / medium / high

Reason in my own words: _____

Q026 · Lesson 13 · application My answer: ___

A proposed manufacturer must fund specialised equipment and complete lengthy certification before selling. From an incumbent's perspective, which judgement is best supported?

- **A.** The industry must have low rivalry between existing firms
- **B.** The incumbent can assume its products will remain profitable indefinitely
- **C.** These requirements can reduce entry pressure, although other competitive forces still require analysis
- **D.** Certification is evidence that customer switching costs are necessarily high

Confidence: low / medium / high

Reason in my own words: _____

Q027 · Lesson 14 · foundation My answer: ___

A rail operator defines its industry as intercity rail travel. Which offer is most clearly a substitute satisfying the same underlying customer need?

- **A.** An intercity coach service connecting the same destinations
- **B.** Another rail company operating on the same route
- **C.** A supplier of replacement train components
- **D.** A ticket-booking system used by the rail operator

Confidence: low / medium / high

Reason in my own words: _____

Q028 · Lesson 14 · application My answer: ___

A café depends on one specialist ingredient supplier. Two alternatives appear, but neither can meet its quality standard or delivery volume. How should the café assess supplier power?

- **A.** It has certainly fallen because the number of supplier names increased
- **B.** It may remain strong because the alternatives are not currently suitable
- **C.** It remains strong only if the incumbent has already raised its prices
- **D.** It is weak because delivery capacity is separate from bargaining power

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q029-Q032

Q029 · Lesson 15 · foundation My answer: ___

Which action represents backward integration by a furniture manufacturer?

- **A.** Opening its own shops for household customers
- **B.** Buying a competing furniture manufacturer
- **C.** Acquiring a business that supplies its timber
- **D.** Developing a partnership with a complementary interior-design service

Confidence: low / medium / high

Reason in my own words: _____

Q030 · Lesson 15 · application My answer: ___

An e-reader producer works with publishers to expand the range of compatible books. Which interpretation best explains the publishers' role?

- **A.** They are substitutes because customers can buy the books
- **B.** They are new device entrants whenever they release a title
- **C.** They eliminate every source of competitive pressure on the producer
- **D.** They are complementers because their content makes the device more useful

Confidence: low / medium / high

Reason in my own words: _____

Q031 · Lesson 16 · foundation My answer: ___

What should determine the dimensions selected for a customer perceptual map?

- **A.** The two attributes management most wants to advertise
- **B.** Evidence about dimensions that matter in customers' buying decisions
- **C.** The two variables that create the largest empty space
- **D.** The attributes on which the company has the highest internal scores

Confidence: low / medium / high

Reason in my own words: _____

Q032 · Lesson 16 · application My answer: ___

A delivery firm calls its service premium, but customer research places it near competitors on perceived reliability. What is the best next step?

- **A.** Investigate delivery and communication evidence to understand and address the perception gap
- **B.** Move its point upward on the map to match management's intended position
- **C.** Discard the results because customers cannot assess a service
- **D.** Assume a higher price will automatically establish superior reliability

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q033-Q036

Q033 · Lesson 17 · foundation My answer: ___

Which statement best distinguishes an organisational capability from a resource?

- **A.** A capability is any item recorded on an equipment inventory
- **B.** A resource becomes a capability whenever it is expensive
- **C.** Capabilities concern only marketing, while resources belong to other functions
- **D.** A capability is an ability to use resources to perform consistently

Confidence: low / medium / high

Reason in my own words: _____

Q034 · Lesson 17 · application My answer: ___

A training company has skilled tutors and strong course material, but sales and scheduling teams do not share updates. Customers repeatedly receive incorrect start dates. What does the internal audit indicate?

- **A.** The tutors' expertise proves the overall delivery capability is strong
- **B.** Poor communication prevents useful resources from producing consistent customer value
- **C.** The problem belongs only in a macroeconomic audit
- **D.** Owning more course material will necessarily resolve the failure

Confidence: low / medium / high

Reason in my own words: _____

Q035 · Lesson 18 · foundation My answer: ___

Which resource is generally an intangible asset?

- **A.** A patent protecting a production method
- **B.** A warehouse used to hold stock
- **C.** A delivery vehicle owned by the business
- **D.** A machine used to package products

Confidence: low / medium / high

Reason in my own words: _____

Q036 · Lesson 18 · application My answer: ___

A business lists a large warehouse as a strength. Its growth plan depends on rapid city deliveries, but the warehouse is remote and often inaccessible. How should the resource be assessed?

- **A.** As a strength solely because its floor area is large
- **B.** As irrelevant because only financial resources affect growth
- **C.** Against delivery requirements, availability and relevant benchmarks before judging its value
- **D.** As proof that the business has sufficient distribution capability

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q037-Q040

Q037 · Lesson 19 · foundation My answer: ___

What does the final letter in VRIO add to the resource assessment?

- **A.** Whether customers can obtain a substitute benefit
- **B.** Whether the organisation is arranged to exploit the resource
- **C.** Whether the resource has existed longer than competitors' resources
- **D.** Whether the resource can support every possible target market

Confidence: low / medium / high

Reason in my own words: _____

Q038 · Lesson 19 · application My answer: ___

A retailer introduces a useful service process that competitors can observe and copy cheaply within weeks. Which VRIN assessment is most defensible?

- **A.** The process must be non-substitutable because customers currently value it
- **B.** Being first proves the process is permanently rare
- **C.** Customer value alone establishes a lasting competitive advantage
- **D.** The process may be valuable, but easy imitation weakens its potential for lasting advantage

Confidence: low / medium / high

Reason in my own words: _____

Q039 · Lesson 20 · foundation My answer: ___

Which statement is the most complete measurable marketing objective, assuming feasibility has been supported?

- **A.** Become the most admired provider through better marketing
- **B.** Run email campaigns every week for the next six months
- **C.** The retention team will raise six-month repeat purchase from 30% to 36% for Cairo customers by June
- **D.** Focus on existing customers because they are strategically important

Confidence: low / medium / high

Reason in my own words: _____

Q040 · Lesson 20 · application My answer: ___

An illustrative objective raises market share from 20% to 25% in the same defined market. What is the increase in percentage points and the relative percentage increase?

- **A.** 5 percentage points; 25% relative increase
- **B.** 5 percentage points; 5% relative increase
- **C.** 25 percentage points; 5% relative increase
- **D.** 20 percentage points; 25% relative increase

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q041-Q044

Q041 · Lesson 21 · foundation My answer: ___

How does Porter's generic-strategy analysis complement Ansoff's matrix?

- **A.** It specifies the weekly promotional schedule for each growth option
- **B.** It replaces the need to identify customers and markets
- **C.** It assigns every new product to a fixed level of profitability
- **D.** It clarifies the basis of competitive advantage alongside the direction of growth

Confidence: low / medium / high

Reason in my own words: _____

Q042 · Lesson 21 · application My answer: ___

A software company currently serves hotels only. It offers its unchanged scheduling product to dental practices, a customer market new to the business. Which Ansoff direction fits the stated definitions?

- **A.** Market penetration
- **B.** Product development
- **C.** Market development
- **D.** Diversification

Confidence: low / medium / high

Reason in my own words: _____

Q043 · Lesson 22 · foundation My answer: ___

A business serves a narrow segment through a sustainably lower cost base. Which generic strategy best describes this combination?

- **A.** Cost focus
- **B.** Broad differentiation
- **C.** Differentiation focus
- **D.** Broad cost leadership

Confidence: low / medium / high

Reason in my own words: _____

Q044 · Lesson 22 · application My answer: ___

A luggage brand can add either an unusual decorative badge or a reliable repair service. Target-customer research values repair support, and the service can be delivered economically. Which choice best supports meaningful differentiation?

- **A.** Choose the badge solely because no rival currently uses it
- **B.** Develop the repair service and support the promise with dependable delivery
- **C.** Choose the badge because a visible feature is easier to communicate
- **D.** Add both features without checking whether the badge contributes value

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q045-Q048

Q045 · Lesson 23 · foundation My answer: ___

Which sequence correctly describes STP?

- **A.** Choose a message, select customers, then discover their differences
- **B.** Select a segment, set a price, then plan distribution
- **C.** Identify meaningful groups, choose whom to serve, then define the intended reason to choose
- **D.** Identify competitors, copy their offers, then reach the widest possible market

Confidence: low / medium / high

Reason in my own words: _____

Q046 · Lesson 23 · application My answer: ___

A meal-kit business finds that customers of the same age divide between those seeking quick preparation and those seeking new cooking experiences. What is the most useful segmentation response?

- **A.** Keep age as the sole variable because equal ages imply equal needs
- **B.** Treat the different preferences as errors in the research
- **C.** Create narrower age bands without testing their relationship to preferences
- **D.** Combine age with benefits sought and behaviour when these differences improve decisions

Confidence: low / medium / high

Reason in my own words: _____

Q047 · Lesson 24 · foundation My answer: ___

How should a traditional family-life-cycle model be used in segmentation?

- **A.** As a compulsory sequence that every household follows
- **B.** As a set of possible situations whose relevance needs evidence
- **C.** As proof that marriage always increases disposable income
- **D.** As a replacement for researching responsibilities and spending priorities

Confidence: low / medium / high

Reason in my own words: _____

Q048 · Lesson 24 · application My answer: ___

A subscription business labels a segment "newly married" and assumes every household has two incomes and ample leisure time. What should it change first?

- **A.** Research earners, commitments and routines before designing the offer
- **B.** Offer only premium subscriptions because the label proves high spending capacity
- **C.** Infer time pressure directly from the partners' ages
- **D.** Apply the same assumptions to every household in the area

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q049-Q052

Q049 · Lesson 25 · foundation My answer: ___

What is the main limitation of using a generational label to predict buying behaviour?

- **A.** It directly measures the individual's current motives
- **B.** It fixes the same birth boundaries in every research framework
- **C.** It automatically separates cohort effects from age and circumstances
- **D.** It can hide differences within the group and confuse several sources of behaviour

Confidence: low / medium / high

Reason in my own words: _____

Q050 · Lesson 25 · application My answer: ___

A travel retailer expects customers of one nationality to prefer the same language and holiday style. Which research approach best improves this assumption?

- **A.** Apply the preference to everyone who shares that nationality
- **B.** Use nationality alone to assign every customer a product
- **C.** Test language needs and travel preferences within the defined group, allowing for variation
- **D.** Replace nationality with a generational label and retain the same certainty

Confidence: low / medium / high

Reason in my own words: _____

Q051 · Lesson 26 · foundation My answer: ___

Which variable is most clearly psychographic?

- **A.** A preference for self-expression and trying unfamiliar experiences
- **B.** The number of people living in the household
- **C.** The postcode of the customer's primary residence
- **D.** The customer's age at the time of purchase

Confidence: low / medium / high

Reason in my own words: _____

Q052 · Lesson 26 · application My answer: ___

Research finds a recurring group that compares evidence carefully and abandons purchases when terms are unclear. Which persona detail would be most useful for the marketing team?

- **A.** An invented favourite film unrelated to the buying decision
- **B.** A need for credible comparisons and clear terms, linked to content and support choices
- **C.** A photograph chosen without connection to the researched group
- **D.** A confident VALS classification based only on estimated income

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q053-Q056

Q053 · Lesson 27 · foundation My answer: ___

When applying the lesson's Innovator and Survivor profiles, what does the term "resources" require us to recognise?

- **A.** Resources mean household income alone
- **B.** A resource level fixes a person's behaviour across every purchase
- **C.** Relevant resources extend beyond money, so income alone cannot establish a profile
- **D.** Customers with the same income must have the same openness to change

Confidence: low / medium / high

Reason in my own words: _____

Q054 · Lesson 27 · application My answer: ___

A subscription team hypothesises that some cautious customers value transparent commitments, while more exploratory customers value demonstrations. What is the most appropriate next step?

- **A.** Assign every low-income prospect to the cautious group without research
- **B.** Use dated assumptions about television habits to select every channel
- **C.** Treat the two message preferences as permanent facts about individuals
- **D.** Test the messages with actual customers and compare their responses

Confidence: low / medium / high

Reason in my own words: _____

Q055 · Lesson 28 · foundation My answer: ___

Which use of an Experiencer or Thinker profile provides the strongest basis for a communication decision?

- **A.** Treat the profile as a hypothesis and test the message with customers.
- **B.** Assign the profile from age, then standardise every message.
- **C.** Use the profile to predict individual loyalty across all categories.
- **D.** Choose either emotional or rational content because the two cannot work together.

Confidence: low / medium / high

Reason in my own words: _____

Q056 · Lesson 28 · application My answer: ___

Research finds that prospective workshop customers compare practical outcomes, tutor experience and course structure before booking. Which communication should the provider test first?

- **A.** A fast montage of social scenes with no course information.
- **B.** An early booking discount that replaces information about learning outcomes.
- **C.** A clear syllabus, tutor credentials and examples of completed practical work.
- **D.** A celebrity endorsement focused on the celebrity's lifestyle.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q057-Q060

Q057 · Lesson 29 · foundation My answer: ___

A customer has a high monetary score in an RFM analysis. Which conclusion is justified by that score alone?

- **A.** The customer generates a high profit after service costs.
- **B.** The customer spent relatively heavily within the defined scoring window.
- **C.** The customer has a strong emotional attachment to the brand.
- **D.** The customer uses the product more often than other customers.

Confidence: low / medium / high

Reason in my own words: _____

Q058 · Lesson 29 · application My answer: ___

Today, Amal has been a customer for five years but last ordered 100 days ago. Dina joined ten days ago and ordered yesterday. Using time since latest purchase, which interpretation is correct?

- **A.** Amal is more recent because her relationship is longer.
- **B.** Both have equal recency because both have purchased.
- **C.** Dina must have the higher frequency score because she ordered yesterday.
- **D.** Dina has stronger recency, while their frequency scores need more information.

Confidence: low / medium / high

Reason in my own words: _____

Q059 · Lesson 30 · foundation My answer: ___

Why should a refrigerator retailer reconsider the RFM thresholds used by a weekly grocery service?

- **A.** Durable products make monetary value irrelevant to customer analysis.
- **B.** Every customer must receive the same score in different industries.
- **C.** Normal purchase cycles change what recent and frequent behaviour means.
- **D.** Geographic segmentation automatically replaces behavioural segmentation for durable goods.

Confidence: low / medium / high

Reason in my own words: _____

Q060 · Lesson 30 · application My answer: ___

R scores: 3 within 30 days, 2 at 31-90, 1 beyond 90. Six-month F scores: 3 for 6+ orders, 2 for 3-5, 1 below 3. M scores: 3 for EGP 1,200+, 2 for 600-1,199, 1 below 600. A customer last ordered 48 days ago, with seven orders totalling EGP 1,500. Which RFM code applies?

- **A.** 233
- **B.** 323
- **C.** 333
- **D.** 231

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q061-Q064

Q061 · Lesson 31 · foundation My answer: ___

Which observation adds a needs-based distinction to a B2B segment described by industry, size and location?

- **A.** The organisation employs between 50 and 100 people.
- **B.** The organisation operates in the food retail industry.
- **C.** The organisation has branches in three coastal cities.
- **D.** The organisation prioritises dependable support over the lowest purchase price.

Confidence: low / medium / high

Reason in my own words: _____

Q062 · Lesson 31 · application My answer: ___

A warehouse is comparing equipment suppliers. Procurement stresses purchase price; users report that downtime disrupts orders. What should the supplier do to build a useful proposal?

- **A.** Discuss the offer only with procurement because it controls the order.
- **B.** Investigate both groups' criteria and show purchase, downtime and support costs.
- **C.** Promise the lowest price without considering the operating requirements.
- **D.** Treat the users as the sole decision makers because they operate the equipment.

Confidence: low / medium / high

Reason in my own words: _____

Q063 · Lesson 32 · foundation My answer: ___

A business creates separate offers for several customer groups with different needs. Which targeting approach best describes this choice?

- **A.** Differentiated targeting.
- **B.** Undifferentiated targeting.
- **C.** Concentrated targeting.
- **D.** Geographic segmentation.

Confidence: low / medium / high

Reason in my own words: _____

Q064 · Lesson 32 · application My answer: ___

Segment A is larger than Segment B. Initial estimates show equal total contribution before acquisition costs. The firm can serve B well but needs expensive new infrastructure for A. What is the best next step?

- **A.** Select A because the largest segment must offer the highest return.
- **B.** Select B without checking acquisition costs or competitive risk.
- **C.** Compare access costs, capability investment and risks before selecting the target.
- **D.** Serve both segments with tailored offers regardless of available resources.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q065-Q068

Q065 · Lesson 33 · foundation My answer: ___

A positioning statement promises reliable delivery for small retailers. Which addition most directly strengthens its reason to believe?

- **A.** A broader claim that the brand is suitable for everyone.
- **B.** Evidence of delivery performance and the capability supporting it.
- **C.** A memorable slogan unrelated to delivery reliability.
- **D.** A larger advertising budget with no operational changes.

Confidence: low / medium / high

Reason in my own words: _____

Q066 · Lesson 33 · application My answer: ___

A delivery service wants to be known as dependable. Research finds customers remember late arrivals and unclear tracking. Which action most directly supports the desired position?

- **A.** Repeat the dependable slogan more frequently in advertising.
- **B.** Add unrelated premium packaging to every delivery.
- **C.** Replace customer research with an internal vote on a new slogan.
- **D.** Improve scheduling and tracking, then support the promise with verified performance.

Confidence: low / medium / high

Reason in my own words: _____

Q067 · Lesson 34 · foundation My answer: ___

A furniture factory buys timber incorporated into tables and printer paper used in its accounts office. How should these purchases be classified?

- **A.** Timber is an installation; printer paper is accessory equipment.
- **B.** Both are components because the factory purchases them.
- **C.** Timber is a raw material; printer paper is an operating supply.
- **D.** Timber is an operating supply; printer paper is a raw material.

Confidence: low / medium / high

Reason in my own words: _____

Q068 · Lesson 34 · application My answer: ___

A training company promises a premium learning experience but has confusing booking, unprepared staff and unreliable rooms. Which response best applies the 7Ps?

- **A.** Align staff preparation, booking processes and learning surroundings with the promise.
- **B.** Raise the price so customers interpret the experience as premium.
- **C.** Increase promotion while leaving the service arrangements unchanged.
- **D.** Add course topics without reviewing the delivery experience.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q069-Q072

Q069 · Lesson 35 · foundation My answer: ___

A buyer travels to a distant store for one particular camera and refuses substitutes. Which consumer product classification best fits this buying behaviour?

- **A.** Convenience, because the buyer has already chosen a model.
- **B.** Shopping, because every camera requires comparison between brands.
- **C.** Unsought, because travel makes the purchase inconvenient.
- **D.** Speciality, because a specific preference motivates extra purchasing effort.

Confidence: low / medium / high

Reason in my own words: _____

Q070 · Lesson 35 · application My answer: ___

A bicycle buyer wants affordable transport. The offer includes a lightweight frame and free setup assistance. Which mapping correctly separates the three product levels?

- **A.** Core: lightweight frame; actual: setup assistance; augmented: transport.
- **B.** Core: transport; actual: lightweight frame; augmented: setup assistance.
- **C.** Core: setup assistance; actual: transport; augmented: lightweight frame.
- **D.** Core: transport; actual: setup assistance; augmented: lightweight frame.

Confidence: low / medium / high

Reason in my own words: _____

Q071 · Lesson 36 · foundation My answer: ___

A tutoring centre cannot sell yesterday's unused lesson slot next week. Which service characteristic most directly explains this problem?

- **A.** Perishability.
- **B.** Intangibility.
- **C.** Variability.
- **D.** Inseparability.

Confidence: low / medium / high

Reason in my own words: _____

Q072 · Lesson 36 · application My answer: ___

Customers receive noticeably different levels of help from different staff at a repair service. Which intervention most directly addresses the service characteristic causing the problem?

- **A.** Publish more photographs of the reception area.
- **B.** Discount unused appointments near closing time.
- **C.** Train staff, establish service standards and review delivery quality.
- **D.** Expand opening hours without changing staff practices.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q073-Q076

Q073 · Lesson 37 · foundation My answer: ___

A pricing study estimates demand elasticity at -0.6. Which interpretation is supported by that estimate?

- **A.** Demand is elastic because the estimate is below zero.
- **B.** Demand is inelastic because quantity changes proportionately less than price.
- **C.** Demand is unit elastic because price and quantity move in opposite directions.
- **D.** Any price increase must increase profit by 0.6%.

Confidence: low / medium / high

Reason in my own words: _____

Q074 · Lesson 37 · application My answer: ___

Using original-period percentage changes, a stationery brand cuts price by 5% and quantity sold rises by 15%. Assume no other revenue sources. What are the demand elasticity and total revenue change?

- **A.** Elasticity -3; revenue increases by 10%.
- **B.** Elasticity -0.33; revenue increases by 9.25%.
- **C.** Elasticity +3; revenue decreases by 9.25%.
- **D.** Elasticity -3; revenue increases by 9.25%.

Confidence: low / medium / high

Reason in my own words: _____

Q075 · Lesson 38 · foundation My answer: ___

A retailer describes a product as having a 30% markup. Which calculation correctly tests that claim using its defined unit cost and selling price?

- **A.** Divide selling price by cost, then multiply by 100.
- **B.** Divide selling price minus cost by selling price, then multiply by 100.
- **C.** Divide selling price minus cost by cost, then multiply by 100.
- **D.** Divide cost by selling price, then multiply by 100.

Confidence: low / medium / high

Reason in my own words: _____

Q076 · Lesson 38 · application My answer: ___

A notebook has a defined unit cost of EGP 180. The retailer adds a 25% markup on that cost. What are the selling price and margin percentage using the same cost base?

- **A.** EGP 225; 20% margin.
- **B.** EGP 225; 25% margin.
- **C.** EGP 240; 25% margin.
- **D.** EGP 240; 20% margin.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q077-Q080

Q077 · Lesson 39 · foundation My answer: ___

A producer removes a wholesaler from its distribution channel. Which implication should its plan recognise?

- **A.** Storage and transport costs automatically disappear from the channel.
- **B.** All former wholesale margin becomes additional producer profit.
- **C.** Customer acquisition becomes unnecessary because the route is shorter.
- **D.** Channel functions still need owners, resources and economic assessment.

Confidence: low / medium / high

Reason in my own words: _____

Q078 · Lesson 39 · application My answer: ___

A manufacturer emails customers a product demonstration, but every purchase is completed through an independent retailer. How should the two activities be described?

- **A.** Direct distribution and indirect marketing.
- **B.** Direct marketing and indirect distribution.
- **C.** Indirect marketing and direct distribution.
- **D.** Direct marketing and direct distribution.

Confidence: low / medium / high

Reason in my own words: _____

Q079 · Lesson 40 · foundation My answer: ___

A brand authorises a chosen subset of retailers that can provide demonstrations, without granting exclusive territory rights. Which distribution intensity best fits?

- **A.** Selective distribution.
- **B.** Intensive distribution.
- **C.** Exclusive distribution.
- **D.** Direct distribution.

Confidence: low / medium / high

Reason in my own words: _____

Q080 · Lesson 40 · application My answer: ___

A kitchenware brand funds retailer product training and separately runs customer videos encouraging shoppers to request the range. Which description fits this programme?

- **A.** Both activities are push because the same manufacturer funds them.
- **B.** Both activities are pull because consumers eventually buy the products.
- **C.** Retailer training is push; customer request videos are pull.
- **D.** Retailer training is pull; customer request videos are push.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q081-Q084

Q081 · Lesson 41 · foundation My answer: ___

Digital advertising blurs traditional ATL and BTL boundaries. What is the most useful basis for selecting a communication activity?

- **A.** Use its ATL or BTL label as a substitute for an objective.
- **B.** Define its audience, intended response and measurement within the communications plan.
- **C.** Always choose the activity with the largest possible audience.
- **D.** Require every channel to use an identical execution regardless of context.

Confidence: low / medium / high

Reason in my own words: _____

Q082 · Lesson 41 · application My answer: ___

A launch campaign creates strong customer interest, but partner shops repeatedly run out of the product. Which adjustment best strengthens the integrated launch?

- **A.** Increase awareness spending immediately because interest proves the system works.
- **B.** Stop supporting retailers and rely entirely on customer demand.
- **C.** Change the brand promise before checking the stock problem.
- **D.** Coordinate replenishment and retailer support with the customer-facing campaign.

Confidence: low / medium / high

Reason in my own words: _____

Q083 · Lesson 42 · foundation My answer: ___

A promotion lifts weekly unit sales. Which additional evidence is most necessary before concluding that it created worthwhile incremental value?

- **A.** Whether the promotional artwork received positive internal feedback.
- **B.** Whether the promoted item appeared on the first page of the catalogue.
- **C.** Contribution after promotion costs and evidence of displaced or brought-forward purchases.
- **D.** The number of customers eligible for the offer, without their response.

Confidence: low / medium / high

Reason in my own words: _____

Q084 · Lesson 42 · application My answer: ___

A retailer expected 1,000 units in each of two weeks. A first-week discount produced 1,500 sales, followed by 500 in week two. Assuming the baseline is credible, what does this evidence suggest?

- **A.** No two-week incremental units; investigate whether purchasing shifted forward.
- **B.** A lasting 50% increase in demand established by the first week.
- **C.** Exactly 500 incremental units because the second week is irrelevant.
- **D.** A profit increase because the promotion sold more units in week one.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q085-Q088

Q085 · Lesson 43 · foundation My answer: ___

Which proposed action is most clearly a WT response in TOWS?

- **A.** Use a strong distribution network to enter a growing market.
- **B.** Train an inexperienced team to serve a growing online segment.
- **C.** Use a strong service reputation to counter a new competitor.
- **D.** Reduce dependence on a weak process exposed to a worsening external threat.

Confidence: low / medium / high

Reason in my own words: _____

Q086 · Lesson 43 · application My answer: ___

An audit finds that a retailer has reliable delivery and that demand for scheduled replenishment is growing. Which recommendation most clearly converts these findings into a TOWS option?

- **A.** List reliable delivery as a strength and stop the analysis there.
- **B.** Pilot scheduled replenishment for a defined segment using the delivery capability.
- **C.** Label the opportunity as a weakness to justify more research.
- **D.** Offer an unrelated discount without linking it to the audit findings.

Confidence: low / medium / high

Reason in my own words: _____

Q087 · Lesson 44 · foundation My answer: ___

A recommendation matches a strength with an opportunity. Why is it still necessary to state the Ansoff growth direction separately?

- **A.** SO explains the factor match; product and market choices determine the growth direction.
- **B.** Every SO option must involve existing products and existing markets.
- **C.** Ansoff determines whether the evidence is internal or external.
- **D.** A growth direction removes the need to define the target or competitive advantage.

Confidence: low / medium / high

Reason in my own words: _____

Q088 · Lesson 44 · application My answer: ___

A company has strong installation expertise. It plans to sell its existing office equipment in a city it has never served, targeting small firms that value dependable setup. Which description best captures its proposed strategy?

- **A.** Market penetration through low price, because the equipment already exists.
- **B.** Product development through service differentiation, because the city is new.
- **C.** Market development through service differentiation for small firms.
- **D.** Diversification through cost leadership, because expansion always changes the business.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q089-Q092

Q089 · Lesson 45 · foundation My answer: ___

What does a 25% unit cannibalisation rate for a new product mean when defined as switched units divided by new-product units?

- **A.** The company's total revenue has fallen by 25%.
- **B.** One quarter of new-product units replaced purchases of the company's existing offers.
- **C.** The new product has captured 25% of the entire market.
- **D.** One quarter of new-product buyers must be unprofitable.

Confidence: low / medium / high

Reason in my own words: _____

Q090 · Lesson 45 · application My answer: ___

A new range sells 800 units at EGP 40 contribution each before launch costs. Of these, 200 replace old-range units earning EGP 30 each. The remaining units are additional sales. Launch costs are EGP 10,000. With no other changes, what are unit cannibalisation and incremental portfolio contribution after launch costs?

- **A.** 25%; EGP 22,000.
- **B.** 33.3%; EGP 16,000.
- **C.** 25%; EGP 32,000.
- **D.** 25%; EGP 16,000.

Confidence: low / medium / high

Reason in my own words: _____

Q091 · Lesson 46 · foundation My answer: ___

How should personal selling balance a consistent brand position with differences between individual buyers?

- **A.** Use an identical script even when buyers have different needs.
- **B.** Change the central brand promise for every sales conversation.
- **C.** Keep the central promise consistent while tailoring the explanation to relevant needs.
- **D.** Avoid asking questions so that all buyers receive the same information.

Confidence: low / medium / high

Reason in my own words: _____

Q092 · Lesson 46 · application My answer: ___

A supplier sells complex stock-management software. Buyers need demonstrations and several departments approve the purchase. Sales time is expensive. Which communication choice is most justified?

- **A.** Prioritise personal selling for qualified opportunities where tailored interaction resolves important questions.
- **B.** Use only a short mass advert because interaction costs more per contact.
- **C.** Give every contact unlimited demonstrations regardless of their needs or fit.
- **D.** Replace demonstrations with a fighter brand priced at break-even.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q093-Q096

Q093 · Lesson 47 · foundation My answer: ___

Two teams report different conversion rates from the same campaign. Which information is essential before deciding that one calculation is wrong?

- **A.** Whether both teams used the same chart colours.
- **B.** Whether the campaign had a high open rate.
- **C.** Whether the campaign was labelled inbound or outbound.
- **D.** The action counted, denominator and reporting window used by each team.

Confidence: low / medium / high

Reason in my own words: _____

Q094 · Lesson 47 · application My answer: ___

A campaign delivers 8,000 emails. There are 320 unique clickers, of whom 48 each place one order within the reporting window. What are the click rate, order conversion among clickers and order conversion among delivered emails?

- **A.** 4%; 0.6%; 15%.
- **B.** 4%; 15%; 0.6%.
- **C.** 15%; 4%; 0.6%.
- **D.** 0.6%; 15%; 4%.

Confidence: low / medium / high

Reason in my own words: _____

Q095 · Lesson 48 · foundation My answer: ___

Which combination makes a direct-response demonstration most useful to a customer evaluating an unfamiliar product?

- **A.** A relevant benefit, credible performance evidence and a clear next step.
- **B.** An entertaining performance with no link to the product's use.
- **C.** A comparative claim without stating what was compared.
- **D.** A memorable slogan without an explanation or response route.

Confidence: low / medium / high

Reason in my own words: _____

Q096 · Lesson 48 · application My answer: ___

A storage-box advert compares its capacity with a rival using different box sizes and no measurement details. The brand wants a credible rational appeal. What should it change first?

- **A.** Increase the music volume to make the comparison more memorable.
- **B.** Keep the comparison but remove the rival's name.
- **C.** Use comparable conditions, state the capacity measure and substantiate the result.
- **D.** Replace the capacity result with a celebrity's unmeasured preference.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q097-Q100

Q097 · Lesson 49 · foundation My answer: ___

Viewers enjoy an advert and remember its celebrity, but cannot identify the brand or intended benefit. What is the strongest interpretation?

- **A.** High enjoyment proves the advert achieved every marketing objective.
- **B.** The execution may attract attention while failing to communicate the offer.
- **C.** Celebrity recall is a direct measure of incremental sales.
- **D.** The advert must be removed because endorsements can never support a brand.

Confidence: low / medium / high

Reason in my own words: _____

Q098 · Lesson 49 · application My answer: ___

An advert shows a freelancer struggling to organise invoices, using an app and feeling more in control. Which review would best assess this slice-of-life execution?

- **A.** Check only whether the actor is widely recognised.
- **B.** Assume the believable story proves every claimed performance result.
- **C.** Count the scenes without testing whether viewers understand the offer.
- **D.** Test whether viewers recognise the problem, understand the benefit and recall the brand.

Confidence: low / medium / high

Reason in my own words: _____

Q099 · Lesson 50 · foundation My answer: ___

Which interpretation of Carroll's CSR framework best supports a balanced assessment of a company?

- **A.** Philanthropic activity compensates for weaknesses in every other responsibility.
- **B.** Legal compliance alone completes the entire responsibility assessment.
- **C.** Economic, legal, ethical and philanthropic responsibilities all inform the assessment.
- **D.** CSR is measured only by how effectively charitable activity is promoted.

Confidence: low / medium / high

Reason in my own words: _____

Q100 · Lesson 50 · application My answer: ___

A retailer promotes a recycling initiative, but customers cannot find collection points and staff give conflicting instructions. Which action best strengthens the credibility of its public relations?

- **A.** Make collection work reliably, train staff and report verified results.
- **B.** Increase campaign reach before checking the collection process.
- **C.** Use humour to divert attention from the operational details.
- **D.** Announce a donation as a substitute for fixing the initiative.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q101-Q104

Q101 · Lesson 51 · foundation My answer: ___

Several people contribute to a launch activity, but no one clearly owns its outcome. Which RACI assignment most directly resolves that gap?

- **A.** Add more people to the Informed category.
- **B.** List every contributor as Consulted and remove delivery roles.
- **C.** Assign the most senior job title without defining the role.
- **D.** Name a clear Accountable owner while specifying who is Responsible for the work.

Confidence: low / medium / high

Reason in my own words: _____

Q102 · Lesson 51 · application My answer: ___

A team has a defined enquiry target and needs to prepare an objective-and-task budget. Which method best fits?

- **A.** Apply last year's revenue percentage without considering required activities.
- **B.** Identify the activities and resources needed, estimate costs and assess affordability and likely return.
- **C.** Match a rival's spending without checking its objectives or circumstances.
- **D.** Allocate the available money equally across channels before defining their tasks.

Confidence: low / medium / high

Reason in my own words: _____

Q103 · Lesson 52 · foundation My answer: ___

In a valid NPS survey, the number of promoters equals the number of detractors. What must the NPS be, regardless of the number of passives?

- **A.** Zero.
- **B.** The percentage of passives.
- **C.** Positive 50.
- **D.** Impossible to calculate without excluding passives.

Confidence: low / medium / high

Reason in my own words: _____

Q104 · Lesson 52 · application My answer: ___

A recommendation survey has 200 valid responses: 90 score 9-10, 70 score 7-8 and 40 score 0-6. What is the NPS?

- **A.** +50.
- **B.** +38.5.
- **C.** +25.
- **D.** 45% satisfied.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q105-Q106

Q105 · Lesson 53 · foundation My answer: ___

Comparable CSAT surveys using the same method show satisfaction rising from 70% to 82%. Which statement correctly describes the change?

- **A.** An increase of 12% relative to the original satisfaction level.
- **B.** An increase of 12 percentage points, approximately 17.1% relative to the original level.
- **C.** An increase of 17.1 percentage points, or 12% relative growth.
- **D.** An NPS improvement of 12 because all customer survey scores use the same scale.

Confidence: low / medium / high

Reason in my own words: _____

Q106 · Lesson 53 · application My answer: ___

A delivery survey defines CSAT as ratings of 4 or 5 on a five-point scale. Of 240 valid responses, 180 meet that threshold. The target is 85%, and comments repeatedly mention late arrivals. Which report and next step best complete the control loop?

- **A.** CSAT is 75%; lower the target to the observed result without investigation.
- **B.** CSAT is 85%; treat the target as the measured result.
- **C.** CSAT is 75%; replace it with NPS because recommendation scores are always more accurate.
- **D.** CSAT is 75%; investigate lateness, assign an improvement and repeat comparable measurement.

Confidence: low / medium / high

Reason in my own words: _____

Choose one best answer. All scenarios and figures are illustrative. Explanations are in Part 02.

Q001-Q003 · Reasoning

Q001 · Lesson 1 · foundation

Return to question

What distinguishes demand from a want in marketing?

A. Willingness and ability to buy the preferred solution

A · correct Demand combines a desired solution with willingness and ability to purchase it. Interest alone does not establish that a customer can support a buying decision.

B Awareness may help customers consider alternatives, but it does not show willingness or ability to purchase. Someone can know many solutions without creating demand for any.

C A widely shared preference remains a want unless customers are willing and able to buy. Popularity does not establish the purchasing capacity of that group.

D An underlying requirement describes a need, such as mobility or communication. Demand concerns a preferred solution backed by willingness and ability to make a purchase.

Revisit lesson 1: Marketing begins with a need

Q002 · Lesson 1 · application

Return to question

A delivery company promises next-day arrival. A customer receives the parcel after three days, although the contents are excellent. Which interpretation best follows the satisfaction model?

B. Performance fell below an expectation created by the promise

A Product quality contributes to the experience, but it does not automatically cancel a missed delivery expectation. Customers can judge several parts of an offer separately.

B · correct The delivery promise established an expectation that the company failed to meet. This performance gap can create dissatisfaction even when another part of the offer succeeds.

C Demand concerns willingness and ability to buy, not whether delivery later meets expectations. A completed purchase can generate dissatisfaction without changing the meaning of demand.

D Price can influence expectations and perceived value, but satisfaction also reflects performance against promises. The stated delivery commitment is directly relevant to this customer experience.

Revisit lesson 1: Marketing begins with a need

Q003 · Lesson 2 · foundation

Return to question

Which priority most clearly indicates a production orientation?

C. Increasing efficient output and making products widely available

A Persuading customers to buy existing output reflects a selling orientation. Production orientation concentrates more directly on efficient production, scale, affordability and availability of the offer.

B Emphasising advanced features and technical quality reflects product orientation. A production orientation primarily prioritises efficient output and availability rather than maximising the sophistication of features.

C · correct Production orientation emphasises scale, efficient output and availability. These priorities can be appropriate when customers mainly need affordable products and the market faces limited supply.

D Starting with researched customer needs reflects a market-oriented approach. Production orientation starts more directly with the ability to produce efficiently and make the resulting output available.

Revisit lesson 2: Motivation & business orientation

Q004-Q006 · Reasoning

Q004 · Lesson 2 · application Return to question

Interviews show that people join a photography course to improve skills, meet peers and feel proud of their work. How should the marketer interpret these motivations?

D. Recognise that practical and psychological motivations can operate together

A The interviews identify several motivations rather than one universal reason. Reducing every participant to a single category would discard relevant evidence about the course experience.

B Practical learning and social connection can both matter in the same purchase. Evidence of a functional benefit does not eliminate the psychological value customers describe.

C Maslow can support discussion of motivations, but it is not a rigid purchase sequence. The research already shows that several needs influence this decision together.

D · correct The evidence supports overlapping benefits: competence, relationships and achievement. Marketing can address these together while testing their importance for different participants instead of imposing a rigid hierarchy.

Revisit lesson 2: Motivation & business orientation

Q005 · Lesson 3 · foundation Return to question

What best describes market orientation across an organisation?

B. Sharing customer and competitor insight to coordinate delivery of value

A Customer experience depends on operations, finance, service and other functions as well as marketing. Sole departmental responsibility weakens the coordination needed to fulfil the organisation's promises.

B · correct Market orientation combines customer understanding, competitor understanding and coordinated action across functions. Shared insight matters because the whole organisation contributes to the value customers actually receive.

C Promotional volume measures activity rather than whether the organisation understands and serves customers. A market-oriented culture connects decisions and delivery to customer value and longer-term performance.

D Product expertise is useful, but market orientation also requires evidence about customers and alternatives. Internal opinions alone cannot establish which benefits matter in the buying context.

Revisit lesson 3: A market-oriented organisation

Q006 · Lesson 3 · application Return to question

A retailer advertises reliable collection, but orders are often unavailable when customers arrive. Which response best supports market orientation?

A. Align stock planning, collection procedures and customer communications around the promise

A · correct The failure spans the promise and its delivery. Coordinating stock, operations and communication addresses the customer experience and makes the advertised benefit more consistently achievable.

B Greater advertising frequency may attract more customers to an unreliable service. Awareness cannot resolve the underlying coordination failure between the promised collection experience and actual availability.

C Stronger promises increase expectations without improving fulfilment. Market orientation requires sales and operations to agree on commitments that the organisation can deliver reliably for customers.

D Campaign reach may help evaluate promotion, but it does not explain unavailable orders. The immediate evidence points to delivery processes that directly undermine the promised customer value.

Revisit lesson 3: A market-oriented organisation

Q007-Q009 · Reasoning

Q007 · Lesson 4 · foundation

Return to question

Which opening statement gives a marketing plan the clearest scope?

D. The plan addresses repeat purchases of one range among a defined segment over twelve months

A Success is too broad to define the planning decision. A useful scope identifies the offer, priority customer group, market and period that recommendations will address.

B History and stakeholders provide context, but this statement does not delimit the decision. The plan still needs a specified offer, customer group and planning period.

C Naming models describes potential analytical tools rather than the planning problem. Models should follow a clear scope so their findings address a relevant business decision.

D · correct This statement identifies the offer, priority customer group, intended behaviour and time horizon. Those boundaries make it easier to select relevant evidence and develop focused recommendations.

Revisit lesson 4: Start the plan with context

Q008 · Lesson 4 · application

Return to question

Rehab is planning a city-based stationery delivery service. She has limited space for the organisation background. Which fact is most relevant to include?

C. The current delivery capacity within the proposed service area

A An incorporation date can provide context, but no connection to the current decision is stated. Delivery capacity directly constrains the proposed service and deserves priority in this brief.

B Office history may explain capabilities in some cases, but an exhaustive account is unnecessary here. Background should prioritise evidence that affects the current planning decision.

C · correct Delivery capacity determines how many customers the service can reach and serve reliably. It directly informs feasible objectives, resources and the geographic scope of the plan.

D Past awards may support reputation when they are relevant to the current offer. Awards for an unrelated discontinued product provide less direct planning evidence than present delivery capacity.

Revisit lesson 4: Start the plan with context

Q009 · Lesson 5 · foundation

Return to question

Which portfolio dimension describes how closely a company's product lines relate to one another?

A. Consistency

A · correct Consistency concerns relationships among product lines, such as shared uses, customers or production requirements. It describes their connection rather than counting lines, items or variants.

B Width counts the number of product lines in the mix. It does not indicate whether those lines share customers, production processes, distribution channels or uses.

C Length counts the total product items across the mix under the chosen convention. It does not measure how closely the company's different product lines relate.

D Depth concerns the variants offered for a product item, such as sizes or fragrances. It does not describe the relationship between the company's product lines.

Revisit lesson 5: Describe the business & its portfolio

Q010-Q012 · Reasoning

Q010 · Lesson 5 · application

Return to question

A business defines its mix as three product lines containing eight product items in total. One item has four size variants. Under this counting convention, what are width, length and that item's depth?

C. Width 3, length 8, depth 4

A This reverses width and length. The three lines establish width, while the eight defined product items establish length; four sizes describe the depth of one item.

B The scenario defines variants separately from product items, so adding four sizes to the eight items changes the counting convention. Length remains eight under the stated definition.

C · correct Width counts three lines, length counts eight product items, and depth counts four variants of the specified item. Keeping the stated counting convention prevents mixing these dimensions.

D The four sizes are variants of one item, not four product lines. The business has three lines, so width is three and the item's depth is four.

Revisit lesson 5: Describe the business & its portfolio

Q011 · Lesson 6 · foundation

Return to question

How do the BCG matrix and product life cycle differ?

D. BCG compares growth and relative share; the life cycle describes possible development over time

A BCG uses market growth and relative market share, not product age. Life-cycle discussion concerns development over time, but age alone cannot establish a product's stage.

B BCG positions do not directly measure profitability; costs and investment still matter. The life cycle describes possible sales development rather than serving as a market-share measure.

C BCG quadrants and life-cycle stages answer different questions and are not interchangeable. A long-established product can still hold low share in a market experiencing high growth.

D · correct BCG compares a product's portfolio position using market growth and relative share. The life cycle helps discuss how sales and profit may evolve without prescribing a fixed path.

Revisit lesson 6: Portfolio choices: BCG & product life cycle

Q012 · Lesson 6 · application

Return to question

In an illustrative high-growth market, a product has 18% share and its largest competitor has 30%. Treat relative share below 1.0 as low. Which assessment is correct?

B. Relative share 0.60; question mark

A Dividing the competitor's share by the product's share reverses the ratio. Relative share is 18 divided by 30, so the product falls below the stated high-share threshold.

B · correct Relative market share is 18 divided by 30, or 0.60. Low relative share combined with the specified high market growth places the product in the question-mark quadrant.

C The ratio is correct, but a cash cow combines high relative share with low market growth. This product has low relative share in a high-growth market.

D Twelve is the percentage-point gap between the shares, not their ratio. A dog or pet also requires low market growth, contrary to the scenario's stated condition.

Revisit lesson 6: Portfolio choices: BCG & product life cycle

Q013-Q015 · Reasoning

Q013 · Lesson 7 · foundation Return to question

A supplier sells office furniture directly to a government department. Which customer-market label is most specific?

C. B2G

A B2C describes sales to consumers for their personal use. Here the purchasing customer is a government department, so the more specific market label is B2G.

B Recruitment markets concern obtaining employees or skills needed by the organisation. This transaction concerns a government buyer purchasing furniture, rather than a business recruiting staff.

C · correct B2G describes selling to government buyers. The department is purchasing furniture for organisational use, making this label more specific than a general description of business customers.

D A referral market concerns people or organisations that recommend an offer. The government department is the direct purchaser in this scenario, not merely a source of recommendations.

Revisit lesson 7: Map customers, competitors & stakeholders

Q014 · Lesson 7 · application Return to question

A wholesaler buys a manufacturer's products and also manages deliveries to retailers. How should the manufacturer map this relationship?

D. As both a customer and delivery partner, recording the implications of each role

A Purchasing makes the wholesaler a customer, but it also performs delivery activities. Ignoring that second role would hide a dependency that affects availability and customer experience.

B Delivery creates an operational relationship, but the wholesaler also buys products. Mapping only one role would miss the commercial interest and influence associated with its purchasing decisions.

C The roles belong to the same organisation, so their interests and dependencies may interact. Treating them as unrelated would obscure how commercial decisions can affect delivery.

D · correct One stakeholder can perform several relevant roles. Recording both purchasing and fulfilment responsibilities reveals how its interests, influence and performance affect the manufacturer's marketing promise.

Revisit lesson 7: Map customers, competitors & stakeholders

Q015 · Lesson 8 · foundation Return to question

Within SOSTAC, which activity belongs most directly to Control?

B. Comparing repeat-purchase results with targets and triggering adjustments

A Selecting the target segment and competitive approach belongs mainly to Strategy. Control evaluates performance against objectives and uses the evidence to decide whether adjustments are needed.

B · correct Control measures progress against intended outcomes and supports corrective decisions. Comparing repeat-purchase results with targets links the plan's delivery to evidence about whether it is working.

C Assigning owners belongs mainly to Action, which specifies who does what and when. Control instead monitors outcomes and identifies whether the plan requires a response.

D Choosing promotional channels belongs mainly to Tactics, where the marketing mix is specified. Control then assesses whether those choices contribute to the objectives of the plan.

Revisit lesson 8: SOSTAC: the spine of the plan

Q016-Q018 · Reasoning

Q016 · Lesson 8 · application

Return to question

A team creates a SWOT list entirely from opinions and immediately selects campaigns. What is the most useful next step?

A. Validate internal and external evidence before using SWOT to develop strategic options

A · correct SWOT should summarise supported internal and external findings. Validating the audit first gives the team a credible basis for developing options through combinations such as TOWS.

B More tactics do not resolve the weak evidence beneath the SWOT. The team should first test its assumptions about resources, customers, competition and wider environmental conditions.

C Budget constraints matter, but selecting expenditure before validating the situation can commit resources to an unsupported direction. Audit evidence should inform objectives, strategy and subsequent tactical choices.

D An opportunity is an interpretation of external evidence, not proof that customers want a particular offer. The team must examine relevance and feasibility before selecting its response.

Revisit lesson 8: SOSTAC: the spine of the plan

Q017 · Lesson 9 · foundation

Return to question

Which factor belongs most clearly in the macro environment rather than the immediate micro environment?

A. A broad increase in market interest rates

A · correct Market interest rates are a broad economic condition affecting financing and demand across organisations. They belong in macro analysis, although the specific impact varies by business.

B A named rival's product launch concerns the competitive environment close to the business. It belongs primarily in micro analysis rather than describing a broad macroeconomic condition.

C A distributor's order schedule concerns a direct market relationship and operational dependency. It sits in the micro environment, even when wider economic conditions influence the distributor.

D A customer's discount request concerns an immediate buyer relationship. Macro conditions may help explain it, but the request itself is part of the business's micro environment.

Revisit lesson 9: PESTEL: political & economic forces

Q018 · Lesson 9 · application

Return to question

In an illustrative market, financing costs rise and a furniture retailer depends heavily on installment purchases. Which PESTEL conclusion is best supported?

C. Costlier installments may weaken affordability, so assess exposure and test feasible responses

A Higher financing costs can make installment purchases less affordable, rather than automatically increasing demand. The effect depends on customer incomes, alternatives and the retailer's specific exposure.

B An interest-rate change is an external economic condition, not an internal strength. Its implications should be assessed through the retailer's financing arrangements and target customers' purchasing behaviour.

C · correct This conclusion explains a plausible route from a macroeconomic change to customer affordability. It also recognises that the retailer needs exposure evidence before choosing and testing a response.

D A rate change alone cannot determine an exact sales decline. Customer sensitivity, pricing, financing terms, competing offers and category priorities can all influence the eventual demand response.

Revisit lesson 9: PESTEL: political & economic forces

Q019-Q021 · Reasoning

Q019 · Lesson 10 · foundation

Return to question

Why should demographic analysis examine income distribution as well as average income?

D. An average can conceal substantial differences between customer groups

A Average income summarises a population and does not reveal each household's commitments or spending capacity. Distribution and relevant segment evidence provide a more useful picture of affordability.

B Income distribution can help describe differences, but the business still needs to define and understand its target. Income alone does not establish needs, behaviour or reachability.

C Income averages do not reveal individual preferences or purchase criteria. Research into customer context and behaviour remains necessary to understand the benefits a target group values.

D · correct A population average can rise while some groups experience little improvement. Examining distribution helps determine whether the target segment shares in the change and can afford the offer.

Revisit lesson 10: Economic exposure & social change

Q020 · Lesson 10 · application

Return to question

A report from another country suggests that busy households favour scheduled deliveries. A local retailer wants to invest in this service. What should it do first?

B. Test the proposed benefit with its local target segment and purchase evidence

A A foreign finding can suggest a hypothesis, but customer circumstances and infrastructure may differ. Local evidence is needed before assuming the same demand and service priorities apply.

B · correct Research with the defined local segment can test whether time pressure creates demand for scheduled delivery. Purchase evidence helps connect stated preferences with actual behaviour and potential uptake.

C Households differ in schedules, responsibilities and shopping habits. Treating the whole area as uniform would overlook which customers value the service and what delivery arrangements they need.

D The report concerns convenience and timing, not a demonstrated desire for more products. Expanding variety would require separate evidence connecting that change to the target customers' needs.

Revisit lesson 10: Economic exposure & social change

Q021 · Lesson 11 · foundation

Return to question

Which customer journey is an example of webrooming?

C. Researching a product online before purchasing it in a shop

A Inspecting in a physical shop and then buying online is showrooming. Webrooming reverses that research-to-purchase sequence by moving from online investigation to a store transaction.

B An entirely online purchase does not include the store transaction that defines webrooming. The distinction concerns how research and purchasing connect across online and physical channels.

C · correct Webrooming begins with online research and ends with an in-store purchase. It highlights the need to connect digital information with physical availability and the store experience.

D A journey contained within a physical shop does not involve online research. Webrooming specifically links digital investigation with a later purchase through a physical retail outlet.

Revisit lesson 11: Technology, environment & buying journeys

Q022-Q024 · Reasoning

Q022 · Lesson 11 · application

Return to question

A manager uses a technology's position on Gartner's Hype Cycle to claim the company can forecast next year's product sales. What is the strongest response?

A. Use it to discuss expectations and maturity, then assess demand through separate market evidence

A · correct The Hype Cycle concerns expectations and technology maturity rather than product sales. Demand forecasting still needs evidence about customers, adoption, the offer and the relevant market context.

B Knowing the price does not turn an expectations framework into a sales model. Sales also depend on demand, access, competition and the organisation's ability to deliver value.

C Technologies at similar maturity stages can address very different markets and needs. Their shared position on the framework does not establish equivalent adoption, revenue or sales volumes.

D Publicity can influence expectations but does not prove customer demand or practical usefulness. Customer and market evidence remain necessary when assessing whether a technology supports a viable offer.

Revisit lesson 11: Technology, environment & buying journeys

Q023 · Lesson 12 · foundation

Return to question

What makes an environmental-audit entry useful for a marketing decision?

B. Dated evidence linked to impact, timing, implications and a proposed response

A A list can identify topics for investigation, but it does not explain their relevance. Decision-useful analysis connects evidence with exposure, timing, likely effects and an appropriate response.

B · correct A useful entry shows both the evidence and its implications for the organisation. Timing and a proposed response connect environmental observation with choices in the marketing plan.

C A label alone does not show why a factor helps or harms the business. The analysis needs evidence about exposure and may identify both opportunities and threats.

D A general trend has limited planning value without a link to the organisation. The audit must explain which customers, costs, capabilities or decisions are likely to be affected.

Revisit lesson 12: Make the environmental audit actionable

Q024 · Lesson 12 · application

Return to question

In an invented planning case, a proposed packaging requirement could raise redesign costs next year and make product information clearer. How should the audit record it?

D. As a factor with possible costs and benefits, supported by evidence, timing and uncertainty

A The scenario includes a potential cost and a potential customer benefit. Recording only a threat would miss the opportunity to improve information while planning for redesign expenditure.

B Clearer information may improve the customer experience, but it does not remove redesign costs. The audit should consider both effects when assessing the organisation's response and resources.

C A proposal is not the same as a confirmed immediate requirement. Recording its status, expected timing and uncertainty supports proportionate planning and avoids presenting assumptions as established facts.

D · correct A single external factor can create both upside and downside. Recording evidence, timing and uncertainty helps the organisation assess costs, customer value and an appropriate response.

Revisit lesson 12: Make the environmental audit actionable

Q025-Q027 · Reasoning

Q025 · Lesson 13 · foundation

Return to question

Which condition is most likely to create a barrier to entering an industry?

D. New firms need substantial capital and difficult-to-obtain distribution access

A Easy comparison can affect buyer power and rivalry, but it does not by itself prevent firms from entering. Entry barriers concern obstacles to establishing a viable operation.

B High closure costs are exit barriers that can keep existing firms competing despite weak returns. They differ from the obstacles a new entrant must overcome to begin operating.

C Slow demand growth can intensify rivalry for existing customers. It may discourage entry commercially, but the stated capital and distribution obstacles more directly constitute entry barriers.

D · correct Capital requirements and restricted distribution access make it harder to establish a credible competing operation. Both can reduce the threat of new entrants from an incumbent's perspective.

Revisit lesson 13: Rivalry & barriers to entry

Q026 · Lesson 13 · application

Return to question

A proposed manufacturer must fund specialised equipment and complete lengthy certification before selling. From an incumbent's perspective, which judgement is best supported?

C. These requirements can reduce entry pressure, although other competitive forces still require analysis

A Entry barriers concern new competitors, while rivalry concerns firms already operating. Existing manufacturers may still compete intensely through price, service, advertising or capacity despite difficult entry.

B Barriers can protect incumbents from some entrants, but they do not guarantee profit or permanence. Buyer power, substitutes, supplier pressure and existing rivalry can still affect returns.

C · correct Large investment and lengthy certification raise the difficulty of entering. They support a judgement of lower entry pressure while leaving the other forces to be assessed separately.

D Certification concerns a manufacturer's ability to enter the industry. Customer switching costs concern the burdens of changing provider, which require different evidence about the buying relationship.

Revisit lesson 13: Rivalry & barriers to entry

Q027 · Lesson 14 · foundation

Return to question

A rail operator defines its industry as intercity rail travel. Which offer is most clearly a substitute satisfying the same underlying customer need?

A. An intercity coach service connecting the same destinations

A · correct A coach service can satisfy the same need for intercity travel through a different mode. Under the stated rail-industry boundary, it is a substitute rather than a rail rival.

B Another rail company competes within the defined industry and is therefore a direct rival. A substitute meets the underlying travel need through a different type of solution.

C A component supplier provides an input to rail operations rather than an alternative way for customers to travel. Its influence belongs primarily in analysis of supplier power.

D A booking system supports the rail service but does not itself transport the customer. It is not an alternative solution to the underlying need for intercity travel.

Revisit lesson 14: Switching costs, substitutes & suppliers

Q028-Q030 · Reasoning

Q028 · Lesson 14 · application

Return to question

A café depends on one specialist ingredient supplier. Two alternatives appear, but neither can meet its quality standard or delivery volume. How should the café assess supplier power?

B. It may remain strong because the alternatives are not currently suitable

A Counting names overstates the café's options when alternatives cannot meet essential requirements. Bargaining power depends on credible alternatives and feasible switching, not simply the number of listed suppliers.

B · correct Alternatives weaken dependence only when they can supply suitable quality and capacity. The café still lacks a credible replacement, so the incumbent supplier may retain substantial bargaining power.

C A supplier can possess bargaining power without exercising it through a price increase. The café's dependence and lack of suitable alternatives matter when assessing potential negotiating leverage.

D Delivery capacity determines whether an alternative can credibly replace the incumbent. It therefore affects the café's ability to switch and is directly relevant to the supplier's bargaining power.

Revisit lesson 14: Switching costs, substitutes & suppliers

Q029 · Lesson 15 · foundation

Return to question

Which action represents backward integration by a furniture manufacturer?

C. Acquiring a business that supplies its timber

A Opening shops moves the manufacturer toward distribution and end customers, which is forward integration. Backward integration moves in the opposite direction, toward activities that provide inputs.

B Buying a competing manufacturer expands activity at the same stage of the supply chain. Backward integration instead moves toward a supplier or another source of production inputs.

C · correct Timber is an input to furniture production, so acquiring its supplier moves the manufacturer backward along the supply chain. This can alter dependence and require additional operating capabilities.

D A complementary service can improve customer value through partnership, but the described arrangement does not acquire an input supplier. It therefore does not demonstrate backward integration.

Revisit lesson 15: Buyer power, integration & complements

Q030 · Lesson 15 · application

Return to question

An e-reader producer works with publishers to expand the range of compatible books. Which interpretation best explains the publishers' role?

D. They are complementers because their content makes the device more useful

A Compatible books and the e-reader are used together in this scenario. The relevant relationship adds value to the device rather than replacing the need it serves.

B Releasing compatible content does not mean a publisher has entered device production. Entry analysis depends on the defined industry and what competitive activity the organisation actually undertakes.

C A stronger content offer may improve adoption, but it does not remove rivals, substitutes or bargaining pressures. Complementary relationships can also create dependencies that require management.

D · correct Compatible books make owning the e-reader more valuable, so publishers act as complementers. The partnership can support adoption while also creating relationships and dependencies worth assessing.

Revisit lesson 15: Buyer power, integration & complements

Q031-Q033 · Reasoning

Q031 · Lesson 16 · foundation Return to question

What should determine the dimensions selected for a customer perceptual map?

B. Evidence about dimensions that matter in customers' buying decisions

A Advertising priorities may reflect the company's ambitions rather than customers' decision criteria. A perceptual map needs meaningful customer dimensions and researched positions to support useful interpretation.

B · correct The map should use dimensions customers consider meaningful when choosing among alternatives. Research then establishes perceived positions, allowing the organisation to compare its intended and actual image.

C Choosing axes to manufacture an empty space can create a misleading opportunity. The dimensions should first reflect meaningful customer criteria, and any apparent gap still needs commercial testing.

D Internal scores describe the company's own assessment, which may differ from customer perceptions. Selecting favourable attributes can hide the real competitive picture the map should reveal.

Revisit lesson 16: Competitor analysis & perceptual maps

Q032 · Lesson 16 · application Return to question

A delivery firm calls its service premium, but customer research places it near competitors on perceived reliability. What is the best next step?

A. Investigate delivery and communication evidence to understand and address the perception gap

A · correct The research identifies a gap between the intended position and perceived performance. Investigating delivery and communication can show whether the firm needs operational improvement, clearer evidence or repositioning.

B Changing the point to match management's preference would replace research with aspiration. The map should record customer perceptions so the organisation can identify and investigate discrepancies.

C Customers may not observe every process, but their experience shapes perceived reliability and choice. Discarding their responses removes evidence directly relevant to the firm's intended market position.

D Price may signal quality, but it does not automatically change service performance or customer beliefs. A credible reliability position needs delivery and supporting evidence that customers value.

Revisit lesson 16: Competitor analysis & perceptual maps

Q033 · Lesson 17 · foundation Return to question

Which statement best distinguishes an organisational capability from a resource?

D. A capability is an ability to use resources to perform consistently

A Equipment is a resource that may support performance, but ownership alone does not establish a capability. Skills, systems and processes determine whether it can be used effectively.

B Purchase price does not establish an ability to deliver value. An expensive resource may remain ineffective if staff lack the skills, incentives or processes needed to use it.

C Capabilities can exist across operations, service, finance and other functions. Marketing performance often depends on combining resources and coordinated activity throughout the organisation rather than one department.

D · correct Capabilities concern what the organisation can repeatedly do with its resources. The distinction explains why possessing assets does not automatically produce reliable delivery or superior customer value.

Revisit lesson 17: Audit the organisation from the inside

Q034-Q036 · Reasoning

Q034 · Lesson 17 · application

Return to question

A training company has skilled tutors and strong course material, but sales and scheduling teams do not share updates. Customers repeatedly receive incorrect start dates. What does the internal audit indicate?

B. Poor communication prevents useful resources from producing consistent customer value

A Tutor expertise is a useful resource, but customers also depend on accurate scheduling. Repeated date errors show that the combined delivery capability has a significant organisational weakness.

B · correct The resources have potential value, but weak coordination undermines delivery. Sharing accurate updates across teams is part of turning expertise and material into a consistent customer experience.

C The stated cause is an internal communication failure, not a broad economic condition. Internal audit examines how processes, collaboration and resources support or obstruct the chosen strategy.

D Additional material does not address inaccurate scheduling information. The audit should connect the observed customer failure to its organisational cause before recommending further investment in resources.

Revisit lesson 17: Audit the organisation from the inside

Q035 · Lesson 18 · foundation

Return to question

Which resource is generally an intangible asset?

A. A patent protecting a production method

A · correct A patent is an intellectual property right rather than a physical object. It may support technology and advantage, but it is generally classified as an intangible asset.

B A warehouse is a physical facility and therefore a tangible resource. Its location, capacity and condition can still have important implications for delivery and customer value.

C A delivery vehicle is a physical asset used in operations, so it is tangible. Its strategic value depends on condition, availability and fit with the distribution requirement.

D A packaging machine is physical equipment and therefore a tangible resource. The patent or software rights supporting a process would be conceptually different from the machine itself.

Revisit lesson 18: Resources: visible assets & hidden strengths

Q036 · Lesson 18 · application

Return to question

A business lists a large warehouse as a strength. Its growth plan depends on rapid city deliveries, but the warehouse is remote and often inaccessible. How should the resource be assessed?

C. Against delivery requirements, availability and relevant benchmarks before judging its value

A Size alone does not establish strategic usefulness. A remote or inaccessible warehouse may undermine the speed and reliability required by the plan despite offering substantial storage capacity.

B Physical resources directly affect distribution and service delivery. Financial capacity matters, but it cannot replace assessment of whether the warehouse supports the particular customer promise and growth strategy.

C · correct Resource assessment should examine quality, availability and relevance to the strategy. Delivery requirements and meaningful benchmarks reveal whether the warehouse supports rapid service or creates a constraint.

D Owning a facility does not demonstrate the ability to distribute reliably. Location, access, processes and complementary resources determine whether warehouse capacity becomes an effective delivery capability.

Revisit lesson 18: Resources: visible assets & hidden strengths

Q037-Q039 · Reasoning

Q037 · Lesson 19 · foundation

Return to question

What does the final letter in VRIO add to the resource assessment?

B. Whether the organisation is arranged to exploit the resource

A Non-substitutability is the final consideration in VRIN. VRIO instead asks whether organisational arrangements, such as systems and incentives, allow the business to exploit the resource effectively.

B · correct The organisation question examines whether people, systems and incentives enable effective use. A valuable, rare resource can remain underused when the business lacks the arrangements to exploit it.

C Age alone does not demonstrate organisation or advantage. VRIO examines whether the firm can exploit a valuable resource, not simply how long it has owned or developed it.

D A resource need not suit every target market to be strategically useful. The organisation question asks whether the business can exploit it within the strategy it has chosen.

Revisit lesson 19: From resources to advantage: VRIN & VRIO

Q038 · Lesson 19 · application

Return to question

A retailer introduces a useful service process that competitors can observe and copy cheaply within weeks. Which VRIN assessment is most defensible?

D. The process may be valuable, but easy imitation weakens its potential for lasting advantage

A Value and non-substitutability are separate questions. Customers appreciating the process does not establish that another resource or approach could not deliver a similar benefit for them.

B Being first may create a temporary distinction, but cheap copying can quickly remove rarity. The scenario directly limits any claim that the process will remain difficult to match.

C Value is necessary for strategic usefulness, but VRIN also examines rarity, imitation and substitutes. A benefit competitors can reproduce cheaply does not establish a lasting advantage by itself.

D · correct The process can benefit customers while remaining easy for rivals to imitate. That weakness limits claims of lasting advantage and suggests examining additional resources or capabilities that are harder to copy.

Revisit lesson 19: From resources to advantage: VRIN & VRIO

Q039 · Lesson 20 · foundation

Return to question

Which statement is the most complete measurable marketing objective, assuming feasibility has been supported?

C. The retention team will raise six-month repeat purchase from 30% to 36% for Cairo customers by June

A Admiration and better marketing are not defined through a metric, baseline or deadline. An objective needs a specific result that the organisation can assess within a stated period.

B This specifies an activity and timing, but not the customer or business outcome it should achieve. A measurable outcome objective explains what improvement the campaigns are intended to support.

C · correct This identifies an owner, customer group, metric, baseline, target and deadline. With feasibility supported as stated, it provides a specific result that can be monitored and evaluated.

D Focusing on existing customers describes a strategic choice rather than a measurable destination. The plan still needs a defined outcome, baseline, target and deadline to assess progress.

Revisit lesson 20: SMART objectives & growth direction

Q040-Q042 · Reasoning

Q040 · Lesson 20 · application

Return to question

An illustrative objective raises market share from 20% to 25% in the same defined market. What is the increase in percentage points and the relative percentage increase?

A. 5 percentage points; 25% relative increase

A · correct Subtracting 20 from 25 gives a five-percentage-point increase. Dividing that change by the initial share gives 5 divided by 20, which equals a 25% relative increase.

B Five is the percentage-point change, not the relative percentage increase. Relative growth compares the change with the initial 20% share, giving 5 divided by 20, or 25%.

C The final market share is 25%, but the change is only five percentage points. Relative growth uses the initial 20% as the denominator, producing a 25% increase.

D Twenty is the starting share rather than the percentage-point change. The relative increase is correctly calculated as 25%, but the absolute difference between the shares is five points.

Revisit lesson 20: SMART objectives & growth direction

Q041 · Lesson 21 · foundation

Return to question

How does Porter's generic-strategy analysis complement Ansoff's matrix?

D. It clarifies the basis of competitive advantage alongside the direction of growth

A A promotional schedule belongs to tactics and action planning. Generic strategies address how the business competes, while Ansoff distinguishes growth directions using products and markets.

B Both frameworks still require a defined business and market context. Porter helps assess the basis of advantage, but it does not remove the need to understand target customers.

C Neither framework guarantees profitability or assigns a fixed return to new products. Results depend on market conditions, customer value, organisational capabilities and the economics of implementation.

D · correct Ansoff distinguishes existing and new products and markets, while Porter examines competitive advantage. Using both connects the chosen growth direction with a reason customers should prefer the business.

Revisit lesson 21: Where to grow & how to compete

Q042 · Lesson 21 · application

Return to question

A software company currently serves hotels only. It offers its unchanged scheduling product to dental practices, a customer market new to the business. Which Ansoff direction fits the stated definitions?

C. Market development

A Penetration uses existing products in existing markets. The product is unchanged, but dental practices are explicitly a new customer market for the company, so penetration does not fit.

B Product development introduces a new product to an existing market. This scenario specifies the opposite combination: the software remains unchanged while the company addresses a new customer market.

C · correct Market development uses an existing product in a market new to the business. The unchanged scheduling software and newly targeted dental practices match those two stated conditions.

D Diversification requires both a new product and a new market under the chosen definitions. Although the customer market changes here, the scenario explicitly keeps the product unchanged.

Revisit lesson 21: Where to grow & how to compete

Q043-Q045 · Reasoning

Q043 · Lesson 22 · foundation

Return to question

A business serves a narrow segment through a sustainably lower cost base. Which generic strategy best describes this combination?

A. Cost focus

A · correct Cost focus combines a narrow competitive scope with lower cost as the source of advantage. Both elements are specified, distinguishing it from broad cost leadership and differentiation strategies.

B Broad differentiation combines a wide target market with a valued distinctive offer. The scenario instead specifies a narrow segment and lower cost as the basis of advantage.

C Differentiation focus does address a narrow segment, but its advantage comes from a valued difference. Here the stated source of advantage is a sustainably lower cost base.

D Broad cost leadership shares the lower-cost basis but serves a wide market. The narrow segment in this scenario makes cost focus the more accurate description of the strategy.

Revisit lesson 22: Scope, advantage & meaningful difference

Q044 · Lesson 22 · application

Return to question

A luggage brand can add either an unusual decorative badge or a reliable repair service. Target-customer research values repair support, and the service can be delivered economically. Which choice best supports meaningful differentiation?

B. Develop the repair service and support the promise with dependable delivery

A Uniqueness alone does not establish a meaningful difference. The badge lacks stated customer value, while the repair service has evidence of relevance, feasibility and an acceptable economic basis.

B · correct The repair service meets the key tests: customers value it, the business can deliver it and the economics work. Reliable execution makes the differentiation credible in the actual experience.

C Ease of communication can help promotion, but it does not establish customer value. The repair service has stronger evidence that its difference matters and can be delivered economically.

D Adding an untested feature can increase cost or complexity without strengthening preference. The evidence supports repair service, while the badge needs its own justification before inclusion in the offer.

Revisit lesson 22: Scope, advantage & meaningful difference

Q045 · Lesson 23 · foundation

Return to question

Which sequence correctly describes STP?

C. Identify meaningful groups, choose whom to serve, then define the intended reason to choose

A Starting with a message before understanding customer differences reverses the STP logic. Segmentation and targeting should inform the position and the message used to communicate it.

B Price and distribution are marketing-mix decisions that follow strategic choices. STP specifically concerns segmentation, targeting and positioning rather than a sequence of selected tactical decisions alone.

C · correct Segmentation identifies meaningful differences, targeting selects groups to serve, and positioning defines the intended reason to choose the offer. These choices then guide a coherent marketing mix.

D Competitor evidence can inform strategy, but copying and maximising reach do not constitute STP. The process requires meaningful customer groups, a target choice and a relevant position.

Revisit lesson 23: STP & demographic segmentation

Q046-Q048 · Reasoning

Q046 · Lesson 23 · application Return to question

A meal-kit business finds that customers of the same age divide between those seeking quick preparation and those seeking new cooking experiences. What is the most useful segmentation response?

D. Combine age with benefits sought and behaviour when these differences improve decisions

A The research already shows different needs among customers of the same age. Using age alone would conceal distinctions that could change the offer, communication and service experience.

B Different preferences within an age group are plausible and strategically useful. The business should examine their consistency and relevance rather than dismissing them because they challenge a demographic assumption.

C Narrower age bands do not necessarily explain the observed preferences. Any segmentation variable should be tested for whether it helps identify meaningful needs or different responses to the offer.

D · correct Combining relevant variables can produce more useful segments than age alone. Benefits and behaviour directly connect the observed differences with decisions about preparation time, recipes and communications.

Revisit lesson 23: STP & demographic segmentation

Q047 · Lesson 24 · foundation Return to question

How should a traditional family-life-cycle model be used in segmentation?

B. As a set of possible situations whose relevance needs evidence

A Households follow many different paths, including arrangements omitted by traditional models. Treating the stages as compulsory would hide real variation in circumstances and potential customer needs.

B · correct The model can suggest how responsibilities and priorities might change, but real households vary. Research should establish which situations matter and what they imply for the specific buying decision.

C Marriage does not establish the number of earners or the level of financial commitments. Disposable income must be assessed through relevant evidence rather than inferred from a life-stage label.

D The model provides possible research prompts, not a substitute for customer evidence. Responsibilities, time pressures and spending priorities still need investigation within the defined target market.

Revisit lesson 24: Life stage, income & occupation

Q048 · Lesson 24 · application Return to question

A subscription business labels a segment "newly married" and assumes every household has two incomes and ample leisure time. What should it change first?

A. Research earners, commitments and routines before designing the offer

A · correct The label does not establish income or available time. Research into household commitments and routines provides a sounder basis for deciding which benefits, prices and service arrangements fit.

B Newly married households do not necessarily have high disposable income. Premium-only offers based on the label risk ignoring different earnings, commitments and priorities within the group.

C Age can provide context, but it does not directly measure household routines or time pressure. The business needs evidence about responsibilities and behaviour relevant to the subscription.

D Extending unsupported assumptions broadens the error rather than improving segmentation. Households differ in structure and circumstances, so the business should investigate relevant variation before generalising its offer.

Revisit lesson 24: Life stage, income & occupation

Q049-Q051 · Reasoning

Q049 · Lesson 25 · foundation Return to question

What is the main limitation of using a generational label to predict buying behaviour?

D. It can hide differences within the group and confuse several sources of behaviour

A A generational label groups people historically; it does not measure an individual's motives. Buying behaviour still needs evidence about goals, context, preferences and the category being considered.

B Generational boundaries vary across sources, so the label does not guarantee a consistent definition. Researchers should state their grouping and avoid treating it as a universal behavioural explanation.

C A label alone cannot distinguish historical cohort influences from age or current circumstances. That distinction requires more careful evidence than simply assigning customers to a named generation.

D · correct People within a generation differ, and observed behaviour may reflect age or present circumstances. Labels can organise research but should not replace evidence about the customers being studied.

Revisit lesson 25: Use demographic labels with evidence

Q050 · Lesson 25 · application Return to question

A travel retailer expects customers of one nationality to prefer the same language and holiday style. Which research approach best improves this assumption?

C. Test language needs and travel preferences within the defined group, allowing for variation

A Nationality may provide context but does not establish uniform preferences. Applying the assumption to every customer would overlook differences in language, experience, purpose and desired travel benefits.

B Product assignment needs evidence about the customer's requirements and buying context. Nationality alone cannot establish the combination of language support, destination and holiday experience that someone values.

C · correct Testing specific needs turns a demographic assumption into a research question. Allowing variation within the group helps the retailer identify useful patterns without treating the label as a complete explanation.

D Changing demographic labels does not solve unsupported certainty. A generational category also contains varied needs, so the retailer still needs direct evidence about relevant preferences and travel circumstances.

Revisit lesson 25: Use demographic labels with evidence

Q051 · Lesson 26 · foundation Return to question

Which variable is most clearly psychographic?

A. A preference for self-expression and trying unfamiliar experiences

A · correct Self-expression and openness to unfamiliar experiences concern motives, values and lifestyle. These psychological patterns can help explain why customers with similar demographic profiles choose differently in a category.

B Household size is a demographic descriptor rather than a direct measure of motives or lifestyle. It may influence needs, but the relevant psychological explanation still requires research.

C A postcode is a geographic variable indicating location. It may correlate with other characteristics, but it does not directly describe the customer's values, motivations or interests.

D Age is a demographic variable rather than a psychographic one. People of the same age can differ substantially in values, interests, motives and preferred ways of living.

Revisit lesson 26: Psychographics, personas & VALS

Q052-Q054 · Reasoning

Q052 · Lesson 26 · application Return to question

Research finds a recurring group that compares evidence carefully and abandons purchases when terms are unclear. Which persona detail would be most useful for the marketing team?

B. A need for credible comparisons and clear terms, linked to content and support choices

A An unrelated invented preference adds biography without improving a marketing decision. Useful personas prioritise researched goals, barriers and criteria that can guide the offer and customer experience.

B · correct This detail captures a researched decision pattern and connects it to action. Comparisons, transparent terms and support address the group's observed criteria and reasons for abandoning purchases.

C A photograph can make a persona memorable, but it does not explain buying behaviour. The decision-relevant content should come from evidence about needs, barriers and purchase criteria.

D Estimated income alone cannot establish a validated VALS type. A useful persona should represent observed patterns rather than converting a limited demographic estimate into an unsupported psychological classification.

Revisit lesson 26: Psychographics, personas & VALS

Q053 · Lesson 27 · foundation Return to question

When applying the lesson's Innovator and Survivor profiles, what does the term "resources" require us to recognise?

C. Relevant resources extend beyond money, so income alone cannot establish a profile

A The lesson explicitly treats resources as broader than money. Income can contribute context, but it cannot by itself establish motivations, confidence, preferences or a validated customer profile.

B Profiles describe tendencies within a framework rather than fixed individual behaviour. Resources and buying context need investigation, and the same person may approach different purchases in different ways.

C · correct Financial means are only part of the relevant picture. Applying the framework carefully requires psychological and behavioural evidence, so an income figure alone is insufficient to establish a profile.

D Equal income does not establish equal motivations or receptiveness to change. Customers can differ in confidence, experience, preferences and decision processes despite having similar financial circumstances.

Revisit lesson 27: VALS profiles: Innovators & Survivors

Q054 · Lesson 27 · application Return to question

A subscription team hypothesises that some cautious customers value transparent commitments, while more exploratory customers value demonstrations. What is the most appropriate next step?

D. Test the messages with actual customers and compare their responses

A Income alone does not establish caution or a validated profile. The team should investigate relevant motives and behaviour before assigning customers to groups or deciding how to communicate.

B Dated media descriptions are not dependable channel rules for current customers. Channel selection should use relevant audience evidence rather than infer habits from an unverified profile stereotype.

C The profiles suggest tendencies and hypotheses, not permanent rules about individuals. Preferences can vary with the offer and context, so actual customer responses should inform the decision.

D · correct Testing translates the framework into evidence about this audience and offer. Comparing responses helps the team refine its messages while avoiding unsupported judgements based on a profile label.

Revisit lesson 27: VALS profiles: Innovators & Survivors

Q055-Q057 · Reasoning

Q055 · Lesson 28 · foundation Return to question

Which use of an Experiencer or Thinker profile provides the strongest basis for a communication decision?

A. Treat the profile as a hypothesis and test the message with customers.

A · correct Profiles suggest possible motivations, but customer evidence must establish whether a message works. Testing connects the framework to the actual audience and buying context.

B Age alone does not establish motivation or a validated profile. Customers of the same age can have different priorities, so this approach needs further evidence.

C A profile does not determine loyalty in every purchase. Behaviour can change with the category, circumstances and available alternatives, requiring investigation rather than automatic prediction.

D Emotional stories and rational evidence can reinforce each other. Excluding one automatically overlooks customers who want both an appealing experience and a credible practical justification.

Revisit lesson 28: VALS profiles: Experiencers & Thinkers

Q056 · Lesson 28 · application Return to question

Research finds that prospective workshop customers compare practical outcomes, tutor experience and course structure before booking. Which communication should the provider test first?

C. A clear syllabus, tutor credentials and examples of completed practical work.

A Social scenes could communicate atmosphere, but they omit the comparison criteria identified in the research. This audience needs information that supports its practical evaluation of the course.

B A discount changes the financial offer but does not answer questions about outcomes or quality. Price incentives should not replace evidence addressing the stated decision criteria.

C · correct These materials directly address the observed evaluation process and provide reasons to believe the course promise. Their effect on understanding and bookings should still be measured.

D Celebrity recognition may attract attention, but lifestyle relevance does not establish tutor capability or course structure. The proposed message lacks evidence for the customers' stated concerns.

Revisit lesson 28: VALS profiles: Experiencers & Thinkers

Q057 · Lesson 29 · foundation Return to question

A customer has a high monetary score in an RFM analysis. Which conclusion is justified by that score alone?

B. The customer spent relatively heavily within the defined scoring window.

A Spending is revenue evidence, not a complete profit measure. Discounts, returns, fulfilment and service costs can make a high-spending customer less profitable than the score suggests.

B · correct The monetary component records spending within a specified period and scoring convention. It supports a spending comparison, while profit, attitudes and usage require other evidence.

C RFM describes observed purchasing behaviour rather than emotional attachment. High spending could reflect convenience, limited alternatives or business requirements without demonstrating a strong preference for the brand.

D Purchase spending does not reveal consumption frequency directly. Customers might buy expensive items, purchase for others or hold inventory, so usage needs separate measurement or research.

Revisit lesson 29: Behavioural segmentation & RFM

Q058-Q060 · Reasoning

Q058 · Lesson 29 · application

Return to question

Today, Amal has been a customer for five years but last ordered 100 days ago. Dina joined ten days ago and ordered yesterday. Using time since latest purchase, which interpretation is correct?

D. Dina has stronger recency, while their frequency scores need more information.

A The length of the relationship measures tenure, not recency. Amal's last order was further in the past, regardless of how many years she has been a customer.

B Recency distinguishes customers by the elapsed time since their latest purchase. Having made any purchase establishes customer status but does not make their recency measures equal.

C The latest order establishes recency, but frequency requires an order count over a defined window. One recent purchase does not prove a higher frequency score.

D · correct Dina's purchase yesterday is more recent than Amal's purchase 100 days ago. Frequency cannot be ranked without the relevant order counts and a shared measurement period.

Revisit lesson 29: Behavioural segmentation & RFM

Q059 · Lesson 30 · foundation

Return to question

Why should a refrigerator retailer reconsider the RFM thresholds used by a weekly grocery service?

C. Normal purchase cycles change what recent and frequent behaviour means.

A Monetary value can still inform analysis of durable products. The issue is whether the measurement window and thresholds reflect the category, not whether spending becomes irrelevant.

B Scores should be consistently defined within an appropriate comparison group. They do not need to be identical across industries with different buying cycles and customer behaviour.

C · correct A long interval between refrigerator purchases may be normal, while the same interval could signal grocery inactivity. Thresholds need to reflect the expected category purchase cycle.

D Geography and behaviour answer different questions and can be combined. A long replacement cycle requires better behavioural definitions, not automatic removal of behavioural analysis altogether.

Revisit lesson 30: RFM scoring & geographic choices

Q060 · Lesson 30 · application

Return to question

R scores: 3 within 30 days, 2 at 31-90, 1 beyond 90. Six-month F scores: 3 for 6+ orders, 2 for 3-5, 1 below 3. M scores: 3 for EGP 1,200+, 2 for 600-1,199, 1 below 600. A customer last ordered 48 days ago, with seven orders totalling EGP 1,500. Which RFM code applies?

A. 233

A · correct Forty-eight days falls in the middle recency band, giving R2. Seven orders meet F3, and EGP 1,500 meets M3, producing the ordered code 233.

B This code incorrectly assigns the strongest recency band and the middle frequency band. The given thresholds assign R2 to 48 days and F3 to seven orders.

C The frequency and monetary digits are correct, but the recency digit is too high. A purchase 48 days ago falls outside the stated strongest recency band.

D The recency and frequency digits are correct, but the monetary digit is too low. Spending EGP 1,500 exceeds the stated EGP 1,200 threshold for M3.

Revisit lesson 30: RFM scoring & geographic choices

Q061-Q063 · Reasoning

Q061 · Lesson 31 · foundation Return to question

Which observation adds a needs-based distinction to a B2B segment described by industry, size and location?

D. The organisation prioritises dependable support over the lowest purchase price.

A Employee count describes organisational size, a firmographic characteristic already represented in the segment. It does not explain which benefit or supplier response the organisation values most.

B Industry identifies the type of organisation and can help establish product relevance. It does not by itself distinguish the priorities that guide a particular buying decision.

C Branch locations add geographic detail that may affect delivery planning. They do not establish whether the buyer prioritises price, service, quality or a deeper supplier partnership.

D · correct The preference identifies the value sought in the supplier relationship. It can guide service design and communication alongside the organisation's firmographic and geographic characteristics.

Revisit lesson 31: Segmenting business customers

Q062 · Lesson 31 · application Return to question

A warehouse is comparing equipment suppliers. Procurement stresses purchase price; users report that downtime disrupts orders. What should the supplier do to build a useful proposal?

B. Investigate both groups' criteria and show purchase, downtime and support costs.

A Procurement matters, but excluding users misses performance requirements that affect adoption and value. A proposal should recognise the buying group rather than assume one role represents everyone.

B · correct Combining buying-group insight with total-cost evidence addresses both commercial terms and operational impact. It supports a proposal based on value over use, rather than purchase price alone.

C A low purchase price may conceal costly downtime or support gaps. Making price the only promise ignores the operational need identified and may weaken the proposed value.

D Users provide essential insight but may not control terms, approvals or budgets. Treating them as the only decision makers risks overlooking procurement requirements within the buying process.

Revisit lesson 31: Segmenting business customers

Q063 · Lesson 32 · foundation Return to question

A business creates separate offers for several customer groups with different needs. Which targeting approach best describes this choice?

A. Differentiated targeting.

A · correct Differentiated targeting serves multiple groups with tailored offers. The defining feature here is adapting the offer to several distinct needs, rather than using one broadly common offer.

B Undifferentiated targeting uses a broadly common offer when needs are sufficiently similar. Separate offers designed for different groups indicate a more tailored approach than this.

C Concentrated targeting focuses resources on a narrower selected group. The scenario instead describes serving several distinct groups with separate offers adapted to their different needs.

D Geographic segmentation divides a market using location-related factors. It is a segmentation basis, not the targeting approach described by choosing tailored offers for multiple groups.

Revisit lesson 32: Choose attractive, workable targets

Q064-Q066 · Reasoning

Q064 · Lesson 32 · application Return to question

Segment A is larger than Segment B. Initial estimates show equal total contribution before acquisition costs. The firm can serve B well but needs expensive new infrastructure for A. What is the best next step?

C. Compare access costs, capability investment and risks before selecting the target.

A Size alone does not establish attractiveness or return. The equal contribution estimate and additional infrastructure requirement mean the larger segment could produce a weaker overall economic result.

B B appears promising because of organisational fit, but that is not a complete evaluation. Acquisition costs, access, competition and risk could still change the preferred choice.

C · correct The choice should combine segment attractiveness, organisational fit and full economics. Comparing the missing costs and risks allows the apparent contribution opportunity to be assessed realistically.

D Serving both groups would require resources and capabilities that have not been established. Differentiated targeting is a strategic option, not an automatic answer to incomplete segment analysis.

Revisit lesson 32: Choose attractive, workable targets

Q065 · Lesson 33 · foundation Return to question

A positioning statement promises reliable delivery for small retailers. Which addition most directly strengthens its reason to believe?

B. Evidence of delivery performance and the capability supporting it.

A Expanding the claim to everyone weakens the clarity of the chosen target. It does not supply evidence that the business can deliver the promised reliability.

B · correct Credible performance evidence and an operational basis support the promised benefit. They help the target understand why it should believe the intended position relative to alternatives.

C A slogan may improve recognition, but an unrelated phrase does not substantiate reliability. Positioning needs a meaningful benefit and support that connects directly to the promise.

D Additional spending may distribute the claim more widely without making it more credible. Delivery evidence and capability are needed to support the promised customer experience.

Revisit lesson 33: Positioning: earn a place in the mind

Q066 · Lesson 33 · application Return to question

A delivery service wants to be known as dependable. Research finds customers remember late arrivals and unclear tracking. Which action most directly supports the desired position?

D. Improve scheduling and tracking, then support the promise with verified performance.

A More repetition can increase exposure while leaving the causes of negative perceptions intact. A dependable position requires the service experience to support the communication consistently.

B Packaging may contribute physical evidence, but an unrelated improvement does not resolve late arrivals or unclear tracking. Resources should address the gaps undermining the specific promise.

C An internal preference exercise cannot replace evidence about customer perceptions or service capability. Changing words alone leaves the operational problems and their reputational effects unresolved.

D · correct The action connects the intended benefit to processes customers experience and evidence they can assess. It addresses the documented gap between the promise and current perceptions.

Revisit lesson 33: Positioning: earn a place in the mind

Q067-Q069 · Reasoning

Q067 · Lesson 34 · foundation Return to question

A furniture factory buys timber incorporated into tables and printer paper used in its accounts office. How should these purchases be classified?

C. Timber is a raw material; printer paper is an operating supply.

A An installation is a major capital item, while accessory equipment assists operations. Neither classification fits consumable timber entering production or paper supporting office work in this scenario.

B Being purchased by a factory does not make an item a product component. Classification depends on its role in production or operations, not simply the purchaser.

C · correct The timber becomes part of the manufactured product, making it a raw material. The accounts-office paper supports operations without entering the furniture sold to customers.

D These roles are reversed. Timber enters the tables being manufactured, whereas printer paper supports office activity and does not become a material in the finished furniture.

Revisit lesson 34: The 7Ps & business products

Q068 · Lesson 34 · application Return to question

A training company promises a premium learning experience but has confusing booking, unprepared staff and unreliable rooms. Which response best applies the 7Ps?

A. Align staff preparation, booking processes and learning surroundings with the promise.

A · correct People, process and physical evidence directly shape the reported experience. Improving them makes the marketing mix more coherent with the premium position communicated to learners.

B Price can signal positioning, but a higher price does not correct poor delivery. It could increase expectations while the same booking, staffing and facility problems remain.

C Promotion communicates a promise that the current experience fails to support. Increasing exposure without addressing delivery could widen the gap between expectations and customer experience.

D Course content is part of the offer, but additional topics do not resolve the specified service weaknesses. The mix needs coordinated improvements across the relevant elements.

Revisit lesson 34: The 7Ps & business products

Q069 · Lesson 35 · foundation Return to question

A buyer travels to a distant store for one particular camera and refuses substitutes. Which consumer product classification best fits this buying behaviour?

D. Speciality, because a specific preference motivates extra purchasing effort.

A A completed brand choice does not make a purchase convenient in the classification sense. The deliberate extra effort and refusal of substitutes indicate a strong specific preference.

B Shopping behaviour typically involves comparing alternatives, but the scenario emphasises commitment to one model. Product classifications depend on the buyer's behaviour, not an automatic category rule.

C Unsought products are not actively sought or considered. This buyer is deliberately seeking a specific camera, so inconvenience or travel distance does not establish unsought behaviour.

D · correct The buyer has a particular preference strong enough to justify extra effort and reject alternatives. That behaviour fits a speciality purchase in this specific buying situation.

Revisit lesson 35: Product types & three levels of value

Q070-Q072 · Reasoning

Q070 · Lesson 35 · application Return to question

A bicycle buyer wants affordable transport. The offer includes a lightweight frame and free setup assistance. Which mapping correctly separates the three product levels?

B. Core: transport; actual: lightweight frame; augmented: setup assistance.

A The frame is a feature of the actual product, not the underlying outcome. Setup supports the experience, while transport is the core benefit sought by this buyer.

B · correct Transport is the outcome the customer wants, the frame is part of the physical offer, and setup assistance adds supporting value around the product experience.

C Setup is a supporting service, not the main outcome described. Transport supplies the core benefit, while the lightweight frame belongs to the actual bicycle being purchased.

D The core benefit is correctly identified, but the remaining levels are reversed. The frame is an actual product feature, and setup assistance augments the purchased offer.

Revisit lesson 35: Product types & three levels of value

Q071 · Lesson 36 · foundation Return to question

A tutoring centre cannot sell yesterday's unused lesson slot next week. Which service characteristic most directly explains this problem?

A. Perishability.

A · correct Perishability describes the inability to store unused service capacity for later sale. A future lesson can be sold, but yesterday's lost slot cannot be recovered as inventory.

B Intangibility concerns the difficulty of evaluating a service before experiencing it. It may affect the centre's communication, but it does not explain the loss of yesterday's capacity.

C Variability concerns differences in service delivery across people, occasions or settings. The problem here is unused time capacity, not inconsistent quality between tutoring sessions or tutors.

D Inseparability concerns production and consumption often occurring together. Although relevant to live tutoring, the inability to store an unused slot is most directly a perishability issue.

Revisit lesson 36: Augmentation & the service challenge

Q072 · Lesson 36 · application Return to question

Customers receive noticeably different levels of help from different staff at a repair service. Which intervention most directly addresses the service characteristic causing the problem?

C. Train staff, establish service standards and review delivery quality.

A Photographs can make an intangible service easier to assess before purchase. They do not directly reduce the differences in assistance customers receive from different staff members.

B Discounting unused appointments can help manage perishable capacity. It addresses empty slots rather than the inconsistent service quality reported across members of the repair team.

C · correct The problem is variability between staff encounters. Training, clear standards and quality reviews help make assistance more consistent while allowing relevant adaptation to individual customer needs.

D Longer opening hours may improve access but do not standardise how staff help customers. Without changes to practices or capability, the existing inconsistency can continue.

Revisit lesson 36: Augmentation & the service challenge

Q073-Q075 · Reasoning

Q073 · Lesson 37 · foundation

Return to question

A pricing study estimates demand elasticity at -0.6. Which interpretation is supported by that estimate?

B. Demand is inelastic because quantity changes proportionately less than price.

A The negative sign indicates the usual opposite movement of price and quantity. Elasticity classification uses the absolute magnitude, so a negative estimate is not automatically elastic.

B · correct The absolute value is 0.6, below one, indicating a proportionately smaller quantity response than price change. This classifies demand as inelastic within the study's context.

C Opposite movement explains the negative sign, not unit elasticity. Unit elastic demand requires an absolute elasticity of one, which differs from the stated estimate of 0.6.

D Elasticity estimates demand sensitivity rather than a fixed profit change. Profit effects also depend on the price movement, sales volume, costs and contribution earned per unit.

Revisit lesson 37: Pricing logic & price elasticity

Q074 · Lesson 37 · application

Return to question

Using original-period percentage changes, a stationery brand cuts price by 5% and quantity sold rises by 15%. Assume no other revenue sources. What are the demand elasticity and total revenue change?

D. Elasticity -3; revenue increases by 9.25%.

A The elasticity calculation is correct, but revenue changes multiplicatively rather than by subtracting percentages. Applying both price and volume factors gives 0.95 times 1.15, or 1.0925.

B The revenue result is correct, but the elasticity ratio is inverted. Quantity change is divided by price change: positive 15% divided by negative 5% equals -3.

C The price and quantity changes have opposite signs, so elasticity is negative. The combined revenue factor exceeds one, meaning revenue rises rather than falls under these assumptions.

D · correct Elasticity is 15% divided by -5%, giving -3. Revenue becomes 0.95 times 1.15, or 1.0925 of the original, a 9.25% increase before considering costs.

Revisit lesson 37: Pricing logic & price elasticity

Q075 · Lesson 38 · foundation

Return to question

A retailer describes a product as having a 30% markup. Which calculation correctly tests that claim using its defined unit cost and selling price?

C. Divide selling price minus cost by cost, then multiply by 100.

A Dividing price by cost includes the original cost as well as the added amount. To calculate markup, first isolate the difference between selling price and cost.

B Using selling price as the denominator calculates the margin percentage on that cost basis. Markup uses cost as its denominator, so the measures are not interchangeable.

C · correct Markup expresses the amount added to the defined cost as a percentage of that cost. Subtracting cost from price and dividing by cost tests the claim.

D This expresses cost as a share of selling price, not the amount added to cost. It neither isolates the markup amount nor uses the correct denominator.

Revisit lesson 38: A practical pricing toolbox

Q076-Q078 · Reasoning

Q076 · Lesson 38 · application Return to question

A notebook has a defined unit cost of EGP 180. The retailer adds a 25% markup on that cost. What are the selling price and margin percentage using the same cost base?

A. EGP 225; 20% margin.

A · correct The markup is EGP 45, giving a price of EGP 225. Dividing that EGP 45 difference by the selling price gives a margin of 20%.

B The selling price correctly adds 25% of cost, but the margin denominator is selling price. EGP 45 divided by EGP 225 equals 20%, not 25%.

C EGP 240 would produce a 25% margin on this cost base, but it requires a larger markup. The instruction specifies adding 25% to cost instead.

D The specified markup produces EGP 225, not EGP 240. At EGP 240, the EGP 60 difference divided by price would give 25%, not a 20% margin.

Revisit lesson 38: A practical pricing toolbox

Q077 · Lesson 39 · foundation Return to question

A producer removes a wholesaler from its distribution channel. Which implication should its plan recognise?

D. Channel functions still need owners, resources and economic assessment.

A Removing an intermediary changes who performs channel tasks, not whether the tasks exist. Storage and transport may move to the producer or another contracted provider.

B The producer may retain more revenue but also inherit fulfilment, inventory and service costs. Net profit depends on those costs rather than the removed margin alone.

C A shorter distribution route does not guarantee customer demand or awareness. The producer may need to perform more acquisition activity when selling without an intermediary's reach.

D · correct Storage, transport, selling and service still need to be performed. Assigning responsibilities and estimating costs makes it possible to judge whether the revised channel creates value.

Revisit lesson 39: Channels: make value accessible

Q078 · Lesson 39 · application Return to question

A manufacturer emails customers a product demonstration, but every purchase is completed through an independent retailer. How should the two activities be described?

B. Direct marketing and indirect distribution.

A The email is direct communication to customers, while the retailer sits between producer and purchaser. This option reverses the distinction between marketing contact and distribution route.

B · correct The manufacturer communicates directly with identifiable customers, making the email direct marketing. Purchases through an independent retailer follow an indirect distribution route despite that direct contact.

C The manufacturer contacts customers directly, so the communication is not made indirect by the purchase location. Retailer involvement also means the distribution route is not direct.

D The email correctly qualifies as direct marketing, but direct distribution would require the producer to sell to the customer without the stated independent retailer in the route.

Revisit lesson 39: Channels: make value accessible

Q079-Q081 · Reasoning

Q079 · Lesson 40 · foundation Return to question

A brand authorises a chosen subset of retailers that can provide demonstrations, without granting exclusive territory rights. Which distribution intensity best fits?

A. Selective distribution.

A · correct Selective distribution uses chosen outlets suited to the required service and customer experience. The defining choice here is partner selection, without the restricted territorial rights described for exclusivity.

B Intensive distribution seeks broad availability across suitable outlets. The scenario instead emphasises a deliberately selected subset that can meet demonstration requirements, trading some reach for service capability.

C Exclusive distribution restricts authorised access through a defined territory or arrangement. Selecting capable retailers alone does not establish exclusivity, especially when exclusive territory rights are expressly absent.

D Direct distribution describes a producer-to-customer route without intermediaries. Here retailers are involved, and the question concerns how widely the brand authorises access through those outlets.

Revisit lesson 40: Distribution intensity & promotion direction

Q080 · Lesson 40 · application Return to question

A kitchenware brand funds retailer product training and separately runs customer videos encouraging shoppers to request the range. Which description fits this programme?

C. Retailer training is push; customer request videos are pull.

A The funding source does not determine promotion direction. Push supports intermediary action, while pull stimulates end-customer demand, so activities funded by one manufacturer can do both.

B An eventual consumer purchase does not make every activity pull. The retailer training works through an intermediary's capability, while the videos address customer demand directly.

C · correct Training supports the retailer's ability to sell, making it push. Videos encourage end customers to seek the product, making them pull within a combined programme.

D This reverses the directions. Training influences the intermediary, whereas videos encouraging shoppers to request the range stimulate demand from end customers further along the channel.

Revisit lesson 40: Distribution intensity & promotion direction

Q081 · Lesson 41 · foundation Return to question

Digital advertising blurs traditional ATL and BTL boundaries. What is the most useful basis for selecting a communication activity?

B. Define its audience, intended response and measurement within the communications plan.

A A classification label does not specify what the activity should achieve. Communication choices need a defined audience, task and measure even when the terminology is familiar.

B · correct A clear audience, desired response and measure explain the activity's job. These decisions remain useful when digital channels combine characteristics associated with several traditional classifications.

C Broad reach may help some objectives but can waste resources when a narrower response matters. Audience relevance and the buying process should shape the communication choice.

D Integration requires a coherent position, not identical execution everywhere. Different channels can express the same promise in ways suited to their audience, format and intended task.

Revisit lesson 41: Push, pull & an integrated communications mix

Q082-Q084 · Reasoning

Q082 · Lesson 41 · application Return to question

A launch campaign creates strong customer interest, but partner shops repeatedly run out of the product. Which adjustment best strengthens the integrated launch?

D. Coordinate replenishment and retailer support with the customer-facing campaign.

A Strong interest indicates a response to communication, but unavailable stock prevents purchase. More awareness spending could increase unfulfilled demand without resolving the bottleneck in the launch.

B Customer demand cannot compensate for poor availability by itself. Retailer support and replenishment remain necessary to convert that demand into an accessible, dependable buying experience.

C The evidence points first to a fulfilment gap rather than a faulty promise. Changing positioning before diagnosing availability may disrupt a message already generating customer interest.

D · correct The programme needs demand creation and channel readiness to work together. Replenishment and retailer support address the availability gap that currently prevents interest from becoming purchases.

Revisit lesson 41: Push, pull & an integrated communications mix

Q083 · Lesson 42 · foundation Return to question

A promotion lifts weekly unit sales. Which additional evidence is most necessary before concluding that it created worthwhile incremental value?

C. Contribution after promotion costs and evidence of displaced or brought-forward purchases.

A Internal reactions to artwork do not establish commercial value or changed customer behaviour. The evaluation needs outcomes and costs connected to the promotion's defined objective.

B Catalogue placement describes execution rather than incremental results. It may affect exposure, but it does not show whether the sales increase produced sufficient additional contribution.

C · correct Extra units may include purchases that would have occurred anyway or later. Contribution, promotion costs and displacement evidence help distinguish worthwhile incremental demand from timing effects.

D Eligibility measures potential participation, not realised value. Evaluating the offer requires actual responses, their incremental nature and the economic effect of the incentive and related costs.

Revisit lesson 42: Sales promotion: stimulate trial & action

Q084 · Lesson 42 · application Return to question

A retailer expected 1,000 units in each of two weeks. A first-week discount produced 1,500 sales, followed by 500 in week two. Assuming the baseline is credible, what does this evidence suggest?

A. No two-week incremental units; investigate whether purchasing shifted forward.

A · correct Actual sales total 2,000 units, matching the two-week baseline. The pattern is consistent with purchases moving forward, although further evidence is needed to establish the cause.

B The first-week rise is offset by the second-week fall. This two-week evidence does not establish lasting growth and illustrates why a longer evaluation window matters.

C Counting only the promotional week ignores the subsequent shortfall against baseline. Incremental volume over the stated evaluation period is actual sales minus expected sales across both weeks.

D Higher promotional-week volume does not establish profit, especially when total units match baseline. Discounts and campaign costs could reduce contribution despite the temporary increase in sales.

Revisit lesson 42: Sales promotion: stimulate trial & action

Q085-Q087 · Reasoning

Q085 · Lesson 43 · foundation Return to question

Which proposed action is most clearly a WT response in TOWS?

D. Reduce dependence on a weak process exposed to a worsening external threat.

A A strong network is an internal strength and market growth is an external opportunity. Using the capability to pursue that growth most naturally describes an SO response.

B An inexperienced team is an internal weakness, while segment growth is an opportunity. Building capability to capture that opportunity describes a WO response rather than WT.

C The reputation is an internal strength and the competitor is an external threat. Deploying that strength defensively fits ST, rather than a response to internal weakness.

D · correct WT responses reduce vulnerability where an internal weakness meets an external threat. Reducing exposure to the weak process directly addresses that combination of factors in the scenario.

Revisit lesson 43: Promotion continues; SWOT becomes TOWS

Q086 · Lesson 43 · application Return to question

An audit finds that a retailer has reliable delivery and that demand for scheduled replenishment is growing. Which recommendation most clearly converts these findings into a TOWS option?

B. Pilot scheduled replenishment for a defined segment using the delivery capability.

A Recording the strength is part of SWOT, but it does not generate a strategic option. TOWS connects internal and external evidence to a specific course of action.

B · correct The pilot uses the documented delivery strength to pursue an external demand opportunity. It turns the matched factors into a concrete SO option for a defined audience.

C Growing customer demand is external opportunity evidence, not an internal weakness. Relabelling it obscures the audit and does not explain how the business should respond.

D A discount could be appropriate for another objective, but this proposal does not use the stated delivery strength or address replenishment demand. The evidence-to-action link is missing.

Revisit lesson 43: Promotion continues; SWOT becomes TOWS

Q087 · Lesson 44 · foundation Return to question

A recommendation matches a strength with an opportunity. Why is it still necessary to state the Ansoff growth direction separately?

A. SO explains the factor match; product and market choices determine the growth direction.

A · correct TOWS explains how evidence supports an option, while Ansoff identifies whether products and markets are existing or new. The same SO match can support different growth directions.

B SO does not automatically mean market penetration. A strength could support entering a new market, introducing a new product or another direction justified by the evidence.

C Distinguishing internal from external evidence belongs to the audit and SWOT structure. Ansoff instead describes growth through the relationship between products and markets in the proposed choice.

D Naming a direction does not explain whom the business will serve or why customers should choose it. A complete recommendation still needs target, advantage and delivery logic.

Revisit lesson 44: Write a strategy from the evidence

Q088-Q090 · Reasoning

Q088 · Lesson 44 · application

Return to question

A company has strong installation expertise. It plans to sell its existing office equipment in a city it has never served, targeting small firms that value dependable setup. Which description best captures its proposed strategy?

C. Market development through service differentiation for small firms.

A An existing product does not by itself establish penetration; the market is new to the company. The stated advantage is dependable installation rather than low price.

B The new element is the market, not the equipment being offered. Service differentiation describes the advantage, but product development does not fit the stated product-market combination.

C · correct Existing equipment enters a new geographic market, making this market development. Installation expertise supports a service-based difference for the identified small-firm target and its stated priority.

D Diversification requires both new products and new markets, while the equipment remains existing. Cost leadership is also unsupported because the proposal identifies expertise rather than a lower cost base.

Revisit lesson 44: Write a strategy from the evidence

Q089 · Lesson 45 · foundation

Return to question

What does a 25% unit cannibalisation rate for a new product mean when defined as switched units divided by new-product units?

B. One quarter of new-product units replaced purchases of the company's existing offers.

A The rate describes the source of new-product unit sales, not the change in company revenue. Prices, other sales and any genuinely incremental demand affect revenue outcomes.

B · correct The stated denominator is new-product units, so 25% indicates that one quarter displaced units from the company's existing offers. It does not by itself establish profitability.

C Market share uses a defined market total as its denominator. This cannibalisation measure instead compares internally displaced units with the new product's own total unit sales.

D Switching between owned products does not automatically make a buyer unprofitable. The effect depends on contribution differences, launch costs and the wider economics of the portfolio.

Revisit lesson 45: Fix capability gaps & understand cannibalisation

Q090 · Lesson 45 · application

Return to question

A new range sells 800 units at EGP 40 contribution each before launch costs. Of these, 200 replace old-range units earning EGP 30 each. The remaining units are additional sales. Launch costs are EGP 10,000. With no other changes, what are unit cannibalisation and incremental portfolio contribution after launch costs?

D. 25%; EGP 16,000.

A The cannibalisation rate is correct, but EGP 22,000 ignores the EGP 6,000 contribution lost on old-range sales. That displacement must be deducted alongside launch costs.

B The contribution result is correct, but the rate uses the wrong denominator. Switched units are divided by all 800 new-range units, not the 600 additional units.

C The rate is correct, but EGP 32,000 is the new range's contribution before deductions. It omits both displaced old-range contribution and the specified launch costs.

D · correct Cannibalisation is 200 divided by 800, or 25%. Incremental contribution is EGP 32,000 from the new range minus EGP 6,000 displaced contribution and EGP 10,000 launch costs.

Revisit lesson 45: Fix capability gaps & understand cannibalisation

Q091-Q093 · Reasoning

Q091 · Lesson 46 · foundation Return to question

How should personal selling balance a consistent brand position with differences between individual buyers?

C. Keep the central promise consistent while tailoring the explanation to relevant needs.

A A fixed script may ignore the value different buyers seek. Consistency should apply to the central promise while the explanation responds to the customer's relevant priorities.

B Changing the central promise for each buyer can undermine a coherent position and create incompatible expectations. The explanation can vary while the underlying brand commitment remains consistent.

C · correct Personal selling allows dialogue and tailored reassurance without abandoning positioning. Explaining the same promise through benefits relevant to each buyer combines coherence with useful individual attention.

D Questions reveal the buyer's goals, barriers and desired benefits. Avoiding them removes a major advantage of personal selling and makes it harder to provide relevant reassurance.

Revisit lesson 46: Portfolio defence & personal selling

Q092 · Lesson 46 · application Return to question

A supplier sells complex stock-management software. Buyers need demonstrations and several departments approve the purchase. Sales time is expensive. Which communication choice is most justified?

A. Prioritise personal selling for qualified opportunities where tailored interaction resolves important questions.

A · correct Complexity, demonstrations and multiple decision makers create a useful role for dialogue. Prioritising qualified opportunities recognises the higher contact cost and focuses effort where interaction adds value.

B A mass advert can create awareness but may not resolve complex requirements across a buying group. Lower contact cost alone does not determine suitability for this decision.

C Unlimited attention ignores the cost trade-off and may consume resources on unsuitable prospects. Personal selling should be focused where the buyer's needs and opportunity justify the interaction.

D A fighter brand addresses a different portfolio issue and is not required to break even. It does not answer the stated need for demonstrations and coordinated buying-group reassurance.

Revisit lesson 46: Portfolio defence & personal selling

Q093 · Lesson 47 · foundation Return to question

Two teams report different conversion rates from the same campaign. Which information is essential before deciding that one calculation is wrong?

D. The action counted, denominator and reporting window used by each team.

A Presentation choices can affect readability but do not define the metric. Different valid denominators or reporting windows can produce different conversion rates from the same campaign.

B Open rate measures another stage and may be influenced by tracking technology. It does not establish which action, audience base or period each conversion calculation uses.

C Inbound and outbound describe who initiates contact, not the denominator of every response metric. Both teams still need to specify what their conversion rates actually measure.

D · correct Conversion can mean orders among clickers, orders among delivered messages or another defined action. Comparing the action, base and window reveals whether the reported rates are comparable.

Revisit lesson 47: Direct marketing & the response funnel

Q094-Q096 · Reasoning

Q094 · Lesson 47 · application

Return to question

A campaign delivers 8,000 emails. There are 320 unique clickers, of whom 48 each place one order within the reporting window. What are the click rate, order conversion among clickers and order conversion among delivered emails?

B. 4%; 15%; 0.6%.

A The click rate is correct, but the two order rates are reversed. Clicker conversion uses 320 as its base; delivered-email conversion uses the full 8,000.

B · correct Click rate is 320 divided by 8,000, or 4%. Orders among clickers are 48 divided by 320, or 15%; among delivered emails, they are 0.6%.

C The delivered-email conversion is correct, but the first two measures are reversed. Clicks use delivered emails as their denominator, while clicker conversion compares orders with clickers.

D The clicker conversion is correct, but click rate and delivered-email order conversion are reversed. The campaign has 320 clickers but only 48 orders against the same delivery base.

Revisit lesson 47: Direct marketing & the response funnel

Q095 · Lesson 48 · foundation

Return to question

Which combination makes a direct-response demonstration most useful to a customer evaluating an unfamiliar product?

A. A relevant benefit, credible performance evidence and a clear next step.

A · correct A relevant benefit establishes usefulness, credible evidence supports belief, and a clear next step enables response. Together they connect understanding and reassurance to the intended action.

B Entertainment may attract attention but does not explain how the product helps. Without a relevant use or benefit, the demonstration contributes little to the stated evaluation need.

C A comparison needs relevant attributes, fair conditions and supportable evidence. Omitting what was compared prevents the customer from assessing the claim or understanding its practical importance.

D A slogan may aid recall, but an unfamiliar product often needs explanation and proof. Direct response also requires an accessible action route linked to the communication.

Revisit lesson 48: Direct response & rational advertising

Q096 · Lesson 48 · application

Return to question

A storage-box advert compares its capacity with a rival using different box sizes and no measurement details. The brand wants a credible rational appeal. What should it change first?

C. Use comparable conditions, state the capacity measure and substantiate the result.

A Music may change attention or recall but does not repair the comparison method. A rational capacity claim needs relevant measurement under conditions the audience can assess.

B Removing a name does not make unequal conditions comparable or supply missing evidence. The underlying method and explanation still need correction before the claim becomes credible.

C · correct Comparable conditions and a stated measurement allow a meaningful assessment of the claimed benefit. Supporting the result with evidence addresses the weakness in the rational appeal.

D A celebrity preference may provide a different creative approach, but it does not substantiate capacity. The brand needs evidence relevant to the specific benefit it wants to claim.

Revisit lesson 48: Direct response & rational advertising

Q097-Q099 · Reasoning

Q097 · Lesson 49 · foundation Return to question

Viewers enjoy an advert and remember its celebrity, but cannot identify the brand or intended benefit. What is the strongest interpretation?

B. The execution may attract attention while failing to communicate the offer.

A Enjoyment is one response, not proof of all objectives. Weak brand and benefit recall indicates that the creative may not be communicating what customers should remember.

B · correct The remembered celebrity may be overshadowing the offer. Testing comprehension, brand linkage and intended response can show how to reconnect attention with the communication objective.

C Celebrity recall measures memory of a creative element, not purchases caused by the campaign. Incremental sales require separate outcome evidence and an appropriate basis for comparison.

D The findings justify revisiting this execution, not rejecting endorsements universally. Relevant and credible endorsers can support a message when audiences connect them with the brand and benefit.

Revisit lesson 49: Creative appeals: stories people remember

Q098 · Lesson 49 · application Return to question

An advert shows a freelancer struggling to organise invoices, using an app and feeling more in control. Which review would best assess this slice-of-life execution?

D. Test whether viewers recognise the problem, understand the benefit and recall the brand.

A Actor recognition does not establish whether the story reflects the audience's situation or communicates value. The review should focus on the intended benefit and brand connection.

B A recognisable story can make a message relatable, but it is not evidence for factual performance claims. Those claims need suitable support beyond the narrative itself.

C Scene count describes the execution's structure rather than its effect. A useful review tests whether the audience understands, believes and remembers the message relevant to the offer.

D · correct These checks connect the story to customer insight and communication purpose. A slice-of-life execution should make a relevant problem and useful benefit understandable while retaining brand linkage.

Revisit lesson 49: Creative appeals: stories people remember

Q099 · Lesson 50 · foundation Return to question

Which interpretation of Carroll's CSR framework best supports a balanced assessment of a company?

C. Economic, legal, ethical and philanthropic responsibilities all inform the assessment.

A A donation or community programme does not cancel obligations elsewhere in the model. Commercial conduct and stakeholder impacts still need examination alongside any philanthropic contribution.

B Legal responsibility is one part of the framework, not its entirety. Economic viability, ethical conduct and philanthropic contribution provide additional dimensions for discussing the company's responsibilities.

C · correct The framework includes all four responsibilities and treats ethics as relevant throughout. Assessing their relationship gives a broader view than focusing only on charity or communication.

D Communication can explain responsible activity, but CSR also concerns how the organisation behaves. Promotional effectiveness alone does not establish responsible conduct or a positive stakeholder impact.

Revisit lesson 50: Emotion, public relations & CSR

Q100-Q102 · Reasoning

Q100 · Lesson 50 · application

Return to question

A retailer promotes a recycling initiative, but customers cannot find collection points and staff give conflicting instructions. Which action best strengthens the credibility of its public relations?

A. Make collection work reliably, train staff and report verified results.

A · correct Credibility improves when organisational behaviour supports the communicated claim. Reliable access, informed staff and verified results help customers judge whether the initiative delivers the promised benefit.

B Greater reach would expose more customers to a promise the current process does not support. Fixing the delivery gap is necessary to build credible understanding and relationships.

C Humour is an execution technique, not a repair for inaccessible collection or inconsistent guidance. Diverting attention leaves the operational gap undermining the initiative and its reputation.

D A donation may be worthwhile on its own, but it does not make this recycling initiative work. Philanthropy cannot substitute for delivering the responsibility claim already communicated.

Revisit lesson 50: Emotion, public relations & CSR

Q101 · Lesson 51 · foundation

Return to question

Several people contribute to a launch activity, but no one clearly owns its outcome. Which RACI assignment most directly resolves that gap?

D. Name a clear Accountable owner while specifying who is Responsible for the work.

A Informed people receive updates, which does not establish ownership of the outcome. Additional communication recipients cannot substitute for a clear accountable role and defined delivery responsibilities.

B Consulted contributors provide input, but input is different from doing the work or owning the result. Removing delivery roles leaves the original ownership and execution problem unresolved.

C RACI roles are not determined automatically by seniority or job title. The assignment must explicitly establish outcome ownership and the work required for the specific activity.

D · correct Accountable identifies ownership of the outcome, while Responsible identifies who performs the work. Defining both roles makes the activity easier to coordinate and its completion easier to assess.

Revisit lesson 51: Turn the mix into an action plan

Q102 · Lesson 51 · application

Return to question

A team has a defined enquiry target and needs to prepare an objective-and-task budget. Which method best fits?

B. Identify the activities and resources needed, estimate costs and assess affordability and likely return.

A Using revenue as the starting base describes percentage-of-sales budgeting. It may be a budgeting method, but it does not build costs from the specified objective and tasks.

B · correct Objective-and-task budgeting works from the desired outcome to the necessary activities and resources. Estimating those costs and checking affordability and likely return completes a practical assessment.

C Using competitor expenditure as the reference describes competitive parity. It does not determine the resources needed for this team's enquiry target or establish that the spending is appropriate.

D Equal allocations do not reflect the tasks or resources required to meet the objective. Channels should receive budgets according to their justified role, costs and expected contribution.

Revisit lesson 51: Turn the mix into an action plan

Q103-Q105 · Reasoning

Q103 · Lesson 52 · foundation Return to question

In a valid NPS survey, the number of promoters equals the number of detractors. What must the NPS be, regardless of the number of passives?

A. Zero.

A · correct Equal promoter and detractor counts produce equal percentages using the same valid-response denominator. Subtracting those percentages gives zero, even when passive responses remain in the base.

B Passives contribute to the denominator but are not directly added to or subtracted in the NPS formula. Their percentage does not become the score when other groups match.

C A score of positive 50 would require promoter percentage to exceed detractor percentage by 50 points. Equal group counts produce no difference using a shared denominator.

D Passives should remain in the valid-response denominator, not be excluded. Equal promoter and detractor counts are enough to establish a zero score without knowing the passive count.

Revisit lesson 52: NPS: measure recommendation intent

Q104 · Lesson 52 · application Return to question

A recommendation survey has 200 valid responses: 90 score 9-10, 70 score 7-8 and 40 score 0-6. What is the NPS?

C. +25.

A Fifty is the difference between the raw promoter and detractor counts. NPS subtracts their percentages of all 200 valid responses, so the raw difference must be scaled.

B This approximately results from excluding the 70 passives and using only 130 responses. Passives remain in the denominator, so that calculation does not follow the NPS method.

C · correct Promoters represent 90 of 200 responses, or 45%, and detractors represent 40 of 200, or 20%. Subtracting gives NPS +25, reported as a score.

D Forty-five percent is the promoter share, not the NPS or a satisfaction percentage. The recommendation measure also subtracts the detractor share and should be labelled correctly.

Revisit lesson 52: NPS: measure recommendation intent

Q105 · Lesson 53 · foundation Return to question

Comparable CSAT surveys using the same method show satisfaction rising from 70% to 82%. Which statement correctly describes the change?

B. An increase of 12 percentage points, approximately 17.1% relative to the original level.

A Subtracting 70% from 82% gives 12 percentage points. Relative growth divides that difference by the original 70%, producing approximately 17.1%, rather than a 12% increase.

B · correct The absolute difference between the percentages is 12 points. Dividing 12 by the original 70 and multiplying by 100 gives approximately 17.1% relative growth.

C This reverses the absolute and relative descriptions. The percentage-point difference is 82 minus 70, while the relative increase is that difference divided by the original level.

D The surveys measure satisfaction using CSAT, not recommendation intent using NPS. A change in one metric cannot automatically be relabelled as a change in the other.

Revisit lesson 53: CSAT, NPS & the control loop

Q106 · Reasoning

Q106 · Lesson 53 · application

Return to question

A delivery survey defines CSAT as ratings of 4 or 5 on a five-point scale. Of 240 valid responses, 180 meet that threshold. The target is 85%, and comments repeatedly mention late arrivals. Which report and next step best complete the control loop?

D. CSAT is 75%; investigate lateness, assign an improvement and repeat comparable measurement.

A The measured percentage is correct, but simply lowering the target avoids diagnosing the gap. The recurring comments provide a reason to investigate and improve the delivery experience.

B The target is a desired level, not the observed result. Dividing 180 satisfied responses by 240 valid responses gives 75%, revealing a gap requiring diagnosis.

C The calculation is correct, but NPS addresses recommendation intent and is not universally more accurate. Changing metrics would not resolve the delivery issue highlighted by this survey.

D · correct The CSAT calculation is 180 divided by 240, or 75%. Investigating the recurring issue, assigning corrective work and measuring again connects the observed gap to action.

Revisit lesson 53: CSAT, NPS & the control loop

PatchLane: turn an audit into a choice

An original, fictional brand-management exercise.

Connect lessons 8 · 17 · 18 · 20 · 43 · 44 · 51

THE SITUATION

PatchLane is a fictional bag-repair business serving commuters in one town. Its records show that 96 of its latest 100 booked repairs were ready on the agreed day. It currently completes 20 commuter repairs weekly and has capacity for ten more. Staff record bookings in separate notebooks, which caused three duplicate bookings last month. In interviews, 12 of 20 existing commuter customers said a workplace collection service would be useful; no one has yet paid for it. A local rival has advertised workplace collection at a lower repair price. PatchLane has no driver. A potential collection partner has offered to discuss a weekly route, but prices and reliability are untested. The owner wants a growth decision for the next twelve weeks.

Your decisions

1. Write one evidenced strength, weakness, opportunity and threat. Flag uncertain evidence.

2. Generate an SO option and a WO option, showing the factor links.

3. Choose a strategy and propose a measurable twelve-week objective.

4. Design a small delivery test, including an owner and a decision rule.

Use additional paper if needed. State assumptions and show calculations. Compare your reasoning with the worked response only after attempting the tasks.

FoldNest: choose whom the brand will serve

An original, fictional brand-management exercise.

Connect lessons 23 · 26 · 29 · 31 · 32 · 33 · 34

THE SITUATION

FoldNest is a fictional maker of washable fabric organisers. Recent interviews suggest three needs: commuters want to move cables and stationery between bags quickly; home-desk enthusiasts want personalised wooden storage; office purchasing teams want matching welcome kits with invoices and dependable bulk delivery. These exploratory interviews involved eight people from each group recruited through the founder’s contacts. FoldNest can make 200 standard fabric kits monthly. Product trials show that its removable pouches fit the two bag sizes tested. It has no woodworking capability or established bulk-order process. A commuter coworking group will allow a demonstration, while reaching the other groups would require new contacts. The founder wants one initial target and a clear position, but has no reliable segment-size or willingness-to-pay estimate.

Your decisions

1. Define the three segments using needs and buying context.

2. Choose an initial target and explain the evidence and remaining uncertainty.

3. Write a positioning statement and two supporting marketing-mix choices.

4. Specify research that could change your targeting decision.

Use additional paper if needed. State assumptions and show calculations. Compare your reasoning with the worked response only after attempting the tasks.

PaperHarbour: grow the whole portfolio

An original, fictional brand-management exercise.

Connect lessons 5 · 6 · 20 · 21 · 45

THE SITUATION

PaperHarbour is a fictional stationery brand. In each product's defined local category, annual unit-market growth is 2% for Classic notebooks and 12% for Flex notebooks. Classic has 30% unit share against its largest rival's 20%; Flex has 8% against 32%. For this exercise, high growth means at least 10% and high relative share means at least 1.0. Management proposes a new planner for existing notebook customers. Its first-quarter forecast is 1,000 planners, including 400 purchases that would otherwise have been Classic notebooks, one for one. Contribution after all variable production, selling and fulfilment costs is EGP 30 per planner and EGP 25 per Classic notebook. Incremental launch spending is EGP 15,000. Other fixed costs stay unchanged. The forecast is an assumption, not an observed result.

Your decisions

1. Calculate relative share and classify both notebooks in BCG.

2. Identify the planner's Ansoff growth route under the stated market definition.

3. Calculate unit cannibalisation and the forecast change in portfolio contribution after launch spending.

4. Recommend a decision and identify two important missing checks.

Use additional paper if needed. State assumptions and show calculations. Compare your reasoning with the worked response only after attempting the tasks.

BrightFold: when higher sales earn less

An original, fictional brand-management exercise.

Connect lessons 37 · 38 · 42 · 45

THE SITUATION

BrightFold is a fictional tote-bag brand considering a one-month promotion. Without promotion, it forecasts 1,000 bags at EGP 200 each. Variable cost is EGP 120 per bag, including production, fulfilment and payment fees. The proposal reduces the price to EGP 180 for every bag sold that month and predicts 1,400 bags. It also adds EGP 10,000 of campaign spending, incurred only if the promotion runs. The same variable cost per bag applies at either volume, and capacity is sufficient. Other fixed costs stay unchanged; ignore taxes and returns for this exercise. Management celebrates the forecast revenue increase. The brand manager must decide whether the promotion improves the month's financial result. Both volume forecasts are assumptions, and effects on later months are unknown.

Your decisions

1. Calculate revenue and contribution before campaign spending for both scenarios.

2. Calculate the promotion's incremental result after campaign spending.

3. Find the promotional volume needed to equal the no-promotion result.

4. Recommend an action and a way to test the uncertain demand forecast.

Use additional paper if needed. State assumptions and show calculations. Compare your reasoning with the worked response only after attempting the tasks.

BeamNest: make the message match the channel

An original, fictional brand-management exercise.

Connect lessons 33 · 34 · 39 · 40 · 41 · 47 · 51

THE SITUATION

BeamNest is a fictional modular desk-light brand selling through its own website and four independent shops. Customer interviews suggest that first-time buyers value seeing a demonstration before choosing components. Two shops have trained staff; two have not. The website advertises “collect today”, but shop stock files are updated weekly, and several advertised combinations are unavailable. The brand wants consistent guidance and a dependable collection experience. Over seven days, its latest email pilot recorded 2,000 delivered messages to distinct recipients, 120 distinct recipients clicking, and 18 of those clickers placing one tracked order each. The campaign had no comparison group. Management proposes wider advertising next week, while the operations team can complete stock and staff checks at only two shops before then.

Your decisions

1. Recommend a channel rollout and assign the essential channel functions.

2. Specify one push and one pull activity with a consistent message.

3. Set a launch-readiness rule and name an accountable owner.

4. Calculate three email-funnel rates and explain what they cannot prove.

Use additional paper if needed. State assumptions and show calculations. Compare your reasoning with the worked response only after attempting the tasks.

ThreadBox: turn customer scores into action

An original, fictional brand-management exercise.

Connect lessons 1 · 29 · 30 · 51 · 52 · 53

THE SITUATION

ThreadBox is a fictional craft-kit brand reviewing customer experience. A relationship survey invited 200 customers and received 80 valid recommendation scores: 36 promoters, 24 passives and 20 detractors. Separately, a delivery survey invited 100 customers and received 60 valid five-point satisfaction ratings; 42 respondents selected 4 or 5. Eighteen of those 60 respondents also mentioned missing instructions in their comments. The surveys cover different samples and should not be matched person by person. Purchase records show that 120 of 300 first-time April customers placed another paid order within 90 days; every customer in that cohort has a complete observation window. The owner suggests giving all detractors a discount. No evidence yet links recommendation scores, missing instructions and individual repeat purchases.

Your decisions

1. Calculate NPS and the relationship-survey response rate.

2. Calculate delivery CSAT and the April cohort’s 90-day repeat-purchase rate.

3. Assess the proposed discount and state what the evidence cannot establish.

4. Propose one improvement with ownership, a target and a review method.

Use additional paper if needed. State assumptions and show calculations. Compare your reasoning with the worked response only after attempting the tasks.

PatchLane: turn an audit into a choice

One defensible line of reasoning, not an official model answer.

Evidence → Choice → Action → Measure

01 Separate evidence from inference

S1 is dependable completion: 96% of the latest 100 bookings met the agreed day. W1 is fragmented booking control, evidenced by duplicates. O1 is possible demand for workplace collection; interviews suggest interest, not paid demand. T1 is the rival's advertised offer. Its actual service quality and customers' willingness to switch remain unknown.

02 Generate linked options

An SO option uses dependable repair completion to test a scheduled collection offer for current commuters. A WO option establishes one shared booking record and partners for collection, addressing coordination and transport gaps. These are possible choices, not completed capabilities. Both require a viable partner price and evidence of willingness to pay.

03 Make a conditional choice

One defensible choice is a limited service-differentiation pilot for existing commuters. Adding collection as a material new service could be classified as product development; state that convention. Propose increasing completed commuter repairs from 20 to 25 per week by week twelve while keeping on-time completion at least 95%. Capacity exists, but demand and economics need validation.

04 Test before expanding

Make the operations manager accountable for a four-week pilot at one workplace. Confirm partner cost, collection reliability and booking accuracy before taking orders. Track paid uptake, contribution after collection costs and on-time completion. Expand only if the agreed contribution requirement is met and at least 95% of pilot repairs meet their promised completion day.

Check your reasoning

- Did I distinguish internal factors from external conditions?
- Does each option connect named evidence to a decision?
- Have I labelled the target and pilot rules as proposals?

Different recommendations can be reasonable if their assumptions, evidence, costs and risks are explicit. Revisit lessons 8, 17, 18, 20, 43, 44, 51 when the underlying idea is unclear.

FoldNest: choose whom the brand will serve

One defensible line of reasoning, not an official model answer.

Evidence → Choice → Action → Measure

01 Describe useful differences

Commuters seek portable organisation across changing locations. Home-desk enthusiasts seek personal expression through a more permanent workspace. Office purchasing teams buy for other users and need a repeatable procurement process. These need-based segments are more actionable than an age label because they imply different products, purchase criteria and service requirements.

02 Select on fit and access

Commuters are a plausible concentrated target: fabric kits fit their stated problem, existing production can serve a pilot, and a demonstration channel is available. This is a provisional choice. The small convenience sample cannot establish market size, profitability or broad preference. Corporate buyers might become attractive once bulk-service economics and processes are understood.

03 Make the position deliverable

Possible position: for commuters who switch bags, FoldNest is a portable organiser that keeps daily essentials together, supported by removable pouches tested in two bag sizes. Product choice: publish dimensions and offer a fit demonstration. Place choice: sell through the coworking demonstration and a simple ordering route, with production capacity reflected in delivery dates.

04 Seek decision-changing evidence

Recruit commuters beyond the founder’s contacts and observe their current packing routines. Test actual paid orders at stated prices, recording fulfilment cost and returns. Compare a small corporate enquiry sample on order size, customisation and service cost. Reconsider the target if commuter demand is weak or another segment offers stronger contribution within realistic capacity.

Check your reasoning

- Is the chosen target defined by a relevant need?
- Does the reason to believe stay within the evidence?
- Could my proposed research overturn my preference?

Different recommendations can be reasonable if their assumptions, evidence, costs and risks are explicit. Revisit lessons 23, 26, 29, 31, 32, 33, 34 when the underlying idea is unclear.

PaperHarbour: grow the whole portfolio

One defensible line of reasoning, not an official model answer.

Evidence → Choice → Action → Measure

01 Use the correct denominator

Classic's relative share is 30% divided by 20%, or 1.5 times its largest rival. With 2% category growth, it is a cash cow under the stated thresholds. Flex is 8% divided by 32%, or 0.25 times; 12% growth makes it a question mark. These labels do not establish either product's profitability.

02 Define what is new

The planner is product development: a new offer to PaperHarbour's existing customer market. That classification depends on treating notebook buyers as the existing market and planners as a new product. Selling through a new website alone would not necessarily change the market. State the baseline before assigning a growth label.

03 Calculate the portfolio effect

Cannibalisation is 400 displaced Classic units divided by 1,000 planner units: 40%. Planner contribution is 1,000 × EGP 30 = EGP 30,000. Lost Classic contribution is 400 × EGP 25 = EGP 10,000. Subtracting EGP 15,000 launch spending leaves a forecast improvement of EGP 5,000 versus not launching, with other fixed costs unchanged.

04 Choose with conditions

A limited launch is defensible because the stated forecast produces a positive incremental result. Before approval, test whether 600 planner purchases would truly add sales and whether production can supply them without displacing other profitable orders. Review cash timing and repeat demand as well. A BCG label alone is not a reason to fund or abandon anything.

Check your reasoning

- Did I divide by the largest rival's share?
- Did I subtract contribution lost on displaced sales?
- Did I distinguish the forecast from proof of demand?

Different recommendations can be reasonable if their assumptions, evidence, costs and risks are explicit. Revisit lessons 5, 6, 20, 21, 45 when the underlying idea is unclear.

BrightFold: when higher sales earn less

One defensible line of reasoning, not an official model answer.

Evidence → Choice → Action → Measure

01 Separate revenue from contribution

Without promotion, revenue is 1,000 × EGP 200 = EGP 200,000; unit contribution is EGP 80, so total contribution is EGP 80,000. With promotion, revenue is 1,400 × EGP 180 = EGP 252,000. Unit contribution falls to EGP 60, giving EGP 84,000 before the additional campaign spending.

02 Compare like with like

The promotional result after campaign spending is EGP 84,000 − EGP 10,000 = EGP 74,000. Compared with EGP 80,000 without promotion, the change is negative EGP 6,000. Revenue rises by EGP 52,000, but the reduced contribution per bag and added spending outweigh the forecast volume gain. Neither result is total company net profit.

03 Solve the volume requirement

Let Q be promotional bags sold in the month. Matching the baseline requires Q × EGP 60 − EGP 10,000 = EGP 80,000. Therefore Q = 1,500 bags: 500 more than the 1,000-bag baseline, a 50% volume increase. This is the volume needed to match the baseline contribution after campaign spending, not the company's overall break-even volume.

04 Test a revised choice

One reasonable recommendation is to reject the proposal at its current forecast and test a smaller, explicitly costed alternative. Compare similar randomly assigned customer groups where practical, tracking incremental contribution and later purchases. Check whether discounted orders replace full-price orders or pull demand forward. A smaller discount or better targeting needs its own calculation and evidence.

Check your reasoning

- Did every promoted unit receive the lower price?
- Did I include the campaign cost exactly once?
- Did I avoid treating revenue growth as profit growth?

Different recommendations can be reasonable if their assumptions, evidence, costs and risks are explicit. Revisit lessons 37, 38, 42, 45 when the underlying idea is unclear.

BeamNest: make the message match the channel

One defensible line of reasoning, not an official model answer.

Evidence → Choice → Action → Measure

01 Match coverage to service capability

A staged, selective rollout through two ready shops is a plausible choice. Shops demonstrate components, hold agreed stock and hand over orders; BeamNest maintains product guidance, accurate availability and the ordering system. Agree who handles returns and support. Existing agreements need consideration before changing access, and direct online sales still require fulfilment and service capacity.

02 Give each communication a job

Push activity could train shop staff using a common demonstration and component checklist. Pull activity could invite local customers to book a demonstration at a ready shop. Both should promise help choosing a suitable combination and state confirmed collection timing. The “collect today” claim needs revision wherever live availability and fulfilment cannot support it.

03 Make readiness observable

The channel manager could own launch readiness, with shop managers and operations responsible for their tasks. Before local advertising begins, verify staff competence, component availability, order confirmation and the collection handover through a test order. Broader advertising should follow the remaining shops’ readiness. Record failures and fix their causes before declaring the customer promise deliverable.

04 Keep the denominators visible

The click rate is 120 ÷ 2,000 = 6%. Order conversion among clickers is 18 ÷ 120 = 15%; among delivered recipients it is 18 ÷ 2,000 = 0.9%. All use the stated seven-day window. Tracking links the orders to recipients, but without a comparison group it does not show how many orders the email caused.

Check your reasoning

- Can every advertised promise be fulfilled in that location?
- Did I distinguish channel coverage from push and pull?
- Does every rate name its denominator and time window?

Different recommendations can be reasonable if their assumptions, evidence, costs and risks are explicit. Revisit lessons 33, 34, 39, 40, 41, 47, 51 when the underlying idea is unclear.

ThreadBox: turn customer scores into action

One defensible line of reasoning, not an official model answer.

Evidence → Choice → Action → Measure

01 Use all valid NPS responses

Promoters are 36 ÷ 80 = 45% and detractors are 20 ÷ 80 = 25%, so NPS is +20. The 24 passives remain in the 80-response denominator. Response rate is 80 ÷ 200 = 40%. Report NPS as a score, and recognise that respondents may differ from the customers who did not answer.

02 Keep experiences and behaviour distinct

Using the stated top-two-box method, delivery CSAT is 42 ÷ 60 = 70%. Its survey response rate is 60 ÷ 100 = 60%. The April cohort's repeat-purchase rate is 120 ÷ 300 = 40% within 90 days. Survey respondents and purchasing customers are different bases; these percentages answer different questions and cannot be substituted for one another.

03 Diagnose before choosing an incentive

A discount may not fix missing instructions. Eighteen of 60 delivery respondents, or 30%, mentioned that problem; this is not a proven defect rate across all deliveries. Inspect packing records and contact consenting customers to understand the failures. The data do not establish that detractors received incomplete kits or that missing instructions caused the observed repeat rate.

04 Close the control loop

One possible action is a pack-out checklist owned by the fulfilment lead, with a proposed target of at least 98% instruction inclusion across all inspected kits over four weeks. Record the baseline first, provide missing instructions to affected customers, and repeat the same delivery survey method. Review completeness, CSAT and contribution before considering a separate incentive test.

Check your reasoning

- Did I keep passives in the NPS denominator?
- Did I separate survey samples from the purchase cohort?
- Does the improvement address an investigated cause?

Different recommendations can be reasonable if their assumptions, evidence, costs and risks are explicit. Revisit lessons 1, 29, 30, 51, 52, 53 when the underlying idea is unclear.

My review log.

Use this page again whenever you need it. Understanding grows through corrections, not perfect streaks.

Write the idea you want to remember, not just the correct letter. On a later day, cover the correction and explain it from memory.

Question / case: _____ Date: _____

What I thought, and why:

My corrected explanation or calculation:

Revisit date: _____ Can I explain it without looking? Yes / not yet

Question / case: _____ Date: _____

What I thought, and why:

My corrected explanation or calculation:

Revisit date: _____ Can I explain it without looking? Yes / not yet

Question / case: _____ Date: _____

What I thought, and why:

My corrected explanation or calculation:

Revisit date: _____ Can I explain it without looking? Yes / not yet

Question / case: _____ Date: _____

What I thought, and why:

My corrected explanation or calculation:

Revisit date: _____ Can I explain it without looking? Yes / not yet

One clear explanation is a real step forward.

Paper 1: Connect the essentials

Build confidence by connecting marketing concepts to everyday decisions.

Practice instructions

30 questions. Choose one best answer per question. Suggested practice time: 45 minutes; adapt this to your needs. One point per correct answer; no deduction for incorrect answers. Unanswered questions earn zero points.

This length and timing are editorial learning choices, not the official CIM assessment format. These questions follow the notes, not a verified complete syllabus.

Before you start

Read the lessons first. Try the paper without looking at the answer section, then use the explanations to identify what to revisit. A calculator may help with the illustrative numerical questions.

Keep track of your reasoning

Circle your choice and note any uncertainty. At the end, return to flagged questions before checking the separate answers. A correct guess is still worth reviewing.

My start time: _____ My finish time: _____

My score: ____ / 30 Questions to revisit: _____

Start this paper

Answers - after attempting

Interactive exam room

Review log

All scenarios and figures are fictional. Scores describe this paper only; no official pass mark or predicted CIM grade is implied.

Questions 1-3

Q001 · Lesson 1 · application My answer: ___

An office manager purchases desk lamps after employees test several models. Employees will use the lamps, and the finance director approves the budget. Whose needs should the supplier investigate?

- **A.** Only the office manager, because purchasing excludes other relevant roles
- **B.** The purchaser and users, while recognising the finance director's influence
- **C.** Only employees, because using a product makes purchasing requirements irrelevant
- **D.** Only the finance director, because approving funds establishes every product requirement

Confidence: low / medium / high

Reason in my own words: _____

Q002 · Lesson 5 · application My answer: ___

In one month, a stationery business sells 200 identical folders at EGP 50 each. In the next month it sells 220 at EGP 55 each. These are its only sales, with no returns or discounts. What are the revenue growth and unit-volume growth from the first month to the second?

- **A.** Revenue grows 10%; unit volume grows 10%
- **B.** Revenue grows 20%; unit volume grows 10%
- **C.** Revenue grows 21%; unit volume grows 21%
- **D.** Revenue grows 21%; unit volume grows 10%

Confidence: low / medium / high

Reason in my own words: _____

Q003 · Lesson 2 · application My answer: ___

A music-player manufacturer repeatedly adds advanced controls because its engineers value technical sophistication. Customer interviews show that the intended audience mainly wants simple operation. Which orientation best describes the manufacturer's current decisions?

- **A.** Product orientation
- **B.** Production orientation
- **C.** Selling orientation
- **D.** Market orientation

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 4-6

Q004 · Lesson 7 · foundation My answer: ___

Why can recruitment-market conditions be relevant to a marketing plan?

- **A.** Recruitment information replaces research into customer needs
- **B.** Applicant numbers directly measure demand for the company's products
- **C.** The availability of suitable skills can constrain delivery and growth
- **D.** Recruitment belongs only in plans whose customers are job applicants

Confidence: low / medium / high

Reason in my own words: _____

Q005 · Lesson 13 · application My answer: ___

Several local printing firms face weak demand, but long property commitments and specialised equipment make closure costly. They continue cutting prices to win work. Which interpretation best explains this pattern?

- **A.** Low entry barriers guarantee that existing firms can leave cheaply
- **B.** The closure costs mainly reduce customers' bargaining power
- **C.** High exit barriers can keep struggling firms competing and intensify rivalry
- **D.** High exit barriers necessarily prevent any new printer from entering

Confidence: low / medium / high

Reason in my own words: _____

Q006 · Lesson 14 · foundation My answer: ___

Which item belongs most directly in an assessment of switching costs when replacing a software provider?

- **A.** The lower annual subscription charged by the proposed provider
- **B.** The original installation payment that cannot be recovered
- **C.** The current provider's expenditure on its advertising campaign
- **D.** The staff retraining and data migration required by the change

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 7-9

Q007 · Lesson 16 · application My answer: ___

Research places no existing café in the low-price, extensive-table-service corner of a perceptual map. An entrepreneur wants to launch there immediately. What should be established before treating the empty space as an opportunity?

- **A.** That the map can display the proposed café in the desired corner
- **B.** That reachable customers want the combination and it can be delivered economically
- **C.** That competing cafés agree the corner is currently empty
- **D.** That the proposed café can communicate both attributes in one slogan

Confidence: low / medium / high

Reason in my own words: _____

Q008 · Lesson 8 · application My answer: ___

A plan already specifies its target, retention objective, strategy and chosen email tactics. Staff still do not know who will prepare the messages or when the launch tasks are due. Which SOSTAC element needs development most directly?

- **A.** Action
- **B.** Situation
- **C.** Strategy
- **D.** Control

Confidence: low / medium / high

Reason in my own words: _____

Q009 · Lesson 19 · application My answer: ___

A parcel company owns a rare, valuable sorting process that rivals cannot cheaply copy. A rival nevertheless achieves the same customer benefit at comparable cost using a completely different method. Which VRIN test does this evidence challenge most directly?

- **A.** Non-substitutability
- **B.** Rarity
- **C.** Value
- **D.** Difficulty of imitation

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 10-12

Q010 · Lesson 20 · application My answer: ___

A company sets a precise sales target, named owner and deadline for its existing service. Operations confirms that meeting the target exceeds available capacity, and no extra capacity is budgeted. Which SMART concern needs attention first?

- **A.** The target lacks a defined deadline
- **B.** The target's achievability is unsupported by the delivery resources
- **C.** The outcome cannot be measured because an owner is named
- **D.** The target is automatically relevant because it concerns sales

Confidence: low / medium / high

Reason in my own words: _____

Q011 · Lesson 21 · foundation My answer: ___

Which evidence most strongly supports a claim of cost leadership rather than simply a temporary low selling price?

- **A.** A discount that ends when the launch campaign finishes
- **B.** A high number of customers who recognise the advertising slogan
- **C.** A premium package that customers associate with exclusivity
- **D.** A sustainably lower cost base demonstrated against relevant competitors

Confidence: low / medium / high

Reason in my own words: _____

Q012 · Lesson 29 · application My answer: ___

A bakery distinguishes customers buying bread for routine weekday meals from customers ordering gift boxes for celebrations. Which segmentation basis most directly captures this distinction?

- **A.** Customer age
- **B.** Household income
- **C.** Purchase occasion
- **D.** Geographic location

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 13-15

Q013 · Lesson 31 · application My answer: ___

A restaurant group seeks a supplier willing to share demand information, jointly improve ordering and develop a long-term working relationship. In the lesson's needs-based grouping, which priority is most evident?

- **A.** Obtaining the lowest quoted unit price alone
- **B.** Building a supplier partnership
- **C.** Selecting primarily for the supplier's brand prestige
- **D.** Receiving a standard service with minimal coordination

Confidence: low / medium / high

Reason in my own words: _____

Q014 · Lesson 32 · application My answer: ___

For the same quarter, Segment A offers 100 customers at EGP 80 contribution each before EGP 3,000 acquisition spending. Segment B offers 60 at EGP 120 each before EGP 1,500 acquisition spending. These figures include all other incremental costs; capacity and risk are equal. Which has the higher forecast contribution after acquisition spending?

- **A.** B: EGP 5,700 versus A: EGP 5,000
- **B.** A: EGP 8,000 versus B: EGP 7,200
- **C.** A: EGP 5,000 versus B: EGP 4,200
- **D.** B: EGP 7,200 versus A: EGP 5,000

Confidence: low / medium / high

Reason in my own words: _____

Q015 · Lesson 33 · foundation My answer: ___

What does the frame of reference contribute to a positioning statement?

- **A.** The complete schedule of campaign tasks
- **B.** The organisation's internal reporting hierarchy
- **C.** A guarantee that customers will accept the claimed benefit
- **D.** The category or alternatives against which customers should understand the offer

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 16-18

Q016 · Lesson 35 · application My answer: ___

While paying for groceries, a customer sees an inexpensive everyday pen and adds it to the basket without comparison. The purchase was not planned. Which interpretation best fits the behaviour?

- **A.** It is unsought solely because the purchase was unplanned
- **B.** It can be a convenience purchase made on impulse
- **C.** It is a shopping product because it was bought during a shopping trip
- **D.** It is a speciality purchase because only one pen was selected

Confidence: low / medium / high

Reason in my own words: _____

Q017 · Lesson 36 · application My answer: ___

Prospective customers hesitate to buy a translation service because they cannot judge its quality before purchase. Which response most directly reduces the uncertainty associated with intangibility?

- **A.** Provide representative sample work, explain the process and show credible client evidence
- **B.** Extend the working day to make more appointment slots available
- **C.** Offer staff additional training without showing customers any evidence
- **D.** Increase the number of languages advertised without demonstrating competence

Confidence: low / medium / high

Reason in my own words: _____

Q018 · Lesson 37 · application My answer: ___

A business launches an innovative drawing tablet at a high price for customers willing to pay early. It plans to reduce the price later as it serves a broader market. Which pricing approach does this describe?

- **A.** Penetration pricing
- **B.** Everyday low pricing
- **C.** Price skimming
- **D.** Going-rate pricing

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 19-21

Q019 · Lesson 38 · application My answer: ___

Printer A costs EGP 600 and its required cartridges cost EGP 90 each. Printer B costs EGP 850 and its cartridges cost EGP 40 each. The first year requires four purchased cartridges with either printer. Performance is equivalent; ignore all other costs. Which option has the lower first-year ownership cost, and by how much?

A. B, by EGP 250
B. B, by EGP 200
C. A, by EGP 250
D. A, by EGP 50

Confidence: low / medium / high

Reason in my own words: _____

Q020 · Lesson 40 · foundation My answer: ___

How does distribution intensity differ from the choice between direct and indirect distribution?

A. Intensity concerns breadth of availability; direct or indirect concerns intermediary involvement
B. Intensity concerns customer demand; direct or indirect concerns the advertising tone
C. Intensity concerns selling price; direct or indirect concerns the number of product variants
D. Intensity concerns intermediary involvement; direct or indirect concerns breadth of availability

Confidence: low / medium / high

Reason in my own words: _____

Q021 · Lesson 42 · application My answer: ___

A tool retailer charges the normal purchase price, then returns EGP 100 to eligible customers who submit proof of purchase within the stated period. Which promotional tool is being used?

A. A coupon applied at checkout
B. A rebate
C. A premium gift
D. A free sample

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 22-24

Q022 · Lesson 47 · application My answer: ___

A customer receives a retailer's promotional leaflet and later telephones the retailer to ask about delivery. The retailer answers the call. How should this telephone contact be classified?

- **A.** Outbound, because the retailer originally sent the leaflet
- **B.** Outbound, because the retailer hopes the call leads to an order
- **C.** Inbound, because the customer initiated the telephone contact
- **D.** Indirect distribution, because the customer first encountered a leaflet

Confidence: low / medium / high

Reason in my own words: _____

Q023 · Lesson 48 · application My answer: ___

An exhibition kiosk demonstrates a storage system and explains its benefits. Visitors understand the offer but leave without knowing how to enquire or order. Which addition most directly supports measurable direct response?

- **A.** Longer background music between demonstrations
- **B.** More information about the company's founding story
- **C.** A larger display repeating the existing benefit statement
- **D.** A clear enquiry or ordering route with completed responses recorded

Confidence: low / medium / high

Reason in my own words: _____

Q024 · Lesson 50 · foundation My answer: ___

Which action most directly illustrates philanthropic responsibility in Carroll's model?

- **A.** Voluntarily funding a community learning programme
- **B.** Keeping the organisation financially viable
- **C.** Meeting applicable product-labelling requirements
- **D.** Avoiding misleading messages even where rules permit them

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 25-27

Q025 · Lesson 43 · application My answer: ___

An outdoor-equipment retailer has trusted repair expertise. A new low-price competitor threatens repeat business. The retailer proposes using its repair capability to reassure customers about long-term ownership value. Which TOWS combination best describes this response?

- **A.** SO: a strength matched with an opportunity
- **B.** ST: a strength used to address a threat
- **C.** WO: a weakness addressed to pursue an opportunity
- **D.** WT: a weakness managed alongside a threat

Confidence: low / medium / high

Reason in my own words: _____

Q026 · Lesson 44 · application My answer: ___

A strategy recommendation reads: "Use S1 and S3 to exploit O2 and grow." The audit defines these labels, but the recommendation gives no further explanation. What addition would most improve its strategic reasoning?

- **A.** Explain how the strengths support a specific offer for the opportunity and how delivery will be assessed
- **B.** Replace the factor labels with longer descriptions while keeping the proposed action unspecified
- **C.** List more strengths even if they have no link to the chosen opportunity
- **D.** Select promotional channels before defining the intended customer and valued difference

Confidence: low / medium / high

Reason in my own words: _____

Q027 · Lesson 45 · application My answer: ___

A business expects a lower-priced product to attract some customers away from its existing range and some away from competitors. A manager wants to cancel it solely because internal switching will occur. What is the strongest response?

- **A.** Approve it because every new-product sale adds equally to company growth
- **B.** Cancel it because any internal switching proves the portfolio will lose money
- **C.** Compare total portfolio contribution with and without launch, including displaced sales and launch costs
- **D.** Ignore the existing range once the new product has its own revenue target

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 28-30

Q028 · Lesson 51 · application My answer: ___

A booking-service launch requires trained staff. The training must use the final booking process, which is still being designed. Which dependency should the implementation schedule make explicit?

- **A.** Launch before training so staff can learn from early customers
- **B.** Complete training before finalising the process it must teach
- **C.** Finalise the process before training, then complete training before launch
- **D.** Schedule all three activities to finish together without checking prerequisites

Confidence: low / medium / high

Reason in my own words: _____

Q029 · Lesson 52 · application My answer: ___

A fixed group provides 50 valid recommendation ratings: 20 promoters, 20 passives and 10 detractors. For a calculation exercise, only passive respondents may change category, becoming promoters. How many such changes would raise NPS to +30, with the denominator and detractor count unchanged?

- **A.** 2 respondents
- **B.** 5 respondents
- **C.** 10 respondents
- **D.** 15 respondents

Confidence: low / medium / high

Reason in my own words: _____

Q030 · Lesson 53 · application My answer: ___

A retailer previously surveyed satisfaction after delivery. This month it asks about checkout instead, and the resulting CSAT is higher. The team claims its delivery experience has improved. Which conclusion is best supported?

- **A.** The higher score proves delivery improved because both surveys use CSAT
- **B.** The checkout score can replace delivery feedback when it is higher
- **C.** The difference proves customers prefer checkout to every other touchpoint
- **D.** The touchpoint changed, so comparable delivery evidence is needed to assess delivery improvement

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Paper 2: Decide like a brand manager

Apply evidence, compare options and choose a defensible next step.

Practice instructions

30 questions. Choose one best answer per question. Suggested practice time: 45 minutes; adapt this to your needs. One point per correct answer; no deduction for incorrect answers. Unanswered questions earn zero points.

This length and timing are editorial learning choices, not the official CIM assessment format. These questions follow the notes, not a verified complete syllabus.

Before you start

Read the lessons first. Try the paper without looking at the answer section, then use the explanations to identify what to revisit. A calculator may help with the illustrative numerical questions.

Keep track of your reasoning

Circle your choice and note any uncertainty. At the end, return to flagged questions before checking the separate answers. A correct guess is still worth reviewing.

My start time: _____ My finish time: _____

My score: ____ / 30 Questions to revisit: _____

Start this paper

Answers - after attempting

Interactive exam room

Review log

All scenarios and figures are fictional. Scores describe this paper only; no official pass mark or predicted CIM grade is implied.

Questions 1-3

Q001 · Lesson 1 · application My answer: ___

A mobility startup finds strong interest in a proposed bicycle subscription. Management wants evidence of demand before expanding. Which finding most directly supports that decision?

- **A.** Many commuters describe unreliable transport as a serious problem.
- **B.** Survey respondents prefer bicycle subscriptions to owning a bicycle.
- **C.** Target customers purchase pilot subscriptions at the stated price.
- **D.** The proposed service receives frequent mentions on social media.

Confidence: low / medium / high

Reason in my own words: _____

Q002 · Lesson 5 · application My answer: ___

Luma sells one item at a single price, with no discounts. Annual revenue rises from EGP 120,000 to EGP 132,000 while price per unit rises from EGP 200 to EGP 220. What should its report conclude about unit volume?

- **A.** Volume remains 600 units; the revenue increase reflects the higher price.
- **B.** Volume rises from 600 to 660 units.
- **C.** Volume rises by 10%, matching revenue growth.
- **D.** Volume falls by 10%, offsetting the price increase.

Confidence: low / medium / high

Reason in my own words: _____

Q003 · Lesson 7 · application My answer: ___

A training provider plans to promote multilingual workshops. It already has interested customers but cannot recruit enough suitably skilled tutors. Which stakeholder analysis is most urgent for testing whether the promise can be delivered?

- **A.** Compare competing providers' advertising slogans.
- **B.** Identify customers most likely to refer their friends.
- **C.** Rank investors by their preferred financial reporting format.
- **D.** Examine tutor recruitment sources, candidate needs and retention barriers.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 4-6

Q004 · Lesson 8 · application My answer: ___

A retailer has an evidenced situation review, a retention objective, a chosen target, planned offers and agreed measures. At launch preparation, teams disagree about who approves the offers and when staff must be ready. Which SOSTAC component most needs development?

- **A.** Situation: repeat the completed market audit.
- **B.** Action: specify responsibilities, approvals and delivery dates.
- **C.** Objectives: replace the retention outcome with an activity count.
- **D.** Control: add more measures without assigning delivery responsibilities.

Confidence: low / medium / high

Reason in my own words: _____

Q005 · Lesson 13 · application My answer: ___

Demand is shrinking in a manufacturing industry. Several firms keep operating because their specialised plants have little resale value and closure obligations are costly. Which competitive assessment is best supported?

- **A.** Low resale value necessarily makes new entry easier.
- **B.** High exit barriers can sustain rivalry despite weak returns.
- **C.** Shrinking demand automatically removes the weakest competitors.
- **D.** Continued operation proves that rivalry is financially attractive.

Confidence: low / medium / high

Reason in my own words: _____

Q006 · Lesson 14 · application My answer: ___

A firm pays EGP 48,000 annually for software. A replacement costs EGP 30,000 annually, plus one-time migration of EGP 12,000 and training of EGP 9,000. Assume equal benefits, no other costs and a one-year evaluation. What is the replacement's first-year cost difference?

- **A.** EGP 18,000 lower, based on the subscription saving.
- **B.** EGP 6,000 lower, after migration.
- **C.** EGP 21,000 higher, equal to the switching costs.
- **D.** EGP 3,000 higher, after subscription and switching costs.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 7-9

Q007 · Lesson 16 · application My answer: ___

A desk-rental operator benchmarks only nearby coworking brands. Customer interviews show that freelancers also compare hotel day offices, and a hotel chain has begun offering bookable workrooms. How should the operator adjust its competitor analysis?

- **A.** Include relevant hotel offers and compare their targets, benefits and delivery capabilities.
- **B.** Keep only coworking brands because their category labels match the operator's label.
- **C.** Treat hotels only as referral partners without examining their workroom offers.
- **D.** Wait until hotel workrooms match the operator's market share before assessing them.

Confidence: low / medium / high

Reason in my own words: _____

Q008 · Lesson 19 · application My answer: ___

A publisher owns exclusive research that previously helped customers choose travel guides. Customer research now shows the target mainly wants real-time updates that the dataset cannot provide. Which VRIO question should be reconsidered first?

- **A.** Whether exclusivity guarantees the resource remains rare forever.
- **B.** Whether the archive is expensive to store.
- **C.** Whether the resource still creates value for the chosen customer need.
- **D.** Whether a larger promotion budget would make the resource inimitable.

Confidence: low / medium / high

Reason in my own words: _____

Q009 · Lesson 20 · application My answer: ___

A service company writes a precise growth objective with a baseline, target, deadline and owner. Its capacity review shows the target requires more appointments than available staff can deliver, and no expansion is funded. What is the main weakness?

- **A.** The objective is unmeasurable because it mentions capacity.
- **B.** A deadline prevents the target from being relevant.
- **C.** Naming an owner removes flexibility from the strategy.
- **D.** Achievability is unsupported despite the objective being measurable.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 10-12

Q010 · Lesson 21 · application My answer: ___

A craft retailer uses a new social platform to sell its unchanged range to the same defined local customer market. The objective is to win a greater share of those customers' purchases. Which Ansoff direction best describes this plan?

- **A.** Market development because the communication platform is new.
- **B.** Market penetration because products and the defined market remain existing.
- **C.** Product development because customers see a new advertisement.
- **D.** Diversification because digital activity requires different skills.

Confidence: low / medium / high

Reason in my own words: _____

Q011 · Lesson 24 · application My answer: ___

A subscription service groups households by gross monthly income. Interviews reveal that households in the same band have very different housing costs, dependants and debt payments. Which refinement would best improve its affordability analysis?

- **A.** Assess disposable spending capacity alongside relevant household commitments.
- **B.** Assume the income band already captures ability to pay accurately.
- **C.** Replace all household evidence with the age of the main purchaser.
- **D.** Assign every household the commitments of a traditional family-life-cycle stage.

Confidence: low / medium / high

Reason in my own words: _____

Q012 · Lesson 29 · application My answer: ___

A cleaning-products seller classifies households as heavy users solely by their number of orders. Some households place large quarterly orders, while others place small weekly orders. What additional evidence most directly improves the usage classification?

- **A.** The date each household first became a customer.
- **B.** Each household's preferred communication channel.
- **C.** The quantity actually consumed over a comparable period.
- **D.** The total number of promotional emails opened.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 13-15

Q013 · Lesson 30 · application My answer: ___

An RFM review finds formerly frequent, high-spending customers have become less recent. The retailer does not know whether this reflects a service problem, a changed purchase cycle or a competitor offer. What should it do first?

- **A.** Apply the same discount to every customer in the database.
- **B.** Investigate the changed behaviour before choosing a relevant response.
- **C.** Treat the earlier high spending as proof of continuing loyalty.
- **D.** Classify every customer in the group as permanently lost.

Confidence: low / medium / high

Reason in my own words: _____

Q014 · Lesson 32 · application My answer: ___

For one year, Segment A offers 500 customers at EGP 60 contribution each before acquisition and support, costing EGP 15,000 in total. Segment B offers 200 customers at EGP 140 each, with EGP 8,000 total acquisition and support costs. Assume equal risk, sufficient capacity and no other differences. Which segment gives higher net contribution?

- **A.** A: EGP 30,000 versus B's EGP 28,000.
- **B.** A: EGP 15,000 versus B's EGP 8,000.
- **C.** B: EGP 28,000 versus A's EGP 15,000.
- **D.** B: EGP 20,000 versus A's EGP 15,000.

Confidence: low / medium / high

Reason in my own words: _____

Q015 · Lesson 33 · application My answer: ___

A brand's draft positioning statement says, "For freelance designers, Forma offers flexible workspace with bookable desks and private meeting rooms." Research shows customers are unsure whether Forma is an office rental service, a furniture seller or a booking app. Which addition most directly resolves the ambiguity?

- **A.** A more enthusiastic adjective before "flexible".
- **B.** A list of unrelated customer groups that might also buy.
- **C.** A clear category or frame of reference for the offer.
- **D.** A wider selection of media channels for the existing statement.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 16-18

Q016 · Lesson 36 · application My answer: ___

A furniture seller once differentiated itself through free assembly. Research now finds customers expect assembly from every comparable supplier and rarely mention it when choosing. What is the best implication for its product strategy?

- **A.** Reassess the differentiating value of assembly and investigate other valued improvements.
- **B.** Assume the original augmentation remains equally distinctive forever.
- **C.** Remove assembly immediately because expected benefits have no value.
- **D.** Raise the price solely because assembly was once unusual.

Confidence: low / medium / high

Reason in my own words: _____

Q017 · Lesson 37 · application My answer: ___

A fictional audio brand has limited initial production and evidence that early enthusiasts will pay more for its distinctive new device. It plans a high launch price, with possible reductions as capacity expands and other groups enter. Which pricing approach best fits?

- **A.** Penetration pricing to stimulate rapid mass adoption through a low entry price.
- **B.** Going-rate pricing that matches competitors regardless of willingness to pay.
- **C.** Price skimming that initially captures higher willingness to pay.
- **D.** Everyday low pricing that maintains a consistently low price.

Confidence: low / medium / high

Reason in my own words: _____

Q018 · Lesson 38 · application My answer: ___

A seller's defined cost is EGP 240 per bag. It wants a 40% margin, calculated as selling price minus that cost, divided by selling price. Assume no discounts or other costs in this calculation. Which selling price meets the target?

- **A.** EGP 336.
- **B.** EGP 400.
- **C.** EGP 360.
- **D.** EGP 600.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 19-21

Q019 · Lesson 39 · application My answer: ___

A device maker opens an online store while independent retailers continue providing demonstrations and local support. Retailers complain that online discounts encourage customers to use their advice and then buy directly. What is the best first response?

- **A.** Increase direct discounts to accelerate online volume and reduce reliance on retailers.
- **B.** Require retailers to maintain support under their existing commercial terms.
- **C.** Invest in better demonstration materials to improve the advice available in stores.
- **D.** Review channel roles, pricing, service responsibilities and economics across both routes.

Confidence: low / medium / high

Reason in my own words: _____

Q020 · Lesson 40 · application My answer: ___

Research for an everyday snack shows that customers often choose another brand when it is unavailable nearby. The product needs little explanation, and the producer can supply a broad network reliably. Which distribution intensity best matches these conditions?

- **A.** Intensive distribution across suitable outlets.
- **B.** Exclusive distribution through one authorised outlet per region.
- **C.** Selective distribution limited to demonstration specialists.
- **D.** Restricted distribution solely to strengthen a premium image.

Confidence: low / medium / high

Reason in my own words: _____

Q021 · Lesson 42 · application My answer: ___

A fictional tea brand is widely recognised, but research finds people hesitate to buy because they are unsure about its unfamiliar flavour. The immediate objective is first trial. Which sales-promotion choice most directly addresses the identified barrier?

- **A.** A loyalty reward available only after several full-price purchases.
- **B.** A small sample that allows potential buyers to experience the flavour.
- **C.** A branded notebook given only to existing subscribers.
- **D.** A retailer sales contest measured only by stock ordered.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 22-24

Q022 · Lesson 46 · application My answer: ___

A premium tool company considers a lower-priced fighter brand after budget competitors begin taking price-sensitive buyers. Which assessment is most important before launching the additional brand?

- **A.** Whether the new brand can sell at break-even, regardless of wider effects.
- **B.** Whether the new brand can use exactly the same promise for every segment.
- **C.** Whether its contribution and defensive value justify costs, cannibalisation and positioning risks.
- **D.** Whether the lower price alone establishes a sustainable lower cost base.

Confidence: low / medium / high

Reason in my own words: _____

Q023 · Lesson 47 · application My answer: ___

Two email versions each reach 10,000 delivered recipients in the same period. A generates 800 unique clickers and 40 orders; B generates 400 clickers and 60 orders. Assume each order comes from a different recipient and the sole objective is orders per delivered email. Which version performs better?

- **A.** B: its delivered-email order rate is 0.6%, compared with A's 0.4%.
- **B.** A: its click rate is 8%, compared with B's 4%.
- **C.** They tie because each reaches the same delivered audience size.
- **D.** A: its 40 orders are divided by 800 clickers rather than delivered emails.

Confidence: low / medium / high

Reason in my own words: _____

Q024 · Lesson 48 · application My answer: ___

At an exhibition, a workspace supplier installs a kiosk where visitors select desk features and request a quote. Its purpose is to generate qualified enquiries containing usable requirements. Which measure most directly assesses that role?

- **A.** Total footfall past the exhibition stand.
- **B.** Average time the kiosk screen remains illuminated.
- **C.** The number of visitors who recognise the supplier's logo.
- **D.** Quote requests containing complete requirements from visitors matching the target profile.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 25-27

Q025 · Lesson 43 · application My answer: ___

A stationery brand wants customers to contribute creative workspace ideas. Its promotion must choose a winner by the quality of the submitted idea rather than by chance or purchase frequency. Which design best meets that requirement?

- **A.** A random prize draw among customers who submit an idea.
- **B.** A chance-based scratchcard issued with each eligible purchase.
- **C.** A judged competition using published creativity and usefulness criteria.
- **D.** A reward automatically earned after a fixed number of purchases.

Confidence: low / medium / high

Reason in my own words: _____

Q026 · Lesson 44 · application My answer: ___

A proposed strategy fits an evidenced customer need and a clear target. However, its service promise depends on a partner whose capacity and commercial terms have not been confirmed. What should the recommendation do before committing to a full launch?

- **A.** Validate partner capacity and terms, then reassess feasibility, return and risk.
- **B.** Commit the launch budget now and negotiate delivery terms after demand materialises.
- **C.** Use the partner's general reputation as sufficient evidence of available capacity.
- **D.** Select the route with the highest revenue forecast before assessing delivery costs.

Confidence: low / medium / high

Reason in my own words: _____

Q027 · Lesson 45 · application My answer: ___

A booking platform offers a lower price than rivals, yet customer interviews reveal concern about confusing cancellation steps and uncertain support. Which improvement most directly addresses the perceived-value problem identified?

- **A.** Reduce price again while preserving the difficult processes.
- **B.** Simplify cancellation and provide clear, dependable support arrangements.
- **C.** Add unrelated features that increase the number of menu choices.
- **D.** Describe the low price more often without addressing the concerns.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 28-30

Q028 · Lesson 51 · application My answer: ___

A launch schedule puts staff training before the service process is finalised. Training materials depend on that process, and sales begin immediately afterwards. Which revision best addresses the implementation risk?

- **A.** Keep the dates and ask staff to infer the unfinished process.
- **B.** Add more promotion before checking operational readiness.
- **C.** Record the dependency but leave every task in its current sequence.
- **D.** Finalise the process before training and verify readiness before selling.

Confidence: low / medium / high

Reason in my own words: _____

Q029 · Lesson 52 · application My answer: ___

Two branches use the same recommendation question in the same period. Branch A has 100 valid responses: 60 promoters, 20 passives and 20 detractors. Branch B has 300: 90 promoters, 60 passives and 150 detractors. Giving each response equal weight, what is the combined NPS?

- **A.** -5.
- **B.** +10.
- **C.** +5.
- **D.** -10.

Confidence: low / medium / high

Reason in my own words: _____

Q030 · Lesson 53 · application My answer: ___

An online learning provider wants to know whether its course content satisfies learners. Its current survey appears immediately after payment, before learners access a lesson. Which change best aligns measurement with the stated question?

- **A.** Keep the timing and interpret payment satisfaction as content satisfaction.
- **B.** Ask about content after sufficient use, recording the touchpoint, question and sample for comparison.
- **C.** Replace the content question with a recommendation question immediately after payment.
- **D.** Use positive words in payment comments as a direct substitute for course CSAT.

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Paper 3: Bring the plan together

Practise integrated judgement, trade-offs and performance measures.

Practice instructions

30 questions. Choose one best answer per question. Suggested practice time: 45 minutes; adapt this to your needs. One point per correct answer; no deduction for incorrect answers. Unanswered questions earn zero points.

This length and timing are editorial learning choices, not the official CIM assessment format. These questions follow the notes, not a verified complete syllabus.

Before you start

Read the lessons first. Try the paper without looking at the answer section, then use the explanations to identify what to revisit. A calculator may help with the illustrative numerical questions.

Keep track of your reasoning

Circle your choice and note any uncertainty. At the end, return to flagged questions before checking the separate answers. A correct guess is still worth reviewing.

My start time: _____ My finish time: _____

My score: ____ / 30 Questions to revisit: _____

Start this paper

Answers - after attempting

Interactive exam room

Review log

All scenarios and figures are fictional. Scores describe this paper only; no official pass mark or predicted CIM grade is implied.

Questions 1-3

Q001 · Lesson 1 · application My answer: ___

An employer buys evening design classes for staff. Procurement praises the low fee, but participants stop attending because sessions clash with their shifts. Which evidence should guide the renewal decision?

- **A.** Procurement satisfaction, because the payer defines all customer value
- **B.** Attendance alone, without investigating the purchasing requirements
- **C.** Purchaser objectives and participant needs, including scheduling barriers
- **D.** Competitor prices, because attendance follows relative price

Confidence: low / medium / high

Reason in my own words: _____

Q002 · Lesson 3 · application My answer: ___

ArcKit rewards sales staff for every new subscription. Staff promise custom services that operations cannot provide, and cancellations follow. Which change most directly supports a market-oriented organisation?

- **A.** Align incentives and approved promises with deliverable customer value and retention
- **B.** Increase sales targets while keeping the same commission rules
- **C.** Transfer all cancellation handling to marketing without changing promises
- **D.** Reduce customer interviews until acquisition costs fall

Confidence: low / medium / high

Reason in my own words: _____

Q003 · Lesson 5 · application My answer: ___

A notebook brand adds room fragrances under its existing logo. The new line needs different suppliers, specialist storage and different retail buyers. Management calls the mix highly consistent because the logo is shared. Which judgement is strongest?

- **A.** A shared logo establishes high consistency regardless of operational differences
- **B.** Additional fragrances necessarily increase notebook depth
- **C.** Consistency must rise whenever a company adds a product line
- **D.** Assess shared uses and capabilities; the logo alone does not establish consistency

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 4-6

Q004 · Lesson 9 · application My answer: ___

In a fictional market, input inflation raises imported bag prices faster than locally produced alternatives. ReedBag uses local materials, but its customers also face higher living costs. Which audit conclusion best supports a decision?

- **A.** Classify inflation only as an opportunity because imported rivals face larger cost increases
- **B.** Assess relative price advantage and reduced customer purchasing power together
- **C.** Classify inflation only as a threat because every customer purchases fewer bags
- **D.** Treat input inflation as an internal weakness controlled by the brand manager

Confidence: low / medium / high

Reason in my own words: _____

Q005 · Lesson 14 · application My answer: ___

A retailer considers cheaper inventory software. Changing systems would require data cleaning, staff retraining and a temporary parallel operation. Which comparison best supports its buying decision?

- **A.** Compare licence fees only, because transition expenses are unrelated to switching
- **B.** Compare ongoing benefits and costs together with the costs of changing systems
- **C.** Assume migration costs make changing supplier permanently uneconomic
- **D.** Treat staff retraining as evidence that the new supplier has greater market share

Confidence: low / medium / high

Reason in my own words: _____

Q006 · Lesson 16 · application My answer: ___

An outdoor-equipment survey combines first-time campers and experienced hikers. Beginners rate the brand’s guidance highly; experienced hikers find it basic. The combined perceptual map places the brand at average service. What is the most useful next analysis before choosing a target position?

- **A.** Replace service perceptions with technical product specifications
- **B.** Choose a new slogan using only the combined average
- **C.** Increase the sample size without distinguishing the two buyer groups
- **D.** Compare service perceptions and buying criteria within each group

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 7-9

Q007 · Lesson 18 · application My answer: ___

PortaMug forecasts profitable wholesale growth, but must pay manufacturers before retailers settle invoices. Its cash reserve is small. Which resource issue should the internal audit resolve before increasing orders?

- **A.** Working-capital capacity during the gap between supplier payments and customer receipts
- **B.** Whether forecast annual revenue grows faster than competitors' revenue
- **C.** Whether each wholesale unit earns a higher gross margin than each retail unit
- **D.** Whether a higher list price would increase forecast annual accounting profit

Confidence: low / medium / high

Reason in my own words: _____

Q008 · Lesson 19 · application My answer: ___

RouteNest owns exclusive customer-use data that helps predict replenishment needs. Rivals cannot readily obtain equivalent data. However, sales teams ignore its analysis and incentives reward unrelated products. Which VRIO intervention has the clearest priority?

- **A.** Purchase a second equivalent dataset before changing how the first is used
- **B.** Declare a permanent advantage because competitors lack identical data
- **C.** Organise workflows and incentives so teams can act on the valuable resource
- **D.** Remove the dataset because every unused resource lacks customer value

Confidence: low / medium / high

Reason in my own words: _____

Q009 · Lesson 20 · application My answer: ___

In a defined annual unit market, KitePack sells 8,000 of 40,000 units. Next year the market is forecast at 50,000 units, and its target is 25% share. Assuming the forecast, how many additional units must KitePack sell above its current volume?

- **A.** 2,000 units
- **B.** 2,500 units
- **C.** 4,000 units
- **D.** 4,500 units

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 10-12

Q010 · Lesson 21 · application My answer: ___

TideDesk currently sells desktop stands to freelancers. It launches room-booking software for hotel chains, a customer market it has never served. Orders will use its existing website. Under these definitions, which Ansoff direction applies?

- **A.** Market penetration, because the website is unchanged
- **B.** Diversification, because both the product and customer market are new
- **C.** Market development, because only the buyers determine the classification
- **D.** Product development, because any existing sales channel defines an existing market

Confidence: low / medium / high

Reason in my own words: _____

Q011 · Lesson 22 · application My answer: ___

A wholesaler serves only remote independent grocers. Its small-order scheduling and advice justify a higher price to that group. It rejects national expansion that would weaken those services. Which competitive strategy best fits?

- **A.** Differentiation focus
- **B.** Broad cost leadership
- **C.** Undifferentiated targeting
- **D.** Cost focus

Confidence: low / medium / high

Reason in my own words: _____

Q012 · Lesson 23 · application My answer: ___

A stationery brand creates three colourful personas. Research finds no meaningful differences between them in needs, buying criteria or response to the proposed offers. Tailoring three campaigns would add cost. Which next step is best supported?

- **A.** Proceed because naming personas establishes useful segmentation
- **B.** Add more demographic labels until each biography looks distinctive
- **C.** Reassess whether the groups justify different marketing decisions before tailoring offers
- **D.** Treat all future segmentation research as unnecessary

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 13-15

Q013 · Lesson 29 · application My answer: ___

Customers with high historical spending have become inactive beyond their usual purchasing interval. During the same period, their preferred items were often unavailable. The team proposes a blanket discount. What should it investigate first?

- **A.** Whether the customers' long tenure automatically establishes strong recency
- **B.** Whether stockouts, rather than price, explain the inactivity and require an availability response
- **C.** Whether historical spending guarantees profitable discounted orders
- **D.** Whether new prospects have higher average order values than the inactive group

Confidence: low / medium / high

Reason in my own words: _____

Q014 · Lesson 31 · application My answer: ___

Two restaurant chains have similar size and menus. One lets branch managers choose suppliers; the other requires central approval before any branch can order. Which segmentation addition most directly changes the supplier's route to a sale?

- **A.** Buying structure and decision authority
- **B.** Average annual spending per restaurant branch
- **C.** Geographic density of the branch network
- **D.** The extent of menu variation between branches

Confidence: low / medium / high

Reason in my own words: _____

Q015 · Lesson 32 · application My answer: ___

First-year forecasts: segment A yields 200 customers contributing EGP 300 each before acquisition spending of EGP 20,000; B yields 120 contributing EGP 500 each before acquisition spending of EGP 10,000. Contributions already deduct all ongoing variable costs. Capacity is sufficient and fixed costs unchanged. Which segment produces the higher contribution after acquisition spending, and by how much?

- **A.** A, by EGP 10,000
- **B.** They are equal
- **C.** B, by EGP 20,000
- **D.** B, by EGP 10,000

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 16-18

Q016 · Lesson 36 · application My answer: ___

A design-coaching service loses enquiries because prospective buyers cannot assess what sessions involve before paying. Delivery quality is consistent, and appointment capacity is ample. Which change most directly addresses the identified service challenge?

- **A.** Offer discounts for off-peak sessions
- **B.** Introduce staff scripts to reduce differences between sessions
- **C.** Provide a session outline, tutor credentials and a short demonstration
- **D.** Increase the number of available appointments

Confidence: low / medium / high

Reason in my own words: _____

Q017 · Lesson 36 · application My answer: ___

A workshop has empty weekday appointments and a weekend waiting list. Research identifies customers willing to move to weekdays for a modest incentive. Which response most directly improves use of its perishable capacity?

- **A.** Test a weekday incentive for customers able to shift, while monitoring contribution
- **B.** Discount every weekend appointment, including those already likely to sell
- **C.** Buy extra materials without changing appointment demand or scheduling
- **D.** Record unused weekday hours as inventory available for next month

Confidence: low / medium / high

Reason in my own words: _____

Q018 · Lesson 37 · application My answer: ___

A brand sells 1,000 units at EGP 100 each, with EGP 60 variable cost per unit. A 10% price increase is forecast to reduce volume by 8%. Using original-period percentage changes, unchanged unit costs and no other cost changes, which result follows?

- **A.** Elastic demand; contribution rises by EGP 6,000
- **B.** Inelastic demand; contribution falls by EGP 800
- **C.** Unit-elastic demand; contribution stays unchanged
- **D.** Inelastic demand; contribution rises by EGP 6,000

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 19-21

Q019 · Lesson 39 · application My answer: ___

A ceramic brand hires an agent to introduce retailers and negotiate orders. The brand keeps stock, invoices retailers and ships products. The agent earns commission but never buys the goods. Which channel plan correctly reflects this arrangement?

- **A.** Assign stockholding and transport to the agent because it receives commission
- **B.** Assign transaction facilitation to the agent, and inventory and fulfilment to the brand
- **C.** Treat the agent as a wholesaler that buys and resells the goods
- **D.** Treat the brand's retailer invoicing as proof that no intermediary contributes

Confidence: low / medium / high

Reason in my own words: _____

Q020 · Lesson 41 · application My answer: ___

MossCase targets careful buyers with repairable luggage. Its retailer training explains repairability, but social advertising focuses on disposable fashion and email promotes unrelated luxury status. Which change most directly improves integrated communication?

- **A.** Use identical wording and artwork in every format regardless of audience context
- **B.** Allow each channel to define a different target and central promise independently
- **C.** Keep a consistent repairability promise while adapting evidence and format to each channel
- **D.** Judge the channels only by their combined number of impressions

Confidence: low / medium / high

Reason in my own words: _____

Q021 · Lesson 42 · application My answer: ___

A comparable control estimates 180 orders without an offer. A coupon campaign generates 300 orders, each using an EGP 30 discount. Contribution before the discount is EGP 80 per order after all variable costs. Additional campaign spending is EGP 1,000; other costs are unchanged. What is the incremental contribution after campaign spending?

- **A.** EGP 14,000 increase
- **B.** EGP 5,000 increase
- **C.** EGP 8,600 increase
- **D.** EGP 400 decrease

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 22-24

Q022 · Lesson 47 · application My answer: ___

Within seven days, an email campaign reaches 4,000 distinct recipients and records 200 distinct clickers. Fifty of those clickers purchase, placing 80 orders between them. What is the buyer conversion rate among clickers?

- **A.** 25%
- **B.** 40%
- **C.** 1.25%
- **D.** 5%

Confidence: low / medium / high

Reason in my own words: _____

Q023 · Lesson 50 · application My answer: ___

A homeware company publicises a generous education donation while repeatedly delaying agreed supplier payments to fund the campaign. Its manager claims the donation proves responsible business conduct. Which assessment best applies the CSR framework?

- **A.** The donation settles the assessment because philanthropy overrides other responsibilities
- **B.** Offset supplier delays against the donation’s monetary value and judge only the net total
- **C.** Assess philanthropic activity alongside economic and ethical behaviour towards suppliers
- **D.** Assess supplier treatment but exclude the donation because voluntary giving falls outside CSR

Confidence: low / medium / high

Reason in my own words: _____

Q024 · Lesson 43 · application My answer: ___

An audit identifies qualified alternative suppliers as a strength and increasing disruption at the dominant industry supplier as a threat. Which option is the most direct ST response?

- **A.** Launch an unrelated product to enter a growing customer market
- **B.** Use the qualified alternatives to reduce disruption exposure and protect availability
- **C.** Train an unskilled sales team to capture a new online opportunity
- **D.** Record the supplier threat again without changing sourcing decisions

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 25-27

Q025 · Lesson 44 · application My answer: ___

Reusable-crate customers want more dependable collections. The existing rental service and current customer market will remain unchanged. The firm has reliable route-planning capability and wants customers to rent more frequently. Which strategy statement best connects these facts?

- **A.** Pursue market penetration through collection reliability for existing crate-rental customers
- **B.** Pursue diversification by advertising the current rental service more often
- **C.** Pursue market development because collection routes can change
- **D.** Pursue cost leadership because reliable routing guarantees the lowest industry costs

Confidence: low / medium / high

Reason in my own words: _____

Q026 · Lesson 45 · application My answer: ___

A new range is forecast to sell 1,000 units at EGP 35 contribution each after all variable costs. Launch spending is EGP 18,000. Each displaced old-range unit would have contributed EGP 50. Assuming one-for-one displacement and unchanged other costs, what maximum cannibalisation rate avoids reducing total portfolio contribution?

- **A.** 70%
- **B.** 50%
- **C.** 34%
- **D.** 100%

Confidence: low / medium / high

Reason in my own words: _____

Q027 · Lesson 51 · application My answer: ___

A launch schedule releases customer demonstrations before staff training and books fulfilment capacity after orders open. All activities have named owners. Which revision most directly improves implementation?

- **A.** Add more names to the responsibility chart without changing timing
- **B.** Report only whether each task eventually finishes
- **C.** Increase publicity because every activity already has an owner
- **D.** Sequence training and capacity readiness before the activities that depend on them

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 28-30

Q028 · Lesson 52 · application My answer: ___

A brand's reported NPS rises after the team stops inviting customers who recently complained about delivery. The recommendation question is unchanged. Which action is necessary before interpreting this as relationship improvement?

- **A.** Accept the rise because unchanged wording guarantees comparability
- **B.** Restore a consistent sampling approach and examine the effect of excluding complainants
- **C.** Remove passive responses from both periods to improve precision
- **D.** Treat the new score as proof that delivery performance improved

Confidence: low / medium / high

Reason in my own words: _____

Q029 · Lesson 53 · application My answer: ___

Customers rate a subscription box's delivery highly immediately after arrival, yet fewer renew after using its contents. Management cites delivery CSAT as evidence that the offer needs no change. What is the best next step?

- **A.** Replace renewal records with the positive delivery survey result
- **B.** Conclude that the delivery survey must have been calculated incorrectly
- **C.** Investigate product-use feedback and comparable renewal cohorts alongside delivery CSAT
- **D.** Increase the delivery CSAT target without investigating the contents

Confidence: low / medium / high

Reason in my own words: _____

Q030 · Lesson 51 · application My answer: ___

An objective-and-task budget exceeds available funding. Removing staff training would leave the proposed service promise unsupported. Which response best preserves the planning logic?

- **A.** Prioritise feasible activities and reconsider the target or scope while preserving essential delivery dependencies
- **B.** Cut every activity by the same percentage and keep the original target unchanged
- **C.** Remove training because only customer-visible spending contributes to marketing
- **D.** Fund customer acquisition first and postpone operational readiness until sales justify it

Confidence: low / medium / high

Reason in my own words: _____

Explanations are in the separate paper answer section. Original notes-based practice.

Questions 1-2 · Reasoning

Q001 · Lesson 1 · application

Return to question

An office manager purchases desk lamps after employees test several models. Employees will use the lamps, and the finance director approves the budget. Whose needs should the supplier investigate?

B. The purchaser and users, while recognising the finance director's influence

A The purchaser matters, but employees judge everyday usefulness and finance affects approval. Excluding those roles would miss relevant needs and constraints.

B · correct Purchasing, use and approval involve different roles here. Researching their requirements helps the supplier understand both the offer and the decision process.

C Employees provide essential usability evidence, but the supplier must also address purchasing arrangements and the approval constraints described in the scenario.

D Budget approval gives finance influence without establishing every functional requirement. The purchaser and users contribute different information needed to shape the offer.

Revisit lesson 1: Marketing begins with a need

Q002 · Lesson 5 · application

Return to question

In one month, a stationery business sells 200 identical folders at EGP 50 each. In the next month it sells 220 at EGP 55 each. These are its only sales, with no returns or discounts. What are the revenue growth and unit-volume growth from the first month to the second?

D. Revenue grows 21%; unit volume grows 10%

A Unit volume rises 10%, but revenue also reflects the higher price. Revenue increases from EGP 10,000 to EGP 12,100.

B Adding the two 10% changes misses their combined effect. Multiplying price and volume factors gives 1.10 times 1.10, or 1.21.

C Revenue growth is correct, but units rise from 200 to 220, a 10% increase. Higher prices account for the remaining revenue effect.

D · correct Revenue rises from EGP 10,000 to EGP 12,100, or 21%. Unit growth is 20 divided by 200, or 10%.

Revisit lesson 5: Describe the business & its portfolio

Questions 3-4 · Reasoning

Q003 · Lesson 2 · application

Return to question

A music-player manufacturer repeatedly adds advanced controls because its engineers value technical sophistication. Customer interviews show that the intended audience mainly wants simple operation. Which orientation best describes the manufacturer's current decisions?

A. Product orientation

A · correct The decisions prioritise features and technical quality despite conflicting customer evidence. That emphasis reflects product orientation and may overlook the audience's actual problem.

B Production orientation emphasises efficient output, scale and availability. The scenario instead centres on increasingly sophisticated product features chosen by engineers.

C Selling orientation emphasises persuading customers to buy existing output. The stated decisions concern feature development rather than pressure to sell current stock.

D Market orientation would use customer insight to shape value. Persisting with complexity despite a demonstrated need for simplicity does not reflect that approach.

Revisit lesson 2: Motivation & business orientation

Q004 · Lesson 7 · foundation

Return to question

Why can recruitment-market conditions be relevant to a marketing plan?

C. The availability of suitable skills can constrain delivery and growth

A Recruitment evidence concerns access to people and skills. Customer research remains necessary to establish needs, preferences and the value the organisation should deliver.

B Interest in employment does not directly measure product demand. Recruitment conditions instead help assess whether the organisation can obtain the required delivery skills.

C · correct The customer promise may depend on scarce expertise or sufficient staff. Recruitment conditions therefore affect service capability, capacity and feasible growth.

D Businesses can depend on recruiting suitable staff even when they sell unrelated products. The relevance comes from delivery capability, not customer identity.

Revisit lesson 7: Map customers, competitors & stakeholders

Questions 5-6 · Reasoning

Q005 · Lesson 13 · application

Return to question

Several local printing firms face weak demand, but long property commitments and specialised equipment make closure costly. They continue cutting prices to win work. Which interpretation best explains this pattern?

C. High exit barriers can keep struggling firms competing and intensify rivalry

A Entry and exit concern different decisions. The scenario provides evidence of costly closure, regardless of how easy establishing a new printing firm might be.

B The commitments affect firms' ability to leave rather than directly limiting buyer alternatives. Continued price competition may actually strengthen customers' negotiating position.

C · correct Firms may remain active despite weak returns when leaving is expensive. Their continued pursuit of limited work can sustain aggressive rivalry.

D Exit barriers do not automatically establish entry barriers. New entrants face their own capital, access and capability requirements, which need separate assessment.

Revisit lesson 13: Rivalry & barriers to entry

Q006 · Lesson 14 · foundation

Return to question

Which item belongs most directly in an assessment of switching costs when replacing a software provider?

D. The staff retraining and data migration required by the change

A A lower future subscription is a potential benefit of switching. It is not itself a transition burden created by changing providers.

B An unrecoverable historic payment is a sunk cost. The assessment should distinguish it from additional burdens caused by the proposed change.

C The supplier's advertising spending is not a cost the customer incurs to change provider. It does not establish a switching burden.

D · correct Retraining and migration require time, effort and potentially money because the provider changes. These transition burdens are relevant switching costs.

Revisit lesson 14: Switching costs, substitutes & suppliers

Questions 7-8 · Reasoning

Q007 · Lesson 16 · application

Return to question

Research places no existing café in the low-price, extensive-table-service corner of a perceptual map. An entrepreneur wants to launch there immediately. What should be established before treating the empty space as an opportunity?

B. That reachable customers want the combination and it can be delivered economically

A Plotting a proposed position shows an intention, not a viable market. The missing evidence concerns demand, reachability and the economics of delivery.

B · correct An empty position can reflect unmet demand or an unattractive combination. Customer evidence and feasible economics are needed to distinguish these possibilities.

C Competitor agreement does not establish willingness to buy or profitable delivery. The entrepreneur needs evidence about customers and the proposed operating model.

D A clear slogan could communicate the intended position, but it cannot establish that sufficient customers value it or that the business can deliver it.

Revisit lesson 16: Competitor analysis & perceptual maps

Q008 · Lesson 8 · application

Return to question

A plan already specifies its target, retention objective, strategy and chosen email tactics. Staff still do not know who will prepare the messages or when the launch tasks are due. Which SOSTAC element needs development most directly?

A. Action

A · correct Action converts tactics into responsibilities and timing. Named owners and task deadlines address the implementation gap described in the scenario.

B Situation establishes the current context and evidence. The immediate gap concerns responsibility and timing for already chosen work, rather than the starting position.

C Strategy defines the route and choices, which the plan already specifies. The missing detail is how people will carry out the selected tactics.

D Control measures performance and triggers adjustments. Although necessary, it does not directly fill the missing assignments and deadlines for preparing the launch.

Revisit lesson 8: SOSTAC: the spine of the plan

Questions 9-10 · Reasoning

Q009 · Lesson 19 · application

Return to question

A parcel company owns a rare, valuable sorting process that rivals cannot cheaply copy. A rival nevertheless achieves the same customer benefit at comparable cost using a completely different method. Which VRIN test does this evidence challenge most directly?

A. Non-substitutability

A · correct The rival achieves equivalent value through a different method. This suggests a substitute for the resource, even though directly copying it remains difficult.

B The original process can remain rare while another method delivers the same benefit. The scenario challenges replacement of its function, not widespread ownership.

C The process can still create customer value. An alternative method challenges its uniqueness as a route to that value rather than eliminating usefulness.

D The rival has not copied the process and the scenario states that copying remains difficult. Using another method instead raises the substitution question.

Revisit lesson 19: From resources to advantage: VRIN & VRIO

Q010 · Lesson 20 · application

Return to question

A company sets a precise sales target, named owner and deadline for its existing service. Operations confirms that meeting the target exceeds available capacity, and no extra capacity is budgeted. Which SMART concern needs attention first?

B. The target's achievability is unsupported by the delivery resources

A The scenario explicitly provides a deadline. The unresolved issue is whether the organisation has enough resources to deliver the specified sales volume.

B · correct A measurable target can still be infeasible. The confirmed capacity gap requires a justified resource plan or a revised target before achievability is supported.

C Naming an owner supports responsibility rather than preventing measurement. The target is described as precise; the evidence identifies a feasibility problem instead.

D Sales targets still need strategic relevance, but this statement does not address the demonstrated capacity shortfall. Being a sales measure does not establish feasibility.

Revisit lesson 20: SMART objectives & growth direction

Questions 11-12 · Reasoning

Q011 · Lesson 21 · foundation

Return to question

Which evidence most strongly supports a claim of cost leadership rather than simply a temporary low selling price?

D. A sustainably lower cost base demonstrated against relevant competitors

A A short discount describes a pricing action, not an enduring cost advantage. The business could be sacrificing margin without operating more efficiently.

B Recognition may support brand communication, but it does not demonstrate a lower operating cost base. Cost leadership needs evidence about the economics of delivery.

C An exclusive package may support differentiation if customers value it. It does not by itself establish lower costs than those of relevant competitors.

D · correct Cost leadership depends on a sustainably lower cost base. Relevant comparisons and the capabilities supporting that advantage provide stronger evidence than price alone.

Revisit lesson 21: Where to grow & how to compete

Q012 · Lesson 29 · application

Return to question

A bakery distinguishes customers buying bread for routine weekday meals from customers ordering gift boxes for celebrations. Which segmentation basis most directly captures this distinction?

C. Purchase occasion

A Customers of different ages may buy for either purpose. The evidence identifies the situation making the purchase relevant rather than the buyer's age.

B Income may influence affordability, but no income difference is given. The distinction concerns routine use versus celebrations, not customers' financial resources.

C · correct Occasion segmentation distinguishes the circumstances that prompt a purchase. Routine meals and celebrations create different buying situations, potentially affecting products and communication.

D The scenario supplies no location difference between the groups. Geographic segmentation would distinguish where customers live, buy or require the offer to be available.

Revisit lesson 29: Behavioural segmentation & RFM

Questions 13-14 · Reasoning

Q013 · Lesson 31 · application

Return to question

A restaurant group seeks a supplier willing to share demand information, jointly improve ordering and develop a long-term working relationship. In the lesson's needs-based grouping, which priority is most evident?

B. Building a supplier partnership

A Price may still matter, but the described requirements emphasise cooperation and shared improvement. They go beyond obtaining the lowest quotation for each order.

B · correct Joint planning, information sharing and long-term improvement indicate a partnership-focused need. The supplier should assess how its capabilities can support that relationship.

C The buyer describes collaborative activities rather than reputation or prestige. A recognised brand alone would not fulfil the requested coordination and joint-development role.

D The restaurant group explicitly wants ongoing coordination and joint improvements. A standard low-contact service would not address the relationship needs described.

Revisit lesson 31: Segmenting business customers

Q014 · Lesson 32 · application

Return to question

For the same quarter, Segment A offers 100 customers at EGP 80 contribution each before EGP 3,000 acquisition spending. Segment B offers 60 at EGP 120 each before EGP 1,500 acquisition spending. These figures include all other incremental costs; capacity and risk are equal. Which has the higher forecast contribution after acquisition spending?

A. B: EGP 5,700 versus A: EGP 5,000

A · correct A gives 100 times EGP 80 minus EGP 3,000, or EGP 5,000. B gives EGP 7,200 minus EGP 1,500, or EGP 5,700.

B These totals are before acquisition spending. Deducting each segment's stated acquisition cost reverses the ranking, so gross contribution alone gives the wrong choice.

C A is calculated correctly, but B incorrectly deducts A's EGP 3,000 acquisition spending. B has its own stated cost of EGP 1,500.

D The ranking is correct, but the B figure omits its acquisition cost. Both segments must be compared after the specified spending on the same basis.

Revisit lesson 32: Choose attractive, workable targets

Questions 15-16 · Reasoning

Q015 · Lesson 33 · foundation

Return to question

What does the frame of reference contribute to a positioning statement?

D. The category or alternatives against which customers should understand the offer

A A campaign schedule concerns implementation. The frame of reference instead gives customers a context for understanding what the offer is and comparing its value.

B Reporting lines concern organisational responsibilities, not the customer's comparison context. They can support delivery without defining the positioning statement's frame of reference.

C A frame of reference makes the claim understandable but cannot guarantee belief. Evidence supporting the benefit supplies the separate reason to believe.

D · correct The frame identifies the relevant category or comparison set. It helps the audience interpret the promised difference in relation to available alternatives.

Revisit lesson 33: Positioning: earn a place in the mind

Q016 · Lesson 35 · application

Return to question

While paying for groceries, a customer sees an inexpensive everyday pen and adds it to the basket without comparison. The purchase was not planned. Which interpretation best fits the behaviour?

B. It can be a convenience purchase made on impulse

A Unplanned does not automatically mean unsought. Impulse purchases can be convenience goods when customers buy them with little search or comparison effort.

B · correct The limited effort and routine, inexpensive item fit convenience behaviour. Buying on impulse describes the timing of the decision without changing that classification.

C Shopping goods involve comparing relevant alternatives, not merely visiting shops. The scenario explicitly describes a purchase made without that comparison process.

D Speciality behaviour involves a strong specific preference and willingness to make extra effort. Selecting one readily available pen does not demonstrate those conditions.

Revisit lesson 35: Product types & three levels of value

Questions 17-18 · Reasoning

Q017 · Lesson 36 · application

Return to question

Prospective customers hesitate to buy a translation service because they cannot judge its quality before purchase. Which response most directly reduces the uncertainty associated with intangibility?

A. Provide representative sample work, explain the process and show credible client evidence

A · correct Samples, process information and credible evidence make the service easier to evaluate before purchase. They directly address the uncertainty described by prospective customers.

B Additional capacity can improve availability, but it does not show prospective buyers what quality to expect. The stated barrier concerns evaluation before purchase.

C Training may improve consistency and actual performance. Without visible evidence, however, it does not directly resolve customers' difficulty assessing the service in advance.

D A broader claim describes range rather than substantiating quality. Prospective customers still need credible information to assess whether the provider can deliver.

Revisit lesson 36: Augmentation & the service challenge

Q018 · Lesson 37 · application

Return to question

A business launches an innovative drawing tablet at a high price for customers willing to pay early. It plans to reduce the price later as it serves a broader market. Which pricing approach does this describe?

C. Price skimming

A Penetration starts with a relatively low entry price to encourage adoption. The scenario instead begins high to capture early willingness to pay.

B Everyday low pricing emphasises relatively consistent low prices. An initial high price followed by planned reductions does not match that approach.

C · correct Skimming starts high to capture willingness to pay and may reduce prices as the market develops. Both elements appear in this launch plan.

D Going-rate pricing uses competitors' prices as a reference. The stated rationale concerns early willingness to pay and later market expansion instead.

Revisit lesson 37: Pricing logic & price elasticity

Questions 19-20 · Reasoning

Q019 · Lesson 38 · application

Return to question

Printer A costs EGP 600 and its required cartridges cost EGP 90 each. Printer B costs EGP 850 and its cartridges cost EGP 40 each. The first year requires four purchased cartridges with either printer. Performance is equivalent; ignore all other costs. Which option has the lower first-year ownership cost, and by how much?

D. A, by EGP 50

A EGP 250 is B's higher initial price, not a saving. Its cheaper cartridges narrow that difference but do not make its first-year total lower.

B B saves EGP 200 on four cartridges, but costs EGP 250 more initially. Comparing both elements leaves B EGP 50 more expensive.

C A saves EGP 250 on the printer, but its cartridges cost EGP 200 more over the year. The net saving is EGP 50.

D · correct A costs 600 plus four times 90, or EGP 960. B costs 850 plus four times 40, or EGP 1,010.

Revisit lesson 38: A practical pricing toolbox

Q020 · Lesson 40 · foundation

Return to question

How does distribution intensity differ from the choice between direct and indirect distribution?

A. Intensity concerns breadth of availability; direct or indirect concerns intermediary involvement

A · correct Intensive, selective and exclusive describe how broadly access is provided. Direct and indirect describe whether intermediaries participate in the route to customers.

B Customer demand and advertising tone affect planning but do not define these channel choices. Both terms concern distribution rather than message execution.

C Selling price and product variants are different marketing-mix decisions. They do not distinguish coverage intensity from the structure of the distribution route.

D This reverses the distinction. Intensity concerns coverage breadth, while direct and indirect routes distinguish the presence of intermediaries between producer and customer.

Revisit lesson 40: Distribution intensity & promotion direction

Questions 21-22 · Reasoning

Q021 · Lesson 42 · application

Return to question

A tool retailer charges the normal purchase price, then returns EGP 100 to eligible customers who submit proof of purchase within the stated period. Which promotional tool is being used?

B. A rebate

A A checkout coupon reduces the amount paid during the purchase. This offer instead returns money afterward when the customer meets the stated conditions.

B · correct A rebate returns money after purchase, often following proof and eligibility checks. That timing distinguishes it from an immediate checkout discount.

C A premium adds a gift or extra benefit to the purchase. The specified offer returns part of the money paid rather than supplying a gift.

D A sample provides an opportunity to try a product, usually before a full purchase. This offer rewards an eligible completed purchase with money back.

Revisit lesson 42: Sales promotion: stimulate trial & action

Q022 · Lesson 47 · application

Return to question

A customer receives a retailer's promotional leaflet and later telephones the retailer to ask about delivery. The retailer answers the call. How should this telephone contact be classified?

C. Inbound, because the customer initiated the telephone contact

A The earlier leaflet was initiated by the retailer, but the question concerns the subsequent telephone contact. Its direction follows who initiated that call.

B A sales objective does not make a call outbound. Inbound calls can generate orders when customers initiate the contact and the organisation responds.

C · correct Inbound telephone contact begins with the customer. The earlier promotional activity may have prompted the call without changing who initiated this interaction.

D Indirect distribution concerns intermediaries in the purchase route. Receiving a leaflet does not establish an intermediary or classify the direction of a telephone call.

Revisit lesson 47: Direct marketing & the response funnel

Questions 23-24 · Reasoning

Q023 · Lesson 48 · application

Return to question

An exhibition kiosk demonstrates a storage system and explains its benefits. Visitors understand the offer but leave without knowing how to enquire or order. Which addition most directly supports measurable direct response?

D. A clear enquiry or ordering route with completed responses recorded

A Music can contribute atmosphere, but it does not tell interested visitors how to act. The missing element is a usable response route.

B Company history might support credibility, but visitors already understand the offer. Additional background does not directly resolve the missing enquiry or ordering route.

C Repeating the benefit may increase visibility without enabling action. The scenario identifies response instructions, rather than understanding of the benefit, as the gap.

D · correct A clear route converts interest into a possible action, and recording completed responses makes the kiosk's contribution measurable against its intended task.

Revisit lesson 48: Direct response & rational advertising

Q024 · Lesson 50 · foundation

Return to question

Which action most directly illustrates philanthropic responsibility in Carroll's model?

A. Voluntarily funding a community learning programme

A · correct A voluntary contribution to community learning illustrates philanthropy. It complements rather than replaces the organisation's economic, legal and ethical responsibilities.

B Financial viability belongs most directly to economic responsibility. It supports continued operation but is conceptually different from a voluntary community contribution.

C Meeting applicable requirements belongs most directly to legal responsibility. Philanthropy concerns voluntary contribution beyond that compliance obligation in the model.

D Avoiding misleading conduct beyond minimum rules illustrates ethical responsibility. The philanthropic category more directly concerns voluntary contributions such as community programmes.

Revisit lesson 50: Emotion, public relations & CSR

Questions 25-26 · Reasoning

Q025 · Lesson 43 · application

Return to question

An outdoor-equipment retailer has trusted repair expertise. A new low-price competitor threatens repeat business. The retailer proposes using its repair capability to reassure customers about long-term ownership value. Which TOWS combination best describes this response?

B. ST: a strength used to address a threat

A The repair expertise is a strength, but the stated external factor is competitive pressure. No separate opportunity is required to explain this defensive response.

B · correct Trusted expertise is an internal strength, while the new competitor is an external threat. Using that strength defensively makes the option ST.

C The scenario does not identify a repair weakness needing correction. It proposes using an established capability against competitive pressure rather than building capability for an opportunity.

D The external threat is correctly recognised, but the relevant internal factor is a strength. WT would address vulnerability arising from a weakness.

Revisit lesson 43: Promotion continues; SWOT becomes TOWS

Q026 · Lesson 44 · application

Return to question

A strategy recommendation reads: "Use S1 and S3 to exploit O2 and grow." The audit defines these labels, but the recommendation gives no further explanation. What addition would most improve its strategic reasoning?

A. Explain how the strengths support a specific offer for the opportunity and how delivery will be assessed

A · correct A defensible recommendation connects evidence to a concrete choice and delivery logic. Explaining that connection makes the proposal assessable rather than merely traceable.

B Expanding labels can improve readability, but it does not explain the proposed choice. The missing reasoning is how the factors support a specific action.

C Additional unconnected factors increase detail without improving the argument. The recommendation needs relevant links between evidence, customer value, delivery and intended outcomes.

D Channel choices are tactics that should follow strategic direction. Selecting them first leaves the target, advantage and evidence-to-choice connection unresolved.

Revisit lesson 44: Write a strategy from the evidence

Questions 27-28 · Reasoning

Q027 · Lesson 45 · application

Return to question

A business expects a lower-priced product to attract some customers away from its existing range and some away from competitors. A manager wants to cancel it solely because internal switching will occur. What is the strongest response?

C. Compare total portfolio contribution with and without launch, including displaced sales and launch costs

A Some sales would replace existing purchases, so new-product revenue is not wholly incremental. The decision needs the combined contribution effect across the portfolio.

B Internal switching can reduce existing sales without making the entire launch unattractive. Contribution differences, additional demand and costs determine the overall economic effect.

C · correct Cannibalisation is one input to the decision, not an automatic veto. Comparing credible launch and no-launch outcomes captures displaced contribution and incremental costs.

D Separate targets do not remove economic links between owned products. Ignoring displaced sales can overstate the new offer's contribution to overall business performance.

Revisit lesson 45: Fix capability gaps & understand cannibalisation

Q028 · Lesson 51 · application

Return to question

A booking-service launch requires trained staff. The training must use the final booking process, which is still being designed. Which dependency should the implementation schedule make explicit?

C. Finalise the process before training, then complete training before launch

A The scenario makes trained staff a launch requirement. Starting first would breach that dependency and expose customers to an unprepared service.

B Training must use the final process, so completing it beforehand risks teaching obsolete or incomplete steps. The design is a prerequisite.

C · correct The process provides the training content, and trained staff provide launch readiness. Scheduling those dependencies in order supports a deliverable customer promise.

D Simultaneous completion ignores the stated information and readiness dependencies. A schedule should show when each prerequisite becomes available for the next activity.

Revisit lesson 51: Turn the mix into an action plan

Questions 29-30 · Reasoning

Q029 · Lesson 52 · application

Return to question

A fixed group provides 50 valid recommendation ratings: 20 promoters, 20 passives and 10 detractors. For a calculation exercise, only passive respondents may change category, becoming promoters. How many such changes would raise NPS to +30, with the denominator and detractor count unchanged?

B. 5 respondents

A Two changes produce 22 promoters and ten detractors out of 50. NPS becomes 44 minus 20, or +24, below the target.

B · correct The target requires 50% promoters against 20% detractors. That means 25 promoters among 50 responses, so five passives must change category.

C Ten changes produce 30 promoters out of 50, or 60%. Subtracting the unchanged 20% detractors gives +40, exceeding the requested score.

D Fifteen changes produce 35 promoters out of 50, or 70%. Subtracting 20% detractors gives +50 rather than the specified target of +30.

Revisit lesson 52: NPS: measure recommendation intent

Q030 · Lesson 53 · application

Return to question

A retailer previously surveyed satisfaction after delivery. This month it asks about checkout instead, and the resulting CSAT is higher. The team claims its delivery experience has improved. Which conclusion is best supported?

D. The touchpoint changed, so comparable delivery evidence is needed to assess delivery improvement

A The shared metric name does not make different experiences comparable. A checkout rating cannot directly establish a change in the delivery experience.

B Selecting the higher score changes the question being answered. Delivery decisions still require feedback about delivery rather than a more favourable rating elsewhere.

C Two scores from different experiences do not establish a universal preference across touchpoints. Sampling, timing and question differences also require consideration.

D · correct CSAT interpretation depends on the experience and method measured. Repeating comparable delivery measurement would provide a sounder basis for judging delivery improvement.

Revisit lesson 53: CSAT, NPS & the control loop

Questions 1-2 · Reasoning

Q001 · Lesson 1 · application Return to question

A mobility startup finds strong interest in a proposed bicycle subscription. Management wants evidence of demand before expanding. Which finding most directly supports that decision?

C. Target customers purchase pilot subscriptions at the stated price.

A This establishes an underlying need, but does not show willingness and ability to buy the proposed solution.

B A stated preference supports understanding of wants, but does not establish that respondents can and will pay.

C · correct Paid purchases demonstrate willingness and ability to buy at the stated price, providing direct evidence of demand within the pilot.

D Mentions indicate attention or discussion, which can occur without a supported intention to purchase the subscription.

Revisit lesson 1: Marketing begins with a need

Q002 · Lesson 5 · application Return to question

Luma sells one item at a single price, with no discounts. Annual revenue rises from EGP 120,000 to EGP 132,000 while price per unit rises from EGP 200 to EGP 220. What should its report conclude about unit volume?

A. Volume remains 600 units; the revenue increase reflects the higher price.

A · correct Dividing each revenue figure by its corresponding price gives 600 units in both periods. The volume is unchanged.

B The 660 figure incorrectly divides the second period's revenue by the old price rather than its actual EGP 220 price.

C Revenue combines price and volume. Its 10% increase is fully explained by the 10% price increase in this case.

D Using the stated prices and revenues gives equal unit volumes. A volume decline is not supported by these figures.

Revisit lesson 5: Describe the business & its portfolio

Questions 3-4 · Reasoning

Q003 · Lesson 7 · application

Return to question

A training provider plans to promote multilingual workshops. It already has interested customers but cannot recruit enough suitably skilled tutors. Which stakeholder analysis is most urgent for testing whether the promise can be delivered?

D. Examine tutor recruitment sources, candidate needs and retention barriers.

A Competitor messages provide context, but they do not resolve the stated shortage of people capable of delivering the workshops.

B Referrals could increase demand, but demand already exists and additional interest would not address the immediate staffing constraint.

C Investor communication may matter, but the scenario identifies tutor availability as the direct constraint on service delivery.

D · correct Recruitment and retention affect access to the skills needed for the customer promise, making this stakeholder analysis immediately relevant.

Revisit lesson 7: Map customers, competitors & stakeholders

Q004 · Lesson 8 · application

Return to question

A retailer has an evidenced situation review, a retention objective, a chosen target, planned offers and agreed measures. At launch preparation, teams disagree about who approves the offers and when staff must be ready. Which SOSTAC component most needs development?

B. Action: specify responsibilities, approvals and delivery dates.

A The scenario already provides an evidenced situation review. The immediate gap concerns implementation arrangements rather than another audit.

B · correct Action translates planned tactics into assigned work and timing. Clear approvals and readiness dates directly address the teams' disagreement.

C An activity count would not solve the ownership problem and would replace the stated outcome with a different planning element.

D Additional measures may support evaluation, but they do not establish who must perform or approve the work before launch.

Revisit lesson 8: SOSTAC: the spine of the plan

Questions 5-6 · Reasoning

Q005 · Lesson 13 · application

Return to question

Demand is shrinking in a manufacturing industry. Several firms keep operating because their specialised plants have little resale value and closure obligations are costly. Which competitive assessment is best supported?

B. High exit barriers can sustain rivalry despite weak returns.

A The evidence concerns the difficulty of leaving. Entry pressure requires separate assessment of startup costs, capabilities and access.

B · correct Costly exit can keep firms competing even when returns weaken. Combined with shrinking demand, this can sustain competitive pressure.

C Demand decline does not guarantee exit when closure itself is costly. The scenario explains why struggling firms remain active.

D Firms may continue because leaving is expensive, so continued operation alone does not demonstrate attractive returns or weak rivalry.

Revisit lesson 13: Rivalry & barriers to entry

Q006 · Lesson 14 · application

Return to question

A firm pays EGP 48,000 annually for software. A replacement costs EGP 30,000 annually, plus one-time migration of EGP 12,000 and training of EGP 9,000. Assume equal benefits, no other costs and a one-year evaluation. What is the replacement's first-year cost difference?

D. EGP 3,000 higher, after subscription and switching costs.

A The subscription saving is EGP 18,000, but it excludes EGP 21,000 of migration and training required in the first year.

B This includes migration but omits the EGP 9,000 training cost, which also belongs in the specified first-year evaluation.

C Switching costs total EGP 21,000, but the replacement also saves EGP 18,000 in subscription charges relative to staying.

D · correct The replacement costs EGP 51,000 in year one: 30,000 plus 12,000 plus 9,000. That exceeds the current EGP 48,000 by EGP 3,000.

Revisit lesson 14: Switching costs, substitutes & suppliers

Questions 7-8 · Reasoning

Q007 · Lesson 16 · application

Return to question

A desk-rental operator benchmarks only nearby coworking brands. Customer interviews show that freelancers also compare hotel day offices, and a hotel chain has begun offering bookable workrooms. How should the operator adjust its competitor analysis?

A. Include relevant hotel offers and compare their targets, benefits and delivery capabilities.

A · correct Customer evidence identifies hotel workrooms as relevant alternatives. Comparing their offers and capabilities makes the analysis reflect the actual buying decision.

B Matching category labels is not sufficient for competitor selection. Customers can compare differently described offers that address the same purchase requirements.

C Hotels might hold several roles, but their competing workroom offers still require assessment. A possible referral relationship does not remove competitive relevance.

D A smaller or emerging alternative can influence customer choice. Waiting for equal share would exclude a relevant development already supported by customer evidence.

Revisit lesson 16: Competitor analysis & perceptual maps

Q008 · Lesson 19 · application

Return to question

A publisher owns exclusive research that previously helped customers choose travel guides. Customer research now shows the target mainly wants real-time updates that the dataset cannot provide. Which VRIO question should be reconsidered first?

C. Whether the resource still creates value for the chosen customer need.

A Exclusivity may affect rarity, but rarity alone does not establish usefulness when the target customer's requirements have changed.

B Storage costs matter economically, but the immediate strategic issue is whether the resource helps deliver the benefit customers now seek.

C · correct Value depends on customer needs and context. A formerly useful resource must be reassessed when it no longer answers the priority need.

D Promotion does not establish inimitability or restore relevance automatically. The resource first needs a credible link to current customer value.

Revisit lesson 19: From resources to advantage: VRIN & VRIO

Questions 9-10 · Reasoning

Q009 · Lesson 20 · application

Return to question

A service company writes a precise growth objective with a baseline, target, deadline and owner. Its capacity review shows the target requires more appointments than available staff can deliver, and no expansion is funded. What is the main weakness?

D. Achievability is unsupported despite the objective being measurable.

A Capacity evidence does not remove measurability. It helps judge whether the measured target can be delivered with available resources.

B A deadline supports a time-bound objective. The scenario identifies a resource constraint rather than evidence that the deadline makes it irrelevant.

C Ownership supports implementation and does not itself invalidate strategic flexibility. The unresolved issue is insufficient delivery capacity.

D · correct Specific numbers and ownership do not prove feasibility. The target needs a credible capacity plan or revision supported by available resources.

Revisit lesson 20: SMART objectives & growth direction

Q010 · Lesson 21 · application

Return to question

A craft retailer uses a new social platform to sell its unchanged range to the same defined local customer market. The objective is to win a greater share of those customers' purchases. Which Ansoff direction best describes this plan?

B. Market penetration because products and the defined market remain existing.

A A new communication channel does not itself establish a new customer market. The scenario explicitly retains the same defined local market.

B · correct The plan seeks more business from existing products in an existing market. The platform is a tactic supporting that penetration direction.

C New advertising does not create a new product. The offered range is expressly unchanged in the stated growth plan.

D New operational skills do not define diversification. That direction requires both new products and new markets relative to the business.

Revisit lesson 21: Where to grow & how to compete

Questions 11-12 · Reasoning

Q011 · Lesson 24 · application

Return to question

A subscription service groups households by gross monthly income. Interviews reveal that households in the same band have very different housing costs, dependants and debt payments. Which refinement would best improve its affordability analysis?

A. Assess disposable spending capacity alongside relevant household commitments.

A · correct Similar gross income can leave different amounts available after commitments. Disposable spending capacity makes the affordability analysis more relevant.

B The interviews directly show important differences within the band. Treating gross income as complete evidence would ignore those constraints.

C Age may add context, but it cannot replace direct evidence about financial commitments and the resources available for this purchase.

D Life-stage categories can suggest questions, but assigning standard commitments would overlook the household differences already found in the research.

Revisit lesson 24: Life stage, income & occupation

Q012 · Lesson 29 · application

Return to question

A cleaning-products seller classifies households as heavy users solely by their number of orders. Some households place large quarterly orders, while others place small weekly orders. What additional evidence most directly improves the usage classification?

C. The quantity actually consumed over a comparable period.

A Customer tenure describes relationship length rather than consumption. A long-standing customer may use either small or large quantities.

B Channel preference can support communication decisions but does not show how much product a household actually uses.

C · correct Consumption measures usage directly. Purchase frequency alone can misclassify households that buy different quantities or stock up for longer periods.

D Email opens relate to communication response and may be affected by tracking. They do not establish the amount of product consumed.

Revisit lesson 29: Behavioural segmentation & RFM

Questions 13-14 · Reasoning

Q013 · Lesson 30 · application

Return to question

An RFM review finds formerly frequent, high-spending customers have become less recent. The retailer does not know whether this reflects a service problem, a changed purchase cycle or a competitor offer. What should it do first?

B. Investigate the changed behaviour before choosing a relevant response.

A A universal discount may miss the reason for inactivity and spend money on customers who do not need that incentive.

B · correct The score identifies a behavioural pattern, not its cause. Investigation helps select an action matched to the actual barrier or change.

C Past spending does not prove current loyalty or future purchases. The decline in recency requires interpretation rather than reassurance from historical value.

D Reduced recency does not establish permanent loss. Different causes may require different responses, including service repair or revised purchase-cycle expectations.

Revisit lesson 30: RFM scoring & geographic choices

Q014 · Lesson 32 · application

Return to question

For one year, Segment A offers 500 customers at EGP 60 contribution each before acquisition and support, costing EGP 15,000 in total. Segment B offers 200 customers at EGP 140 each, with EGP 8,000 total acquisition and support costs. Assume equal risk, sufficient capacity and no other differences. Which segment gives higher net contribution?

D. B: EGP 20,000 versus A's EGP 15,000.

A These totals are before the specified acquisition and support costs. Subtracting those costs changes which segment has the stronger result.

B A's net contribution is correct, but EGP 8,000 is B's cost, not its contribution after that cost.

C This deducts the stated costs for A but not B. Both segments must be compared using the same net contribution basis.

D · correct A contributes 500 times 60 minus 15,000, or EGP 15,000. B contributes 200 times 140 minus 8,000, or EGP 20,000.

Revisit lesson 32: Choose attractive, workable targets

Questions 15-16 · Reasoning

Q015 · Lesson 33 · application

Return to question

A brand's draft positioning statement says, "For freelance designers, Forma offers flexible workspace with bookable desks and private meeting rooms." Research shows customers are unsure whether Forma is an office rental service, a furniture seller or a booking app. Which addition most directly resolves the ambiguity?

C. A clear category or frame of reference for the offer.

A Stronger descriptive language does not explain what kind of offer Forma provides or which alternatives customers should compare it with.

B Broadening the audience does not resolve category confusion and may reduce the clarity of the target already specified.

C · correct A frame of reference identifies the category and relevant alternatives. It helps customers interpret the stated benefit and supporting features.

D Wider distribution would repeat the same ambiguity. The positioning statement needs clarification before additional communication can resolve the misunderstanding.

Revisit lesson 33: Positioning: earn a place in the mind

Q016 · Lesson 36 · application

Return to question

A furniture seller once differentiated itself through free assembly. Research now finds customers expect assembly from every comparable supplier and rarely mention it when choosing. What is the best implication for its product strategy?

A. Reassess the differentiating value of assembly and investigate other valued improvements.

A · correct An augmentation can become an expected feature. It may still matter, but the business needs evidence about what now differentiates the offer.

B Competitive offers and customer expectations change. The research indicates that the former distinction no longer provides the same reason to choose.

C An expected benefit can remain essential to satisfaction. Losing differentiation does not mean removal would be acceptable to customers.

D Past novelty does not establish current willingness to pay. Pricing requires evidence about present value, costs, competition and positioning.

Revisit lesson 36: Augmentation & the service challenge

Questions 17-18 · Reasoning

Q017 · Lesson 37 · application

Return to question

A fictional audio brand has limited initial production and evidence that early enthusiasts will pay more for its distinctive new device. It plans a high launch price, with possible reductions as capacity expands and other groups enter. Which pricing approach best fits?

C. Price skimming that initially captures higher willingness to pay.

A Penetration starts relatively low to encourage adoption. The scenario instead uses an initially high price for customers willing to pay more.

B The stated rationale concerns customer willingness to pay and capacity, rather than setting the price primarily by matching competitors.

C · correct Skimming starts high to capture willingness to pay, with later reductions possible as the market develops. The stated plan follows that logic.

D Everyday low pricing emphasises relatively consistent low prices. That differs from the high initial price and possible staged reductions described.

Revisit lesson 37: Pricing logic & price elasticity

Q018 · Lesson 38 · application

Return to question

A seller's defined cost is EGP 240 per bag. It wants a 40% margin, calculated as selling price minus that cost, divided by selling price. Assume no discounts or other costs in this calculation. Which selling price meets the target?

B. EGP 400.

A EGP 336 adds a 40% markup to cost. Its EGP 96 difference is only about 28.6% of the selling price.

B · correct Cost must represent 60% of price. Dividing EGP 240 by 0.60 gives EGP 400, with EGP 160 representing a 40% margin.

C EGP 360 leaves EGP 120 above cost. Dividing that difference by price gives about 33.3%, below the required margin.

D EGP 600 leaves EGP 360 above cost, giving a 60% margin. It incorrectly treats cost as 40% of the price.

Revisit lesson 38: A practical pricing toolbox

Questions 19-20 · Reasoning

Q019 · Lesson 39 · application

Return to question

A device maker opens an online store while independent retailers continue providing demonstrations and local support. Retailers complain that online discounts encourage customers to use their advice and then buy directly. What is the best first response?

D. Review channel roles, pricing, service responsibilities and economics across both routes.

A Further discounting could increase direct volume but intensify the conflict. The maker first needs to assess service coverage and the combined channel economics.

B Maintaining support matters, but unchanged terms may leave retailers funding advice while losing transactions. Their incentives require examination rather than an unsupported instruction.

C Better materials could improve demonstrations, but they would not resolve who funds that service or benefits from the resulting purchases.

D · correct The conflict concerns who creates value, who captures sales and who funds service. Reviewing the full channel arrangement supports a coherent response.

Revisit lesson 39: Channels: make value accessible

Q020 · Lesson 40 · application

Return to question

Research for an everyday snack shows that customers often choose another brand when it is unavailable nearby. The product needs little explanation, and the producer can supply a broad network reliably. Which distribution intensity best matches these conditions?

A. Intensive distribution across suitable outlets.

A · correct Routine purchases with easy substitution benefit from broad availability. The stated supply capability supports intensive distribution across suitable outlets.

B Exclusivity can improve control, but restricted access conflicts with the demonstrated importance of convenient availability for this routine purchase.

C Specialist demonstrations are not a stated customer need. Restricting outlets on that basis could reduce access without providing a relevant benefit.

D The evidence prioritises convenience rather than scarcity or prestige. Restricting access for an unsupported image objective risks losing purchases to available alternatives.

Revisit lesson 40: Distribution intensity & promotion direction

Questions 21-22 · Reasoning

Q021 · Lesson 42 · application

Return to question

A fictional tea brand is widely recognised, but research finds people hesitate to buy because they are unsure about its unfamiliar flavour. The immediate objective is first trial. Which sales-promotion choice most directly addresses the identified barrier?

B. A small sample that allows potential buyers to experience the flavour.

A A later loyalty reward may encourage repeat buying, but customers must overcome the current first-purchase uncertainty before they can qualify.

B · correct Sampling lets prospective buyers evaluate the unfamiliar flavour directly, reducing the trial barrier identified by the research.

C A gift for existing subscribers targets a different audience and does not let hesitant prospective customers assess the product experience.

D Trade incentives can influence retailer activity, but stock orders alone do not resolve customers' uncertainty about the flavour.

Revisit lesson 42: Sales promotion: stimulate trial & action

Q022 · Lesson 46 · application

Return to question

A premium tool company considers a lower-priced fighter brand after budget competitors begin taking price-sensitive buyers. Which assessment is most important before launching the additional brand?

C. Whether its contribution and defensive value justify costs, cannibalisation and positioning risks.

A A fighter brand is not required to break even. The decision needs its effect on the wider portfolio and competitive position.

B An additional brand needs a coherent role for its target. An identical promise may blur differentiation rather than justify the launch.

C · correct A defensive brand can protect business but also displace existing sales and create costs. The overall portfolio case needs evaluation.

D A lower selling price does not demonstrate cost advantage. Costs and the proposed brand's economic role require separate evidence.

Revisit lesson 46: Portfolio defence & personal selling

Questions 23-24 · Reasoning

Q023 · Lesson 47 · application

Return to question

Two email versions each reach 10,000 delivered recipients in the same period. A generates 800 unique clickers and 40 orders; B generates 400 clickers and 60 orders. Assume each order comes from a different recipient and the sole objective is orders per delivered email. Which version performs better?

A. B: its delivered-email order rate is 0.6%, compared with A's 0.4%.

A · correct The objective uses delivered recipients as its denominator. B generates 60 divided by 10,000, exceeding A's 40 divided by 10,000.

B A has the higher click rate, but the specified objective concerns orders per delivered email rather than clicks.

C Equal delivery totals make the denominators comparable; they do not make outcomes equal. B produces more orders from that base.

D This uses clickers rather than delivered recipients as the denominator, so it does not answer the stated objective or establish A's superiority.

Revisit lesson 47: Direct marketing & the response funnel

Q024 · Lesson 48 · application

Return to question

At an exhibition, a workspace supplier installs a kiosk where visitors select desk features and request a quote. Its purpose is to generate qualified enquiries containing usable requirements. Which measure most directly assesses that role?

D. Quote requests containing complete requirements from visitors matching the target profile.

A Footfall measures potential exposure, not whether the kiosk helps relevant visitors specify requirements and submit useful enquiries.

B Screen operating time concerns availability rather than customer response. It does not show whether the desired enquiry was generated.

C Brand recognition can support awareness evaluation, but it does not directly assess the kiosk's stated qualification and response purpose.

D · correct This measure combines the intended response, usable configuration information and audience fit, directly matching the kiosk's defined role.

Revisit lesson 48: Direct response & rational advertising

Questions 25-26 · Reasoning

Q025 · Lesson 43 · application

Return to question

A stationery brand wants customers to contribute creative workspace ideas. Its promotion must choose a winner by the quality of the submitted idea rather than by chance or purchase frequency. Which design best meets that requirement?

C. A judged competition using published creativity and usefulness criteria.

A Submitting an idea creates eligibility, but random selection makes the winning decision chance-based rather than a judgement of idea quality.

B A chance-based game does not evaluate the submitted idea. Purchase eligibility would not change how its winner is selected.

C · correct A judged contest selects winners through skill or assessed performance. Published criteria connect the decision directly to the creative quality the brand seeks.

D A purchase-frequency reward encourages repeat activity. It does not compare submitted ideas or select a winner according to their quality.

Revisit lesson 43: Promotion continues; SWOT becomes TOWS

Q026 · Lesson 44 · application

Return to question

A proposed strategy fits an evidenced customer need and a clear target. However, its service promise depends on a partner whose capacity and commercial terms have not been confirmed. What should the recommendation do before committing to a full launch?

A. Validate partner capacity and terms, then reassess feasibility, return and risk.

A · correct A strategy must connect its promise to credible resources and delivery. Confirming the dependency allows feasibility and economics to be judged.

B Early commitment exposes the business before a critical dependency is understood. Demand alone cannot ensure workable partner terms or available delivery capacity.

C A good reputation may inform selection, but it does not confirm capacity for this launch or establish suitable commercial terms.

D Revenue potential is only part of the decision. Unconfirmed delivery costs and capability can change the expected return and feasibility.

Revisit lesson 44: Write a strategy from the evidence

Questions 27-28 · Reasoning

Q027 · Lesson 45 · application

Return to question

A booking platform offers a lower price than rivals, yet customer interviews reveal concern about confusing cancellation steps and uncertain support. Which improvement most directly addresses the perceived-value problem identified?

B. Simplify cancellation and provide clear, dependable support arrangements.

A Another price reduction addresses money but leaves the stated effort and uncertainty costs intact. The identified barriers require a different response.

B · correct Perceived value includes time, effort and risk as well as price. Clearer processes and reliable support directly reduce the reported burdens.

C Additional features do not necessarily improve value and could increase complexity. The research identifies reassurance and process clarity as priorities.

D Repeating the price claim does not remove difficult cancellation or uncertainty about support. Communication should be supported by improvements to the experience.

Revisit lesson 45: Fix capability gaps & understand cannibalisation

Q028 · Lesson 51 · application

Return to question

A launch schedule puts staff training before the service process is finalised. Training materials depend on that process, and sales begin immediately afterwards. Which revision best addresses the implementation risk?

D. Finalise the process before training and verify readiness before selling.

A Asking staff to infer unfinished procedures risks inconsistent delivery. The schedule should make the required inputs available before training.

B Additional promotion does not resolve the dependency and may create demand before staff can reliably deliver the service.

C Documenting the dependency identifies the problem but does not correct it. The sequence must allow each dependent task to use completed inputs.

D · correct The process supplies the content for training, and readiness supports delivery. Sequencing those dependencies reduces the risk of launching an unprepared service.

Revisit lesson 51: Turn the mix into an action plan

Questions 29-30 · Reasoning

Q029 · Lesson 52 · application

Return to question

Two branches use the same recommendation question in the same period. Branch A has 100 valid responses: 60 promoters, 20 passives and 20 detractors. Branch B has 300: 90 promoters, 60 passives and 150 detractors. Giving each response equal weight, what is the combined NPS?

A. -5.

A · correct There are 150 promoters and 170 detractors among 400 responses. Their percentages are 37.5% and 42.5%, giving NPS -5.

B This averages the branch scores of +40 and -20 equally. Equal response weighting requires accounting for their different sample sizes.

C This reverses the subtraction. Promoters are fewer than detractors, so promoter percentage minus detractor percentage gives a negative score.

D A score of -10 would require a 40-response deficit among 400 responses. The actual detractor excess is only 20.

Revisit lesson 52: NPS: measure recommendation intent

Q030 · Lesson 53 · application

Return to question

An online learning provider wants to know whether its course content satisfies learners. Its current survey appears immediately after payment, before learners access a lesson. Which change best aligns measurement with the stated question?

B. Ask about content after sufficient use, recording the touchpoint, question and sample for comparison.

A Satisfaction with paying or enrolling concerns a different experience. Learners cannot yet evaluate course content they have not used.

B · correct Survey timing should match the experience being evaluated. Sufficient use and consistent reporting definitions make the resulting content feedback meaningful.

C NPS addresses recommendation intent rather than content satisfaction, and immediate payment timing still gives learners no experience of the content.

D Sentiment in payment comments is a separate method about another touchpoint. It cannot directly establish satisfaction with the course content.

Revisit lesson 53: CSAT, NPS & the control loop

Questions 1-2 · Reasoning

Q001 · Lesson 1 · application

Return to question

An employer buys evening design classes for staff. Procurement praises the low fee, but participants stop attending because sessions clash with their shifts. Which evidence should guide the renewal decision?

C. Purchaser objectives and participant needs, including scheduling barriers

A The purchaser matters, but staff must use the service for the employer to receive its intended benefits.

B Attendance reveals a problem but does not establish the employer's objectives, budget constraints or reasons for purchasing.

C · correct The employer purchases while staff use the classes. Understanding both roles exposes why an affordable offer fails to deliver value.

D Price comparisons cannot explain the stated scheduling conflict or establish whether a revised timetable would improve participation.

Revisit lesson 1: Marketing begins with a need

Q002 · Lesson 3 · application

Return to question

ArcKit rewards sales staff for every new subscription. Staff promise custom services that operations cannot provide, and cancellations follow. Which change most directly supports a market-oriented organisation?

A. Align incentives and approved promises with deliverable customer value and retention

A · correct Shared incentives and realistic promises connect acquisition with fulfilment, reducing conflict between departmental targets and the experience customers receive.

B Higher targets preserve the incentive to overpromise and may increase the volume of subscriptions that operations cannot support.

C Changing complaint ownership treats the consequence without correcting the incentives and commitments that repeatedly create the problem.

D Less customer evidence weakens diagnosis. The stated failure concerns coordination and incentives, not excessive spending on interviews.

Revisit lesson 3: A market-oriented organisation

Questions 3-4 · Reasoning

Q003 · Lesson 5 · application

Return to question

A notebook brand adds room fragrances under its existing logo. The new line needs different suppliers, specialist storage and different retail buyers. Management calls the mix highly consistent because the logo is shared. Which judgement is strongest?

D. Assess shared uses and capabilities; the logo alone does not establish consistency

A Brand identity can connect offers, but it does not remove differences in customer use, production requirements or distribution relationships.

B Fragrances form a different line in this scenario, rather than variants of the existing notebook product.

C Adding a line increases width under the stated classification; its relationship with existing lines determines the effect on consistency.

D · correct Consistency concerns meaningful relationships across lines. Distinct supply, storage and buying requirements weaken the claim based solely on shared branding.

Revisit lesson 5: Describe the business & its portfolio

Q004 · Lesson 9 · application

Return to question

In a fictional market, input inflation raises imported bag prices faster than locally produced alternatives. ReedBag uses local materials, but its customers also face higher living costs. Which audit conclusion best supports a decision?

B. Assess relative price advantage and reduced customer purchasing power together

A A relative cost advantage may create an opportunity, but reduced disposable spending can still weaken demand in the target segment.

B · correct The same economic force can improve relative competitiveness while reducing affordability. Both mechanisms affect a feasible pricing and demand response.

C The scenario does not establish identical purchasing responses. Ignoring relative cost differences discards a potentially relevant competitive opportunity.

D Broad inflation is an external economic condition. Management can respond to exposure but does not control the underlying macroeconomic force.

Revisit lesson 9: PESTEL: political & economic forces

Questions 5-6 · Reasoning

Q005 · Lesson 14 · application Return to question

A retailer considers cheaper inventory software. Changing systems would require data cleaning, staff retraining and a temporary parallel operation. Which comparison best supports its buying decision?

B. Compare ongoing benefits and costs together with the costs of changing systems

A Data preparation, learning and parallel operation arise because the retailer changes systems, making them relevant switching costs.

B · correct A cheaper subscription can be offset by transition burdens. Comparing costs and benefits over a suitable period supports the decision.

C Switching costs can delay or weaken the case for change, but sufficiently valuable future benefits may still justify them.

D Retraining reveals a learning burden, not the supplier’s market position. Market share requires separate evidence about the defined market.

Revisit lesson 14: Switching costs, substitutes & suppliers

Q006 · Lesson 16 · application Return to question

An outdoor-equipment survey combines first-time campers and experienced hikers. Beginners rate the brand’s guidance highly; experienced hikers find it basic. The combined perceptual map places the brand at average service. What is the most useful next analysis before choosing a target position?

D. Compare service perceptions and buying criteria within each group

A Technical specifications describe the offer but cannot substitute for customer perceptions of service, which differ between the two groups.

B A slogan based on the average could miss the strong value perceived by beginners and the different requirements of experienced hikers.

C A larger combined sample can estimate the aggregate more precisely while still hiding the meaningful differences between customer groups.

D · correct Separate analysis reveals whom the service benefits and which attributes influence choice, providing a clearer basis for targeting and positioning.

Revisit lesson 16: Competitor analysis & perceptual maps

Questions 7-8 · Reasoning

Q007 · Lesson 18 · application

Return to question

PortaMug forecasts profitable wholesale growth, but must pay manufacturers before retailers settle invoices. Its cash reserve is small. Which resource issue should the internal audit resolve before increasing orders?

A. Working-capital capacity during the gap between supplier payments and customer receipts

A · correct Profitable orders can consume cash before receipts arrive. The audit should assess funding availability and payment timing through the growth period.

B Relative revenue growth may inform competitiveness, but it does not show whether cash is available when supplier payments fall due.

C Unit margins help assess profitability, but neither a favourable comparison nor higher profit resolves the timing of cash receipts.

D Pricing may improve the economics, but an annual profit forecast still does not establish funding availability before retailers settle invoices.

Revisit lesson 18: Resources: visible assets & hidden strengths

Q008 · Lesson 19 · application

Return to question

RouteNest owns exclusive customer-use data that helps predict replenishment needs. Rivals cannot readily obtain equivalent data. However, sales teams ignore its analysis and incentives reward unrelated products. Which VRIO intervention has the clearest priority?

C. Organise workflows and incentives so teams can act on the valuable resource

A Additional data would not directly fix the organisational failure preventing useful existing analysis from influencing decisions and customer delivery.

B Rarity and imitation barriers do not guarantee realised or permanent advantage when the organisation cannot exploit the resource effectively.

C · correct The stated gap is organisation: people, processes and incentives fail to convert the dataset’s potential into consistent customer value.

D Failure to use a resource does not prove it lacks potential value. The scenario already identifies a useful predictive application.

Revisit lesson 19: From resources to advantage: VRIN & VRIO

Questions 9-10 · Reasoning

Q009 · Lesson 20 · application

Return to question

In a defined annual unit market, KitePack sells 8,000 of 40,000 units. Next year the market is forecast at 50,000 units, and its target is 25% share. Assuming the forecast, how many additional units must KitePack sell above its current volume?

D. 4,500 units

A This applies the target share to the current market size. The target year's forecast denominator is larger.

B This counts five percent of the forecast market but ignores the extra volume needed to maintain the existing share.

C Adding half of current sales produces twelve thousand units, which remains below a quarter of the forecast market.

D · correct The target is 25% of 50,000, or 12,500 units. Subtracting the current 8,000 gives 4,500 additional units.

Revisit lesson 20: SMART objectives & growth direction

Q010 · Lesson 21 · application

Return to question

TideDesk currently sells desktop stands to freelancers. It launches room-booking software for hotel chains, a customer market it has never served. Orders will use its existing website. Under these definitions, which Ansoff direction applies?

B. Diversification, because both the product and customer market are new

A An existing channel does not make the product or customer market existing. Both have changed relative to the business baseline.

B · correct The software is a new product and hotel chains are a new market, so both dimensions change despite the reused website.

C Market development combines existing products with new markets. The software is explicitly new, so that classification omits a material change.

D Product development retains the existing market. Reusing a website does not make previously unserved hotel chains part of that market.

Revisit lesson 21: Where to grow & how to compete

Questions 11-12 · Reasoning

Q011 · Lesson 22 · application

Return to question

A wholesaler serves only remote independent grocers. Its small-order scheduling and advice justify a higher price to that group. It rejects national expansion that would weaken those services. Which competitive strategy best fits?

A. Differentiation focus

A · correct The business chooses a narrow customer scope and competes through valued service differences, rather than through a lower cost base.

B Its scope is deliberately narrow, and a higher-value service proposition does not establish the lower costs required for cost leadership.

C The business deliberately selects a particular group with specific needs, rather than treating the wider market as sufficiently homogeneous.

D Narrow scope fits focus, but the stated advantage is service differentiation. No evidence establishes a sustainably lower cost base.

Revisit lesson 22: Scope, advantage & meaningful difference

Q012 · Lesson 23 · application

Return to question

A stationery brand creates three colourful personas. Research finds no meaningful differences between them in needs, buying criteria or response to the proposed offers. Tailoring three campaigns would add cost. Which next step is best supported?

C. Reassess whether the groups justify different marketing decisions before tailoring offers

A Memorable names help communication but do not demonstrate differences that would justify separate offers or additional campaign costs.

B Extra description can make biographies look different without establishing meaningful differences in needs, behaviour or responses to marketing.

C · correct Useful segmentation changes decisions. The current evidence does not justify separate mixes, so the proposed distinctions need reassessment.

D This particular grouping lacks support, but other differences in needs or behaviour may still produce useful, evidence-based segments.

Revisit lesson 23: STP & demographic segmentation

Questions 13-14 · Reasoning

Q013 · Lesson 29 · application

Return to question

Customers with high historical spending have become inactive beyond their usual purchasing interval. During the same period, their preferred items were often unavailable. The team proposes a blanket discount. What should it investigate first?

B. Whether stockouts, rather than price, explain the inactivity and require an availability response

A Tenure describes how long the relationship has existed. Recency concerns the latest purchase and remains weak despite a long relationship.

B · correct Behaviour identifies a group needing attention, but the cause matters. A discount cannot restore purchases when preferred products remain unavailable.

C Past spending does not establish future contribution. Discounts, fulfilment and support costs still affect whether renewed purchasing is worthwhile.

D Prospect value may inform later targeting, but it does not diagnose the stated inactivity or establish whether a discount addresses its cause.

Revisit lesson 29: Behavioural segmentation & RFM

Q014 · Lesson 31 · application

Return to question

Two restaurant chains have similar size and menus. One lets branch managers choose suppliers; the other requires central approval before any branch can order. Which segmentation addition most directly changes the supplier's route to a sale?

A. Buying structure and decision authority

A · correct Different approval structures change whom salespeople must reach, the required evidence and the sequence of decisions before an order.

B Spending informs account potential, but equal or different budgets would not explain whether branch staff can approve the supplier.

C Branch density can affect delivery economics and sales coverage, but it does not identify the authority required to secure approval.

D Menu variation may change product needs, but the decisive difference here concerns who approves suppliers before branches can order.

Revisit lesson 31: Segmenting business customers

Questions 15-16 · Reasoning

Q015 · Lesson 32 · application

Return to question

First-year forecasts: segment A yields 200 customers contributing EGP 300 each before acquisition spending of EGP 20,000; B yields 120 contributing EGP 500 each before acquisition spending of EGP 10,000. Contributions already deduct all ongoing variable costs. Capacity is sufficient and fixed costs unchanged. Which segment produces the higher contribution after acquisition spending, and by how much?

D. B, by EGP 10,000

A A's larger customer count is offset by lower contribution per customer and higher acquisition spending in the stated forecasts.

B Both generate EGP 60,000 before acquisition spending, but the different acquisition costs prevent equality after those costs.

C B saves EGP 10,000 in acquisition spending, not EGP 20,000. Both segments generate the same contribution before acquisition.

D · correct A yields EGP 40,000 after acquisition; B yields EGP 50,000. Under the stated assumptions, B leads by EGP 10,000.

Revisit lesson 32: Choose attractive, workable targets

Q016 · Lesson 36 · application

Return to question

A design-coaching service loses enquiries because prospective buyers cannot assess what sessions involve before paying. Delivery quality is consistent, and appointment capacity is ample. Which change most directly addresses the identified service challenge?

C. Provide a session outline, tutor credentials and a short demonstration

A Off-peak incentives can manage perishable capacity, but the stated barrier concerns understanding the experience before purchase rather than appointment timing.

B Scripts may reduce variability, but delivery is already consistent. They do not directly help prospective buyers assess an unfamiliar service.

C · correct Concrete evidence makes an intangible service easier to evaluate before purchase, addressing uncertainty about the experience the customer will receive.

D Additional appointments expand capacity, which is already ample. They do not resolve prospective buyers' uncertainty about what the sessions involve.

Revisit lesson 36: Augmentation & the service challenge

Questions 17-18 · Reasoning

Q017 · Lesson 36 · application Return to question

A workshop has empty weekday appointments and a weekend waiting list. Research identifies customers willing to move to weekdays for a modest incentive. Which response most directly improves use of its perishable capacity?

A. Test a weekday incentive for customers able to shift, while monitoring contribution

A · correct The proposed test shifts flexible demand towards unused capacity. Monitoring contribution checks whether additional use justifies the incentive.

B Discounting already scarce weekend capacity reduces revenue on likely sales without directly filling the unused weekday appointments.

C Materials do not by themselves move demand into vacant time slots. The stated constraint concerns appointment timing, not inventory availability.

D Unused appointment time cannot be stored and resold later. This inability to preserve capacity is the relevant perishability problem.

Revisit lesson 36: Augmentation & the service challenge

Q018 · Lesson 37 · application Return to question

A brand sells 1,000 units at EGP 100 each, with EGP 60 variable cost per unit. A 10% price increase is forecast to reduce volume by 8%. Using original-period percentage changes, unchanged unit costs and no other cost changes, which result follows?

D. Inelastic demand; contribution rises by EGP 6,000

A The contribution change is correct, but elasticity is negative 0.8; its absolute value below one indicates inelastic demand.

B Demand is inelastic, but contribution becomes 920 units times EGP 50, exceeding the original EGP 40,000 by EGP 6,000.

C The quantity and price percentage changes differ, so elasticity is not unitary. The larger unit contribution changes the total result.

D · correct Elasticity is −8% divided by 10%, or −0.8. Contribution rises from EGP 40,000 to 920 × EGP 50 = EGP 46,000.

Revisit lesson 37: Pricing logic & price elasticity

Questions 19-20 · Reasoning

Q019 · Lesson 39 · application

Return to question

A ceramic brand hires an agent to introduce retailers and negotiate orders. The brand keeps stock, invoices retailers and ships products. The agent earns commission but never buys the goods. Which channel plan correctly reflects this arrangement?

B. Assign transaction facilitation to the agent, and inventory and fulfilment to the brand

A Commission compensates the agreed facilitation role. It does not automatically transfer stockholding or transport responsibilities from the brand to the agent.

B · correct The agent facilitates transactions without buying stock, while the brand explicitly retains inventory, invoicing and shipping responsibilities under this arrangement.

C The stated agent never buys the products. Treating it as a purchasing and reselling wholesaler contradicts the described commercial arrangement.

D The brand can invoice retailers while an intermediary facilitates orders. Invoicing alone does not describe every contribution along the channel.

Revisit lesson 39: Channels: make value accessible

Q020 · Lesson 41 · application

Return to question

MossCase targets careful buyers with repairable luggage. Its retailer training explains repairability, but social advertising focuses on disposable fashion and email promotes unrelated luxury status. Which change most directly improves integrated communication?

C. Keep a consistent repairability promise while adapting evidence and format to each channel

A Consistency concerns the position and promise, not mandatory identical execution. Different formats can explain the same benefit in suitable ways.

B Independent central promises can fragment brand meaning and leave buyers unsure which benefit the offer is designed to deliver.

C · correct A common position links the activities while channel-specific demonstrations, explanations and calls to action support the same customer value.

D Impressions measure exposure, not whether buyers understand a coherent benefit. The stated problem is contradictory meaning across communications.

Revisit lesson 41: Push, pull & an integrated communications mix

Questions 21-22 · Reasoning

Q021 · Lesson 42 · application

Return to question

A comparable control estimates 180 orders without an offer. A coupon campaign generates 300 orders, each using an EGP 30 discount. Contribution before the discount is EGP 80 per order after all variable costs. Additional campaign spending is EGP 1,000; other costs are unchanged. What is the incremental contribution after campaign spending?

D. EGP 400 decrease

A EGP 14,000 is the campaign result after discounts and spending. It is not incremental because the baseline contribution remains unsubtracted.

B This counts contribution on additional orders but overlooks discounts given on orders that would have happened without the offer.

C This values additional orders at the undiscounted contribution and deducts campaign spending, omitting the coupons redeemed on all campaign orders.

D · correct Campaign contribution is 300 × EGP 50 − EGP 1,000 = EGP 14,000. Baseline contribution is EGP 14,400, producing a decrease of EGP 400.

Revisit lesson 42: Sales promotion: stimulate trial & action

Q022 · Lesson 47 · application

Return to question

Within seven days, an email campaign reaches 4,000 distinct recipients and records 200 distinct clickers. Fifty of those clickers purchase, placing 80 orders between them. What is the buyer conversion rate among clickers?

A. 25%

A · correct The requested measure counts distinct buyers among distinct clickers: 50 divided by 200 equals 25% within the stated window.

B Eighty orders divided by 200 clickers counts orders per clicker. Repeat orders make that different from the percentage becoming buyers.

C Fifty buyers divided by 4,000 recipients gives conversion among delivered recipients, not the requested conversion among clickers.

D Two hundred clickers divided by 4,000 recipients gives the click rate. It does not measure how many clickers subsequently purchased.

Revisit lesson 47: Direct marketing & the response funnel

Questions 23-24 · Reasoning

Q023 · Lesson 50 · application

Return to question

A homeware company publicises a generous education donation while repeatedly delaying agreed supplier payments to fund the campaign. Its manager claims the donation proves responsible business conduct. Which assessment best applies the CSR framework?

C. Assess philanthropic activity alongside economic and ethical behaviour towards suppliers

A Philanthropic activity does not cancel economic or ethical responsibilities. Supplier treatment remains relevant to the assessment of organisational conduct.

B A net monetary total cannot resolve distinct responsibilities. A valuable donation does not make the treatment of suppliers irrelevant.

C · correct Carroll's framework requires a wider assessment. A donation can contribute positively while other conduct still undermines responsible stakeholder relationships.

D Philanthropy is one recognised responsibility in the framework. The problem is treating it as sufficient evidence about the entire business.

Revisit lesson 50: Emotion, public relations & CSR

Q024 · Lesson 43 · application

Return to question

An audit identifies qualified alternative suppliers as a strength and increasing disruption at the dominant industry supplier as a threat. Which option is the most direct ST response?

B. Use the qualified alternatives to reduce disruption exposure and protect availability

A A new growth initiative does not directly connect the stated supplier capability with the identified threat to product availability.

B · correct The response uses an existing strength to counter an external threat, translating the audit factors into a specific protective decision.

C Addressing a skills weakness to pursue an opportunity would illustrate WO, not the stated combination of supplier strength and disruption threat.

D Restating a factor remains audit description. TOWS should generate a response that explains how the chosen factors influence action.

Revisit lesson 43: Promotion continues; SWOT becomes TOWS

Questions 25-26 · Reasoning

Q025 · Lesson 44 · application

Return to question

Reusable-crate customers want more dependable collections. The existing rental service and current customer market will remain unchanged. The firm has reliable route-planning capability and wants customers to rent more frequently. Which strategy statement best connects these facts?

A. Pursue market penetration through collection reliability for existing crate-rental customers

A · correct The same product and market indicate penetration. Reliable collections connect an evidenced capability with a valued service difference and repeat usage.

B More advertising does not create a new product or market. Diversification requires both dimensions to change relative to the business baseline.

C An operational route change does not itself establish a new customer market. The scenario explicitly retains existing customers and service.

D Reliable routing supports the stated service benefit, but the evidence does not establish a cost base below competitors.

Revisit lesson 44: Write a strategy from the evidence

Q026 · Lesson 45 · application

Return to question

A new range is forecast to sell 1,000 units at EGP 35 contribution each after all variable costs. Launch spending is EGP 18,000. Each displaced old-range unit would have contributed EGP 50. Assuming one-for-one displacement and unchanged other costs, what maximum cannibalisation rate avoids reducing total portfolio contribution?

C. 34%

A Seventy percent uses all new contribution to cover displacement, leaving nothing for the stated launch spending of EGP 18,000.

B Five hundred displaced units would lose EGP 25,000, exceeding the EGP 17,000 available after launch spending.

C · correct New contribution after launch spending is EGP 17,000. Dividing by EGP 50 allows 340 displaced units: 34% of new units.

D Displacing every old purchase would lose EGP 50,000, greater than the new contribution remaining after the launch cost.

Revisit lesson 45: Fix capability gaps & understand cannibalisation

Questions 27-28 · Reasoning

Q027 · Lesson 51 · application

Return to question

A launch schedule releases customer demonstrations before staff training and books fulfilment capacity after orders open. All activities have named owners. Which revision most directly improves implementation?

D. Sequence training and capacity readiness before the activities that depend on them

A Ownership is already specified. Additional names do not resolve dependencies that leave demonstrations and orders unsupported at launch.

B Eventual completion can hide failures caused by doing necessary tasks too late. Implementation requires suitable sequencing as well as completion.

C Named owners do not guarantee operational readiness. More publicity could increase demand before the supporting capabilities become available.

D · correct Dependencies determine when tasks must finish. Establishing staff and fulfilment readiness first makes the subsequent customer-facing activities deliverable.

Revisit lesson 51: Turn the mix into an action plan

Q028 · Lesson 52 · application

Return to question

A brand's reported NPS rises after the team stops inviting customers who recently complained about delivery. The recommendation question is unchanged. Which action is necessary before interpreting this as relationship improvement?

B. Restore a consistent sampling approach and examine the effect of excluding complainants

A Identical wording cannot compensate for a changed invitation population. Excluding potentially dissatisfied customers can alter the score without improving experiences.

B · correct The sampling change creates an alternative explanation for the rise. Comparable populations and supporting feedback are needed before claiming improvement.

C Passives belong in the denominator of valid NPS calculations. Excluding them changes the measure without correcting the invitation bias.

D Recommendation intent does not directly measure delivery performance, and the changed sample makes a causal improvement claim particularly unsupported.

Revisit lesson 52: NPS: measure recommendation intent

Questions 29-30 · Reasoning

Q029 · Lesson 53 · application

Return to question

Customers rate a subscription box's delivery highly immediately after arrival, yet fewer renew after using its contents. Management cites delivery CSAT as evidence that the offer needs no change. What is the best next step?

C. Investigate product-use feedback and comparable renewal cohorts alongside delivery CSAT

A Delivery satisfaction and renewal behaviour answer different questions. A positive touchpoint rating cannot replace evidence about continued purchasing.

B Both observations can be valid: customers may appreciate delivery while finding insufficient value in the contents to renew.

C · correct The response separates the delivery experience from value during use, combining appropriately timed feedback with behaviour to diagnose the renewal problem.

D A higher delivery target does not investigate why customers stop renewing after use. The stated gap requires broader evidence.

Revisit lesson 53: CSAT, NPS & the control loop

Q030 · Lesson 51 · application

Return to question

An objective-and-task budget exceeds available funding. Removing staff training would leave the proposed service promise unsupported. Which response best preserves the planning logic?

A. Prioritise feasible activities and reconsider the target or scope while preserving essential delivery dependencies

A · correct Resource limits require explicit trade-offs. Reconsidering scope or outcomes preserves a credible connection between objectives, funded tasks and delivery capability.

B Equal cuts ignore different task roles and minimum requirements. They may leave essential dependencies underfunded while retaining an unrealistic objective.

C People and processes shape the customer experience. Removing necessary training can undermine the very promise that visible promotion communicates.

D Acquiring customers before essential readiness can create promises the business cannot fulfil. The stated dependency requires training before delivering the proposed service.

Revisit lesson 51: Turn the mix into an action plan